

2022 – 2023 Academic Year

Johnson Consulting Club

Management Consulting Casebook and Guide



Cornell
SC Johnson College of Business

Note to Reader

Dear Future Consultant,

The Johnson Consulting Club is pleased to present to 2022-2023 Johnson Case Book! Whether you are a Johnson student, a student in one of Cornell's other programs, or a student at another university entirely, I hope that this case book will play a key role in your success as a candidate for consulting roles.

This casebook is the culmination of hundreds of hours of work by many people. I would like to especially thank the firms who sponsored the club financially and/or provided cases for inclusion in the book, the members of the Johnson School community who wrote their own cases, and members of the 2022-2023 Johnson Consulting Club board who spent the time putting this manuscript. In particular, I would like to thank Ina Kumar, the club's VP of Communications, for her tireless efforts in leading the creation, design, and organization of this book.

As you go about using this book, please remember to use the cases within for real practice casing. Ask for the assistance of a colleague or friend to guide you through the cases, and request robust and detailed feedback. It is our hope that by completing the cases herein, as well as cases found in other high-quality casebooks, you can become the expert caser you will need to be to succeed in the management consulting interview process.

Cheers,



Dominic J.V. Carbone
2022 – 2023 Johnson Consulting Club President

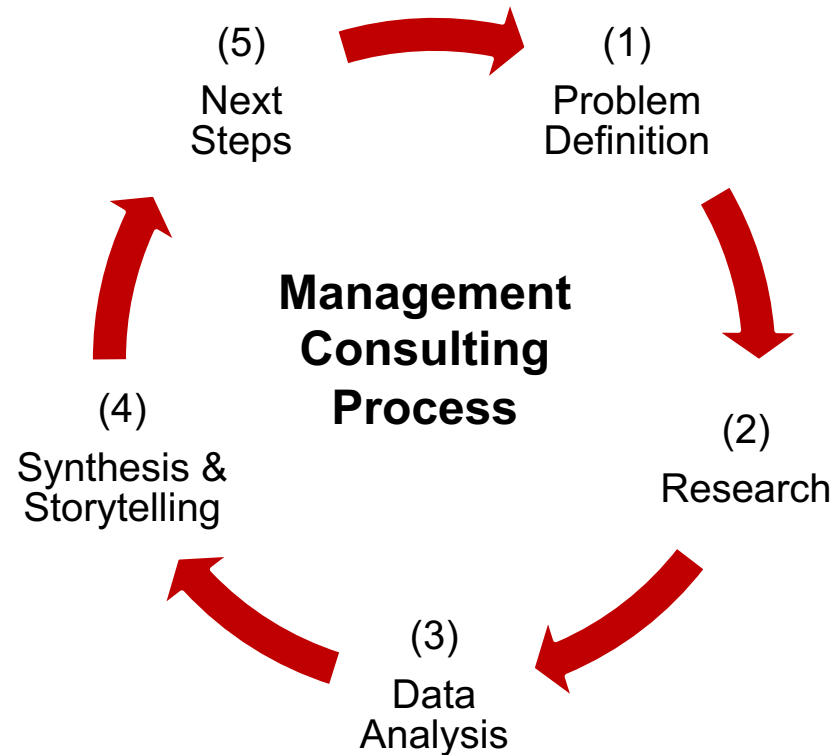


CASING OVERVIEW

A person is walking away from the camera on a paved path that leads towards a large, historic university building. The building features a prominent clock tower and multiple stories with many windows. The scene is set on a grassy hillside, with large trees in the foreground and background. The lighting suggests it might be late afternoon or early morning, with a warm, golden glow. The text "CASING OVERVIEW" is overlaid in large, white, bold letters across the center of the image, with a horizontal line above it.

Management Consulting Overview

Management consulting is a career path that solves a variety of pressing business issues for organizations. Consulting is project-based (short-term or long-term), done in teams, and careers will generally be on a strategic or implementation track. Post-MBA careers typically begin at the Associate level.



- ✓ Problem-solving
- ✓ Critical and strategic thinking
- ✓ Data analysis
- ✓ Teamwork / collaboration
- ✓ Client communication
- ✓ Managing up / down
- ✓ Relationship management

Qualitative skills are *just as important as* quantitative skills

Case Overview Process

The case interview mirrors the on-the-job experience of a consultant solving a pressing issue for a client.

- Case will have an industry focus → can be any industry (retail, government, financial services, etc.)
- Case will have an issue that the client is facing → can be any type of issue (profitability, market entry, M&A, etc.)
- Multiple cases (usually 2-4) are done in an interview process with a firm; superday or across days
- **Time:** one case is typically 30 or 45 minutes
- Cases can be your 'typical' business case, group case, or written case
 - The most common is a business case and what you will practice with second years
 - Some firms (e.g., McKinsey) have nuances to the business case or utilize group/written case methods

The following slides discuss a 'typical' case interview. They do not account for nuances that certain firms have and does not account for group or written cases.



Case Overview Process

The following slides show the seven steps involved in the case overview process for a candidate-led case. Please note that this is an example of the order that a case interview could go in. It is not guaranteed that you will have a case that will go in this order or a case that will contain all of the components.



Step #1 – Prompt

The interviewer will start the case with reading the prompt to you. This is usually one or more paragraphs of background information on the client and their issue.

- You will not see the prompt
- You should take notes of what you hear (can be done in shorthand / abbreviations)
 - Pay special attention to any numbers you hear and the client's issue
- After the interviewer is done reading the prompt to you, you should do the following:
 - Repeat the prompt back to them; do not repeat the prompt word for word
 - You should speak the prompt back in your own words
 - Wait for confirmation from the interviewer that signals they believe you have a good grasp of the prompt

The goal of the prompt is to understand background information on the client and the client's issue. The candidate's goal is to take listen carefully, take good notes, and be able to repeat back what you wrote to the interviewer.



Step #2 – Clarifying Questions

After the prompt, the interviewee will initiate clarifying questions. Clarifying questions give the interviewee the opportunity to learn more about the client and the issue. Information given will help solve the case.

- Asking three clarifying questions tends to be the sweet spot, but is not a requirement
- Clarifying questions should not be about guessing the answer to the case; the questions are to learn more
- Potential examples of what to ask about include:
 - Client's goal (e.g., do they have a particular profitability number in mind to achieve?)
 - Time horizon
 - Competition
 - Customers
 - Product lines
 - Geography
 - Industry if it is niche / you are not familiar

The goal of clarifying questions is to learn more about the client and issue. The candidate's goal is to produce three relevant questions that will help them solve the case.



Step #3 – Structuring

After the clarifying questions, you should ask the interviewer time (~2 mins) to develop a structure. Structuring means breaking down a complex question into more manageable chunks that can be pursued independently and that, when put together, will solve the problem.

- Before you talk about your structure you should state your hypothesis. A hypothesis is an educated guess you will have formed depending on the information provided in the prompt, clarifying questions and your own structure.
- Structuring means building a decision tree. The key question is split into sub-questions or drivers in a logical way.
- Those sub-questions are further split into additional drivers or sub-questions
- You will continue this analysis until you can prioritize the key drivers needed to solve the case and define your hypothesis.
- The entire structure has to be **MECE** (Mutually Exclusive and Collectively Exhaustive) which basically means the drivers and questions within one bucket should not overlap within the bucket as well as with the other buckets.
- Follow directions and hints from interviewer, and audibly adjust your hypothesis as new information is presented

The goal of structuring is to break down a problem and ask for the right kind of information, the analysis of which will enable you to accept or reject your hypothesis.



Step #4 – Exhibits (Analysis)

Most cases will present information to candidates through exhibits. Some of the common forms of charts presented to you might include- stacked bar charts, waterfall charts, mekko charts, density maps, scatter plot, gantt chart, bubble charts etc.

- In a typical interviewee driven case, your interviewer might have 2-3 slides of data but will not present them to you unless you ask the right questions
- When presented with an exhibit, ask the interviewer for some time and take 10-20 seconds to absorb the information presented to you. Thereon, proceed to walkthrough the interviewer with your key insights
- Do not repeat obvious information like the label of x-axis and y-axis etc
- Familiarity with various forms of charts will help you analyze information faster in interviews.
- It's a good practice to note down key numbers and information from exhibits because you might need to use them as you proceed through the case
- Exhibits are a good segue into case math

The purpose of exhibits is to tie together multiple pieces of information and test the interviewee's ability to analyze data and determine important insights under time pressure



Step #5 – Quant (Analysis)

Invariable, all cases will have some quantitative analysis. While some of the quant might be mental, others will require you to perform calculations on paper. The interviewer will expect you to connect your quantitative analysis to the larger picture.

- Before you start a math calculation, walk the interviewer through your thought process, what you are trying to calculate and why you think that its relevant to the case
- Perform the calculations paying attention to speed and accuracy. Most interviewers will expect you to talk through while performing calculations
- Main neat and organized papers so that you are able to connect numbers quickly as some cases might be very quant heavy
- The "so what" - During your analysis, after you arrive at any number you should provide a “so-what”. A “so-what” explains what that number means in the context of the problem and draw inferences as appropriate
- Effective "so-whats" help you drive the case forward and keep the case conversational

The goal of the quantitative analysis is to use fact-based information to arrive at conclusions. The interviewer will also check whether you are able to grasp data and numbers easily.



Step #6 – Brainstorming

Before ending with the recommendation, the candidate will typically be asked a brainstorming (qualitative) question to think about additional opportunities for the client.

- Brainstorming should be structured, typically with two categories
 - The categories should make sense based on the case and answer the brainstorming question
 - Examples from past cases include **Internal vs. External** or **In-House vs. Outsourced**
- A minimum of three ideas per category is ideal, while five is a good goal
- Should be MECE
- Creative, out-of-the-box, and ideas using strong business acumen will help you stand out
- Take a minute or two to write down your ideas
- When presenting your brainstorming ideas, read them as you would read the structure (first the two buckets horizontally and then go down the first bucket vertically and then the second bucket vertically)

The goal of brainstorming is to test your business acumen, as well as creativity. The candidate's goal is twofold: 1) to be structured in the way they present their ideas and 2) to utilize business acumen and creativity in the actual ideas produced.



Step #7 – Recommendation

At the end of the case, the interviewer will mention something along the lines of, “The CEO is about to walk into the room. Can you please provide them a recommendation?” This is your cue to begin the below.

- There are five chronological components to the recommendation:
 1. Recap the client issue and a few important details (including numbers) discovered along the way
 2. Provide a recommendation (solution)
 3. Provide a risk for this recommendation
 4. Provide a mitigation for the risk
 5. Provide an initial feasible next step for the client tied to the recommendation
- You can take a moment to collect your thoughts before beginning the recommendation

The goal of the recommendation is to close out the case with a solution for the client. The candidate’s goal is to include all five chronological steps for the recommendation.



Additional Resources

Tools for Interview Practice

- ✓ [RocketBlocks](#) – structuring, math, and exhibit drills, soft skills tips, live casing practice
Discounted access granted through Cornell in the fall
- ✓ [CaseCoach](#) – videos on the interview process, structuring, math, and exhibit drills, live casing practice, case library including written cases
Free access granted through Cornell in the fall
- ✓ [PrepLounge](#) – interview guidance, general Q&A, math drills, live casing practice
- ✓ [Elevate](#) – improve cognitive ability
- ✓ [Mental Math](#) – practice math drills on the go

General Knowledge

- ✓ [Wall Street Journal](#) – industry trends, up-to-date business and company news
Free access granted through [Cornell](#)
- ✓ [Management Consulted](#) – firm overviews, interview tips, compensation
Free access to resources granted through Cornell in the fall
- ✓ [Firsthand](#) – navigate your career journey, explore companies and professions
- ✓ [Victor Cheng](#) – former management consultant; provides tips, videos, books, and tools to prepare
- ✓ [Math Guide](#) – market sizing assumptions, calculation shortcuts, tips, formulas to know
Math guide granted to Cornell Consulting Club Members

Your peers, consulting club board, second-year students, and career management center are all here to help you succeed.



Final Parting Words of Advice

- Quality > Quantity
 - It is better to do 25 high-quality cases in your preparation than do 60 cases and get burnt out
- Keep a case tracker which includes the date, person who gave you the case, name of case, type of case, industry, and all feedback received
- Review the case on your own time after your practice session is done
- Look for and create opportunities to watch cases as part of your process
- When it comes to December, it is just as helpful and important to give cases as it is to receive cases
 - When you are on the other side giving the case, you learn a plethora of information
- Avoid generic frameworks
- Keep your notes clean and organized during casing

GOOD LUCK!



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SIMPLE CASES



Rock Climbing – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Leisure

Case Type: Other

Case Prompt:

Looking into the future, I am trying to determine which path I should take professionally.

Should I look toward re-joining the consulting world where my salary could be anywhere from \$125K to \$175K? Or should I look to pursue my hobby and attempt to open either one or a chain of rock-climbing gyms throughout the United States?

Can you help me make up my mind?

For Interviewer Only:

This is an interviewee-led case with a non-traditional prompt. The interviewee is expected to evaluate both options and provide a recommendation. Interviewer may assist when interviewee is side-tracked.



Rock Climbing – Clarifying Information

Goal:

- In this role, I only care about money.
- Likewise, I do not have a specific location in mind where I would like to live afterward. You can select a location for me that gives the highest return potential.
- I am looking for what provides the best return over a 10-year timeframe.

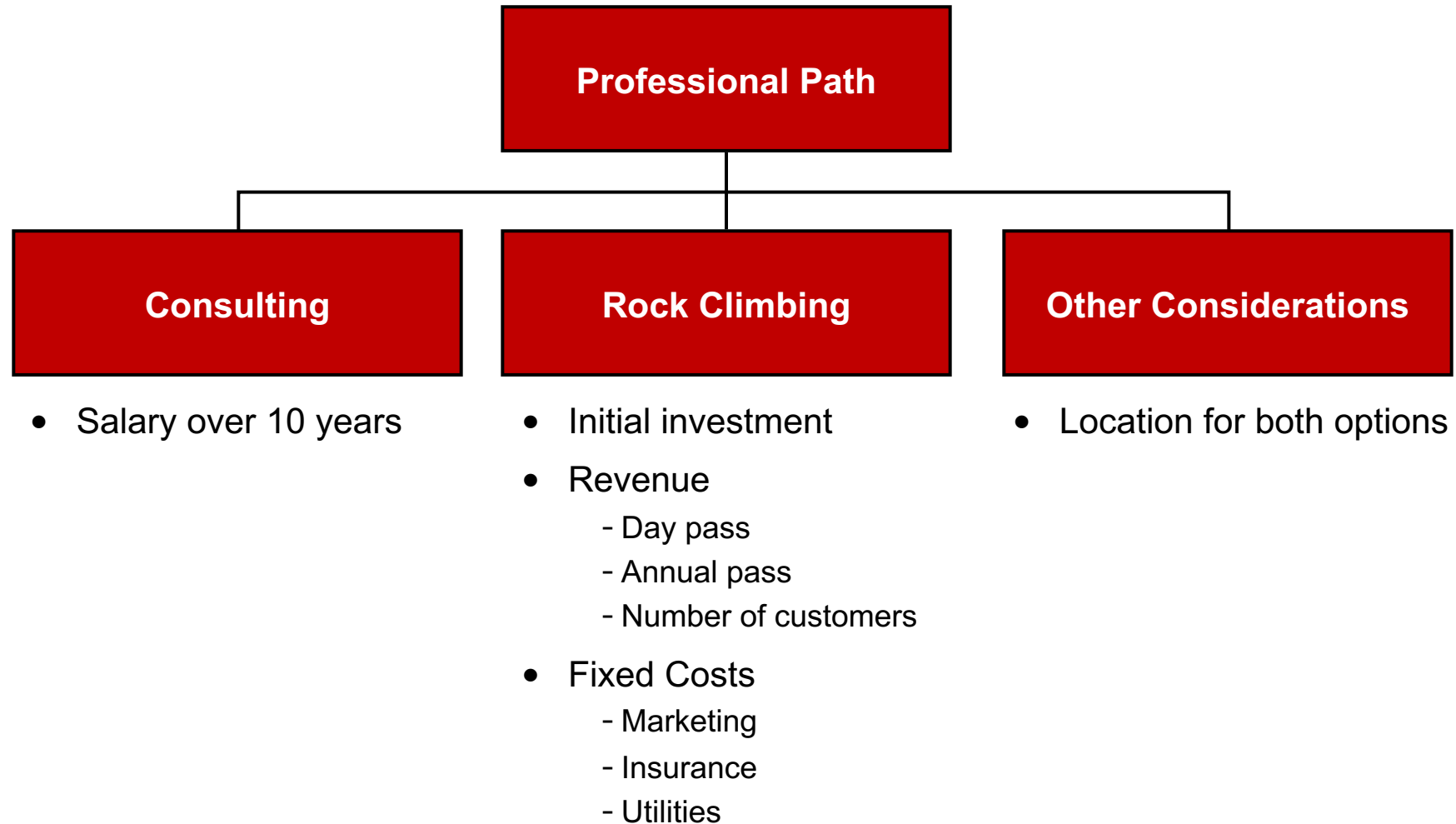
Capital:

- I have some access to capital sources and am not too concerned about it.

Personal Expenses, Taxes, Excess Cash:

- Do not consider any personal expenses, taxes, or anything on either opportunity. Likewise, assume all excess cash in the form of profit from the rock climbing gym flows to me as income.

Rock Climbing – Structure



Rock Climbing – Exhibit 1

Exhibit 1:

The candidate will want to focus on what kind of gym to open up and where. Provide Exhibit 1 and the following description to the candidate.

- **Bouldering Gyms:** Traditionally smaller in square footage than Sport gyms, newer concept than Sport gyms, located in suburban areas in warehouse districts, lower revenue per climber than Sport gyms, and doesn't use rope systems
- **Sport Climbing Gyms:** Located closer to city centers, customers are typically 15+ years old, high revenue per customer, but significantly higher development costs, and uses rope systems



Rock Climbing – Exhibit 1



Bouldering



Sport Climbing

Examples of Rock Climbing Gyms

Rock Climbing – Exhibit 2

Exhibit 2:

Provide Exhibit 2 and ask the interviewee for takeaways.

- Bouldering supply is considerably smaller than Sport supply, thus less competition
- Texas is the largest state by supply, while Oregon is the smallest
- The market is primarily located in four states, with “Other” making up the balance



Rock Climbing – Exhibit 2

Number of Rock Climbing Gyms by State in Domestic US Market

	Bouldering	Sport	Total Gyms
Oregon	8	32	40
Colorado	10	65	75
Texas	10	115	125
New York	8	92	100
Other	15	135	150

Rock Climbing – Exhibit 3

Exhibit 3:

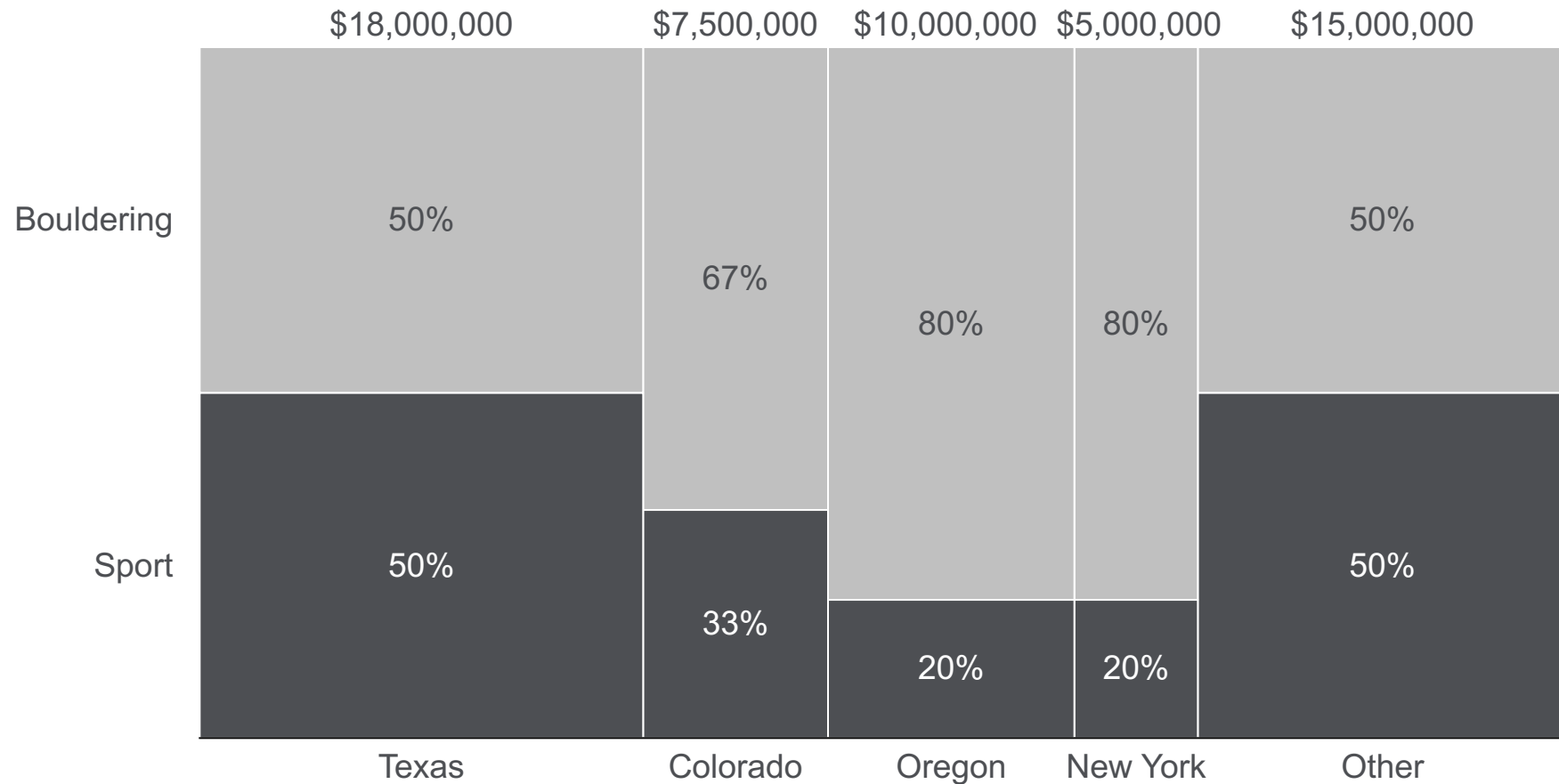
Provide Exhibit 3 (Mekko Chart) and ask the interviewee for takeaways.

- Unlike the table, bouldering makes up the majority of revenue making it incredibly attractive
- Dividing the revenue within a market by the total supply gives a good indication for the best state to enter into
- Oregon proves the most attractive market (\$1M/bouldering gym) relative to other markets
 - Only \$900K/bouldering gym for Texas
- Candidate should choose Oregon Bouldering Market



Rock Climbing – Exhibit 3

Rock Climbing Gym Revenues by State in Domestic US Market



Rock Climbing – Calculations

Candidate should calculate profit from the Oregon Bouldering Market over the 10-year horizon and compare it to the Consulting career. Provide numbers to candidate to calculate investment, revenues, and costs.

Investment:

- **Give to Candidate:** \$30 / square foot, 100K square feet for the gym (pre-fabricated with equipment)
- **Candidate Calculation:** \$30 / square foot * 100K = **\$3M**

Revenues:

- Day Pass
 - **Give to Candidate:** \$20 / pass, 85 consumers / day, 25 days / month
 - **Candidate Calculation:** \$20 / pass * 85 consumers / day * 25 days / month = **\$510K annual revenue**
- Annual Pass
 - **Give to Candidate:** \$1,000 / pass, 490 pass holders
 - **Candidate Calculation:** \$1,000 / pass * 490 pass holders = **\$490K annual revenue**

Costs:

- **Give to Candidate:** Variable Costs are 25% of revenues
- **Give to Candidate:** Fixed Costs include Marketing: \$25K, Insurance: \$50K, Utilities: \$75K

Consulting pays \$1.25 to \$1.7M; Gym profits (\$1M – \$400K) * 10 years - \$3M initial investment = \$3M



Rock Climbing – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Client should open a gym in the Oregon Bouldering Market citing the \$3M profit being greater than if they took the consulting path

Risk:

- Additional boulder gym supply arises, subsequently creating more competition

Mitigation:

- Client should highlight their strengths in branding; client can consider partnerships

Next Step:

- Work with a commercial real estate agent to scope out a space for the gym in Oregon



Bonnie & Blithe – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Retail / Consumer

Case Type: Profitability

Case Prompt:

Bonnie and Blithe is an international direct selling beauty company. B&B is known for the high quality and value of their beauty products, primarily skincare and makeup. The firm operates in 20 countries and has 1 million sales reps that sell B&B's products directly to consumers.

Last year, the company made \$1.4 billion in revenue. Due to changing customer preferences, including an increased interest in digital technology and a decreased preference for face-to-face interactions, B&B's sales decreased by 7%.

The firm is considering several options to increase profitability moving forward through a digital transformation.

How would you evaluate Bonnie and Blythe's options?

For Interviewer Only:

This is a profitability case disguised as a digital transformation.



Bonnie & Blithe – Clarifying Information

Goal:

- Increase profitability

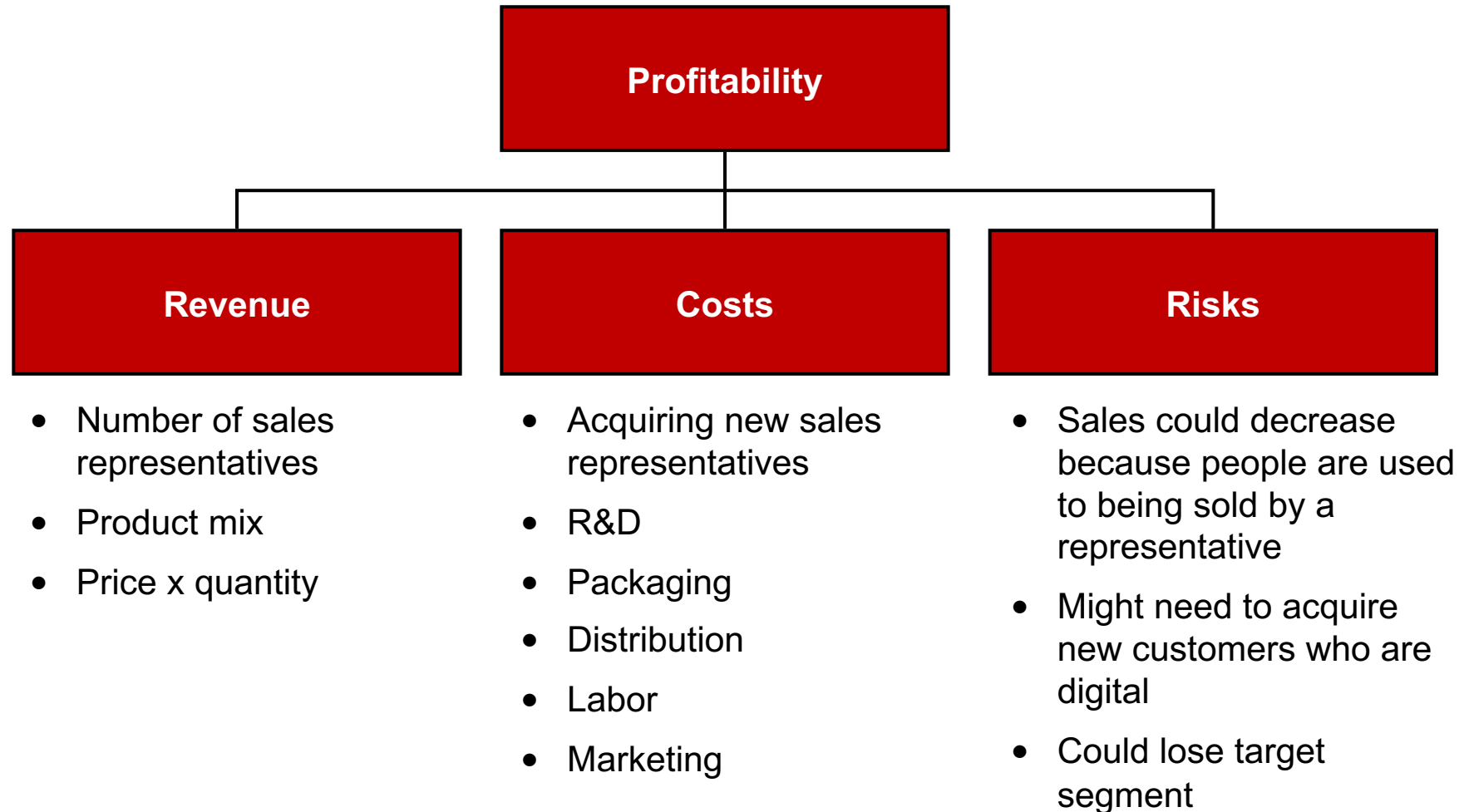
Time Horizon:

- In the next year

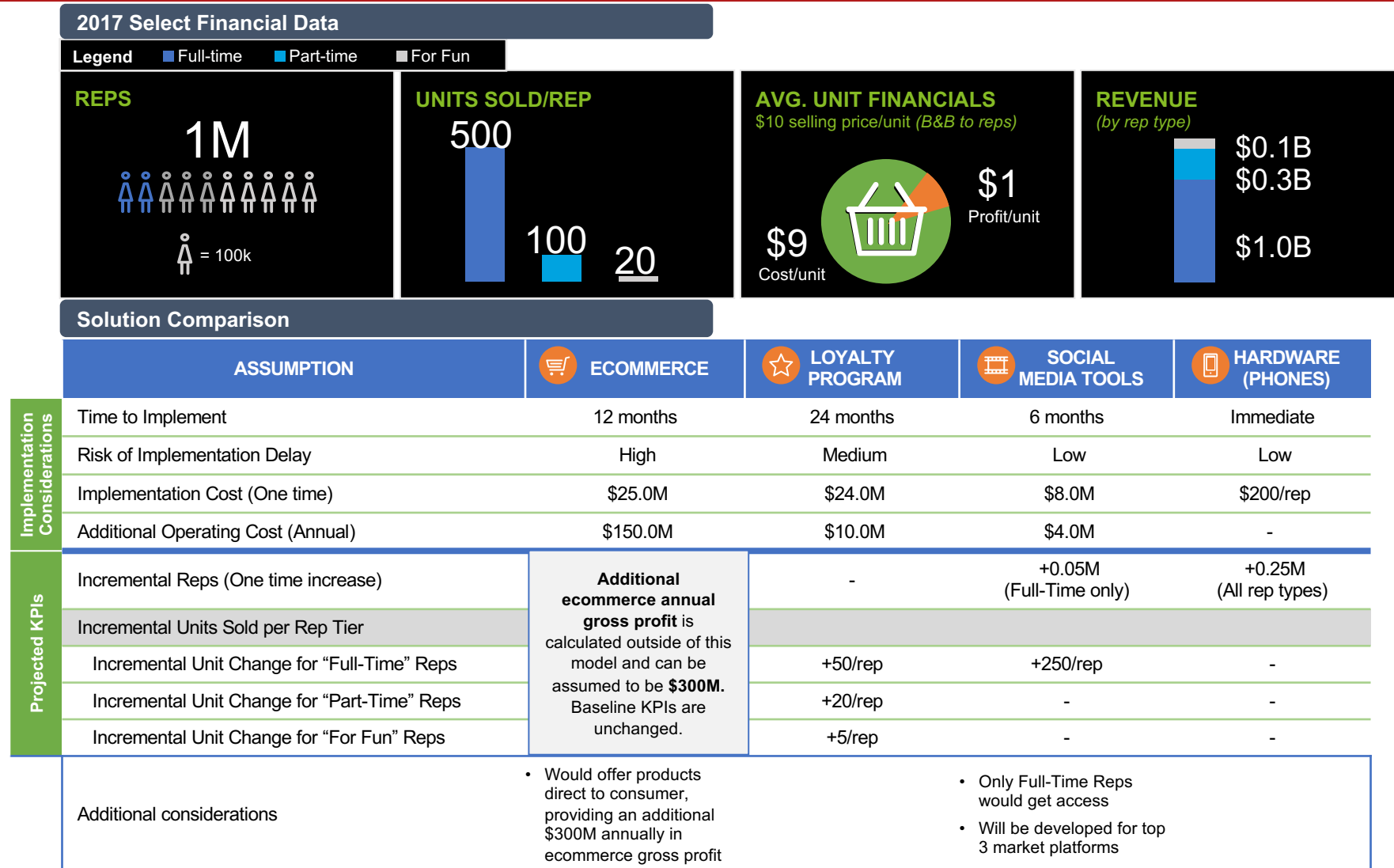
Business Model:

- Products are sold exclusively through licensed sales representatives

Bonnie & Blithe – Structure



Bonnie & Blithe – Digital Solution Deep Dive, Exhibit 1



Bonnie & Blithe – Exhibit 1

Exhibit 1:

Looking at the following information, please identify the two solutions you would like to keep, the two solutions you would like to eliminate, and explain your reasoning.

Social Media Tools (keep – best option because adheres to B&B model of selling D2C):

- Adds 50K additional reps = 250K full-time reps; units sold per full-time rep increases $+250 = 500 + 250$ units sold/rep = 750 units sold/rep
- Profit added (total profit increase = \$87.5M):
 - 200K existing full-time reps * 250 new units sold/rep * \$1 profit/unit = \$50M
 - 50K new full-time reps * 750 units/rep * \$1 profit/unit = \$37.5M

E-Commerce (keep):

- Adheres to one-year timeline; results in \$300M gross profit

Loyalty Program (eliminate):

- Timeline is 24 months

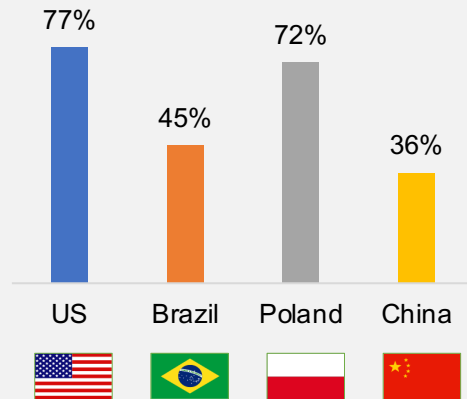
Hardware (eliminate):

- Cost: \$200/rep * 1M reps = \$200M

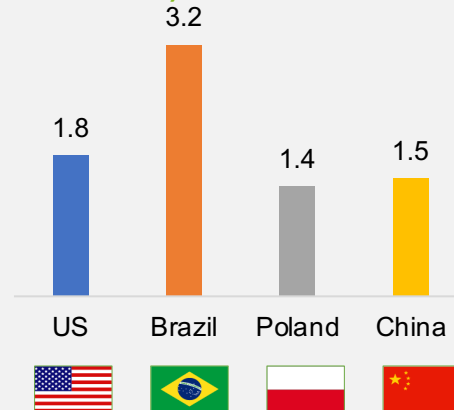


Bonnie & Blithe – Geography, Exhibit 2

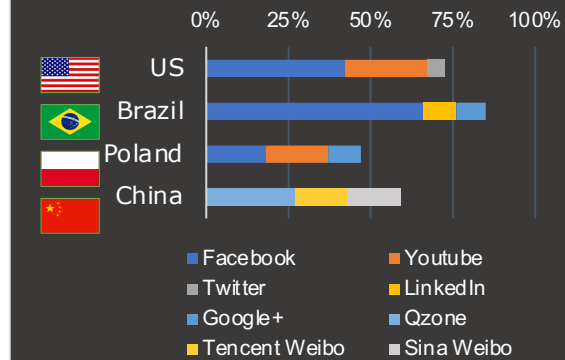
COMPUTER LITERACY



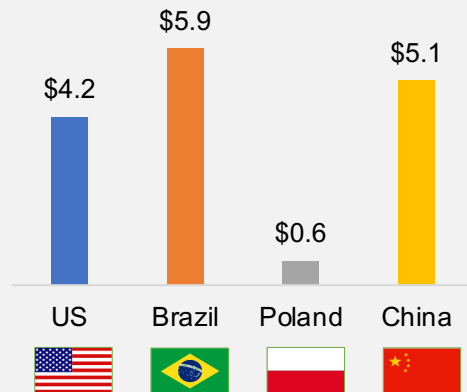
SOCIAL MEDIA USAGE (HOURS/DAY)



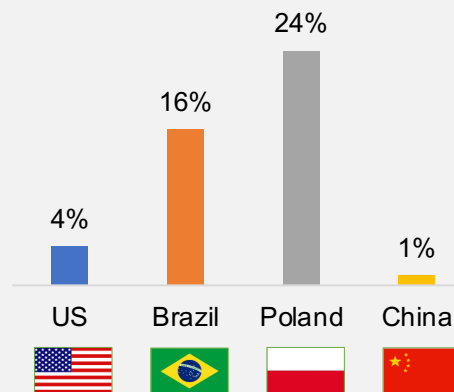
MARKET SHARE OF TOP 3 SOCIAL MEDIA PLATFORMS



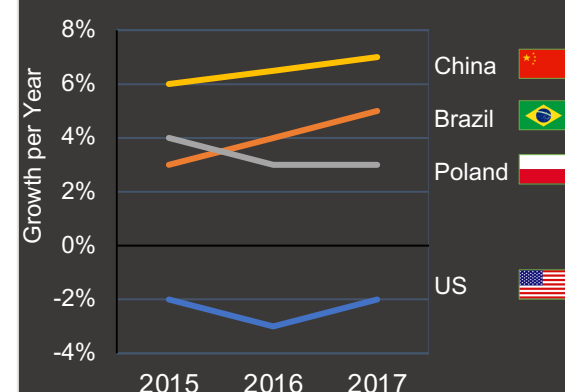
DIRECT SELLING BEAUTY MARKET SIZE (\$B)



B&B MARKET SHARE



DIRECT SELLING BEAUTY MARKET GROWTH



Bonnie & Blithe – Exhibit 2

Exhibit 2:

Moving forward, B&B is looking to conduct a pilot program. Which geography should B&B run their pilot program in?

Brazil (best answer):

- Highest social media usage
- Largest direct selling beauty market \$5.9B
- Beauty market growing YoY
- Bonus points* if candidate notices that Facebook would be the best platform to launch on in Brazil

Other answers:

- U.S. is a poor answer because direct selling market is shrinking
- Poland is a poor answer because beauty market is small
- China is a poor answer because low market share and relatively low social media usage



Bonnie & Blithe – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Client should proceed with utilizing social media programs because of one-year timeline and \$300M gross profit
- Client should run pilot program in Brazil where social media usage is highest and largest/growing beauty market

Risk:

- Implementation delay (although low, still present)

Mitigation:

- Thorough roadmap with built in buffers

Next Step:

- Work with marketing to design the social media programs / advertisements

Trucking Co – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Transportation

Case Type: Profitability

Case Prompt:

Our client is a U.S. transportation company with a fleet of over 2,000 trucks. A fleet is the front part of the truck (where the driver is) but does not include the trailer part. This fleet is split up among 10 locations in the United States.

An example of how this works in practice is the following: the fleet will depart from one location (where all trucks are parked), pick up a customer load (e.g., at a distribution center) which becomes the trailer part, deliver it to another location (e.g., retail store), and then return the fleet to its original location.

Over the past year, the company has been experiencing declining profitability. The client is looking to turn this around and increase profitability in their trucking business.

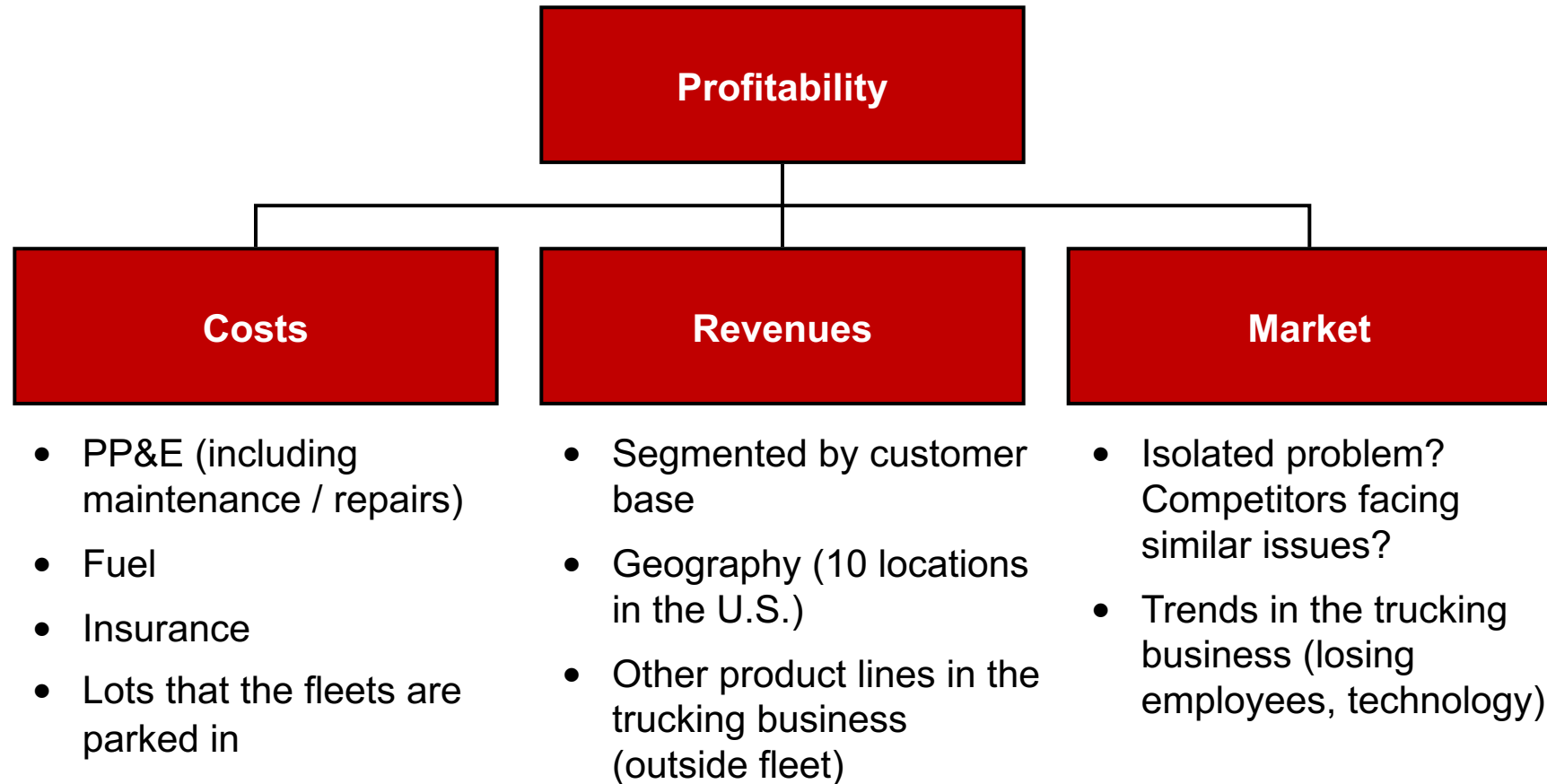
Note: there is minimal clarifying information for this case.

For Interviewer Only:

The point of this case is to see if the candidate can be comfortable with a less common topic and seeing the big picture across all the calculations.



Trucking Co – Structure



Trucking Co – Calculations

Costs are the focus for right now (maintenance and repair costs for the fleets). Our client does some in-house and outsources the remainder to a third party for the whole fleet.

Give to Candidate: For every truck, there were three repairs done in total. Two were done in-house and one was outsourced. What is the total cost spent on in-house costs and the total cost spent on repair costs?

- In-House Material: \$850 dollars; In-House Labor: \$1,100
- Outsourced Material: \$1,400; Outsourced Labor: \$1,500

Candidate Calculations:

- Number of fleets: 2,000 (given)
- In-House Material: $2,000 * \$850 * 2 = \$3,400,000$; In-House Labor: $2,000 * \$1,100 * 2 = \$4,400,000$
- **Total In-House:** $\$3,400,000 + \$4,400,000 = \$7,800,000$
- Outsourced Material: $2,000 * \$1,400 * 1 = \$2,800,000$; Outsourced Labor: $2,000 * \$1,500 * 1 = \$3,000,000$
- **Total Outsourced:** $\$2,800,000 + \$3,000,000 = \$5,800,000$

Insight: Even though outsourced shows as the cheaper option, it is more expensive to do one repair outsourced than to do it in-house. The reasoning for in-house being cheaper could include eliminating the drive to/from the outsourced shop, in-house covers every aspect of repair (including parts, liability coverage, etc.), and the truck is able to be worked on after business hours so that they can stay in utilization.



Trucking Co – Calculations

Through industry research, we have gathered that competitors are paying less across the board for in-house and outsourced material and labor. The client would like to calculate how much they can save if they can get their costs down to the level of their competitors.

Give to Candidate: For every truck, there were three repairs done in total. Two were done in-house and one was outsourced. What are the potential savings if costs come down to competitor levels?

- In-House Material: \$800 dollars; In-House Labor: \$1,000
- Outsourced Material: \$1,000; Outsourced Labor: \$1,000

Candidate Calculations:

- Number of fleets: 2,000
- In-House Material: $2,000 * \$800 * 2 = \$3,200,000$; In-House Labor: $2,000 * \$1,000 * 2 = \$4,000,000$
- **Total In-House:** $\$3,200,000 + \$4,000,000 = \$6,200,000$; **Total Savings:** $\$7,800,000 - \$6,200,000 = \$1,600,000$
- Outsourced Material: $2,000 * \$1,000 * 1 = \$2,000,000$; Outsourced Labor: $2,000 * \$1,000 * 1 = \$2,000,000$
- **Total Outsourced:** $\$2,000,000 + \$2,000,000 = \$4,000,000$; **Total Savings:** $\$5,800,000 - \$4,000,000 = \$1,800,000$

Insight: Overall, there are big savings to drop to competitor level costs (\$3.4M). Even though there are greater savings with outsourced, it would still be beneficial to go in-house. One in-house repair is \$3.1M vs. \$4M for outsourced.



Trucking Co – Brainstorming

Our client is considering approaching cost reduction accordingly: 1) revisit contracts with material suppliers and 2) invest over a two-year period to increase in-house capacity and capabilities. What challenges would you anticipate the client will face?

Revisit Contracts with Material Suppliers:

- Pushback from suppliers for re-negotiating
- Do they already have existing relationships with the cheapest suppliers?
- Macro trends when trying to make this change (inflation, raw materials, etc.) now vs. contract they set 5 or 10 years ago

Increase In-House Capacity and Capabilities:

- Upfront investment in terms of cost (PP&E, employees)
- Warehouse space
- Capability to handle this (time, resources, in their wheelhouse vs. focus on primary business)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Trucking Co – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation to COO (two-pronged approach):

- Client should negotiate contracts with material suppliers citing industry research of competitors
- Client should invest in-house to save money vs. outsourcing

Risks:

- Pushback from suppliers
- Initial upfront investment with PP&E, facilities, materials, employees, and training

Mitigations:

- Consider partnering with other suppliers when contracts come up
- Look to understand the payback period for the investments to plan financials accordingly

Next Steps:

- Plan and project manage two-year roadmap to increase in-house capacity and capabilities including investments



Grocery Store Bakery – Prompt and Case Guide

Case Style: Interviewee-led (L.E.K. Quant – Generalist) **Industry:** Retail / Consumer

Case Type: Profitability

Case Prompt:

Our client (Fresh Foods) is an independent grocery store in Chicago and is thinking about opening an in-store bakery and providing fresh baked artisan bread to its customers. However, they need to decide if offering fresh baked artisan bread is a good idea.

Note: Assume artisan breads are generally small batch produced, with fewer ingredients and no preservatives. They tend to be baked 80-90% in a local bakery, frozen, and shipped to retailers with in-store bakeries. Bread is then “finished off” in the store with the last 10 minutes of baking so that customers get fresh baked bread on daily basis.

Since Fresh Foods moved into an existing store location, they have a kitchen and all the equipment needed to finish off the baking in-store.

What costs and revenue items should Fresh Foods consider? Would this be a profitable idea? What would the impact per month be for Fresh Foods?

For Interviewer Only:

The point of this case is to see if the interviewee can work through the different pieces of information provided in order to calculate the profitability for the artisan bakery.



Grocery Store Bakery – Clarifying Information

Fixed Costs (additional cost over normal store operations):

- Labor Costs: \$10/hour
- Labor Time Required: 6 hours per day
- Utilities: \$1,200/month

Variable Costs:

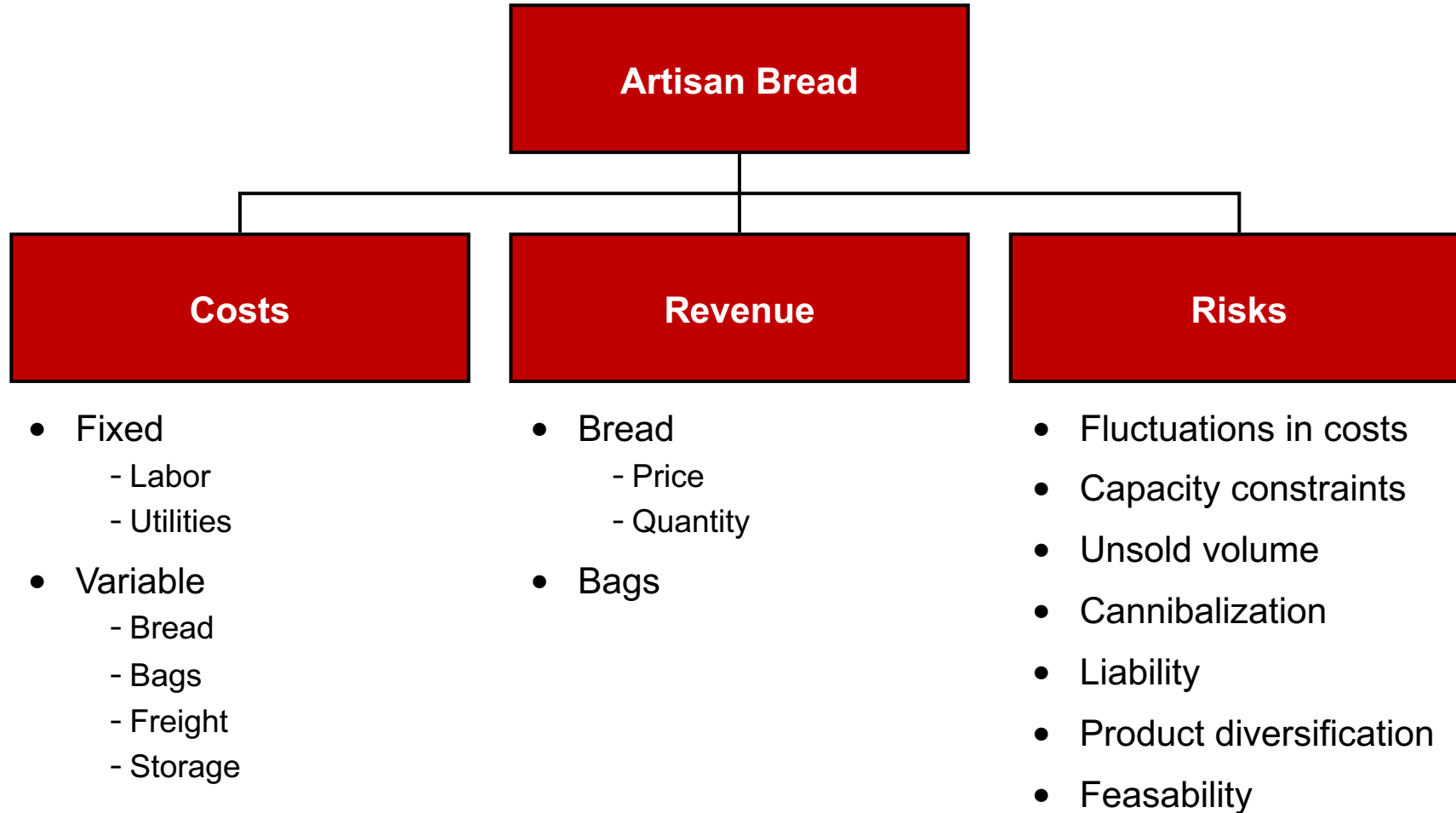
- Bread: \$0.40/loaf
- Bags (one per bread): \$0.02/bag
- Freight: \$3/pallet; **Give to Candidate:** Assume 20 lbs./pallet and 1 loaf = 0.55 lbs
 - **Candidate Calculation:** 20lbs/pallet $\rightarrow$ \$0.15/lbs $\rightarrow$ \$0.0825/loaf
- Storage: \$2/pallet; **Give to Candidate:** Assume 20 lbs./pallet and 1 loaf = 0.55 lbs
 - **Candidate Calculation:** 20 lbs. pallet $\rightarrow$ \$0.10/lbs. $\rightarrow$ \$0.055/loaf

Revenue:

- Price: \$3.50/loaf
- Bags (one per bread): \$0.02/bag



Grocery Store Bakery – Structure



Grocery Store Bakery – Calculations

Candidate should calculate profitability per month.

Costs:

- Labor: $\$10 / \text{hour} \times 6 \text{ hours} / \text{day} \times 30 \text{ days} / \text{month} = \mathbf{\$1,800}$
- Utilities: $\$1,200 / \text{month} = \mathbf{\$1,200}$
- Bread: $\$0.40 / \text{loaf} \times 1,350 \text{ loaves} / \text{month} = \mathbf{\$54}$
- Bags: $\$0.02 / \text{bag} \times 1,350 \text{ loaves} / \text{month} = \mathbf{\$27}$
- Freight: $\$0.0825 / \text{loaf} \times 1350 \text{ loaves} / \text{month}$ or $\sim \$3 / \text{pallet} \times 37 \text{ pallets} / \text{month} = \mathbf{\$111}$
- Storage: $\$0.055 / \text{loaf} \times 1350 \text{ loaves} / \text{month}$ or $\sim \$2 / \text{pallet} \times 37 \text{ pallets} / \text{month} = \mathbf{\$74}$
- **Total costs: $\$3,752 / \text{month}$**

Revenues:

- **Total revenue: $\$3.50 \text{ per loaf} \times 1,350 \text{ loaves} / \text{month} = \mathbf{\$4,725 / month}$**

Total profit: $\$4,725 - \$3,752 = \mathbf{\$973 / month}$

Insight: Profit for offering artisan bread isn't huge. Small fluctuations in some of the levers discussed can easily make this an unprofitable business. Given the number itself isn't an automatic win, a stronger response would be to discuss some risks/opportunities or potential implications of going forward with the offering.



Grocery Store Bakery – Brainstorming

What other things should Fresh Foods consider before they decide if to invest in the artisan breads? What are the key risks and opportunities?

Potential Risks:

- Fluctuations in costs – price increases for inputs of bread (wheat grain, flour, sugar etc.), labor increases, storage, and freight fluctuations with seasonality
- Capacity constraints – additional labor if demand for bread increases and how that would impact profitability
- Unsold volume – how much of what we buy can we actually convert to sales on a monthly basis?
- Cannibalization – do we cannibalize sales of center aisle bread and other packaged snacks?
- Liability – since branding with Fresh Foods logo, any contamination in the bread may be the grocer's problem instead of the manufacturers

- Product diversification – how would profitability be impacted if introduced a variety of artisan breads to customers instead of 1 type
- Feasibility in assumptions – are the cost assumptions and volume assumptions reasonable?

Potential Opportunities:

- Higher margins – artisan bread that is private label (branded with Fresh Foods logo) can provide higher margins for the grocer
- Retailer loyalty – offers a product consumers can't get elsewhere
- Increased sales – fresh baked bread can attract consumers to the deli/bakery section of the store and drive sales for other goods in close proximity, giving the rest of your product a fresher image

If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.



Grocery Store Bakery – L.E.K. Scorecard

Analytical Outcome	Interviewee Performance
No	• Unable to follow an organized structure when going through the calculations, and makes consistent errors throughout • Unable to drive to strategic implications or identify other factors to consider when conducting calculations
Maybe / Weak Yes	• Clearly organizes calculations and works through math methodically with few errors • Reacts to new information / follow up questions with poise • Highlights key strategic factors the client should consider
Strong Yes	• Develops an organized framework to evaluate other strategic factors and proactively identifies other areas in which he/she would want to gather more information • Shows excellent business acumen when hypothesizing on potential answers for follow up questions • Demonstrates comfort and speed while working through calculations AND is able to identify key important strategic factors, and other strategic implications with minimal help

Surgical Robot – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Healthcare

Case Type: M&A

Case Prompt:

Your client is a privately owned hospital that offers high-tech surgical procedures. They would like to start using robots in their surgeries.

Recently, a new surgical robot, Robot X, was developed and has now been on the market for six months. The robot is highly precise and drastically reduces human work in surgeries.

Should your client acquire Robot X?

For Interviewer Only:

This case employs break even analysis. Client should not acquire Robot X (specific no-go), however, if candidate has strong reasoning, acquisition can be considered.



Surgical Robot – Clarifying Information

Time Horizon:

- Technology replacement rate is ~10 years for surgical robots

Hospital Business Model:

- Client specializes in minimally invasive surgeries, but has never employed a full robot

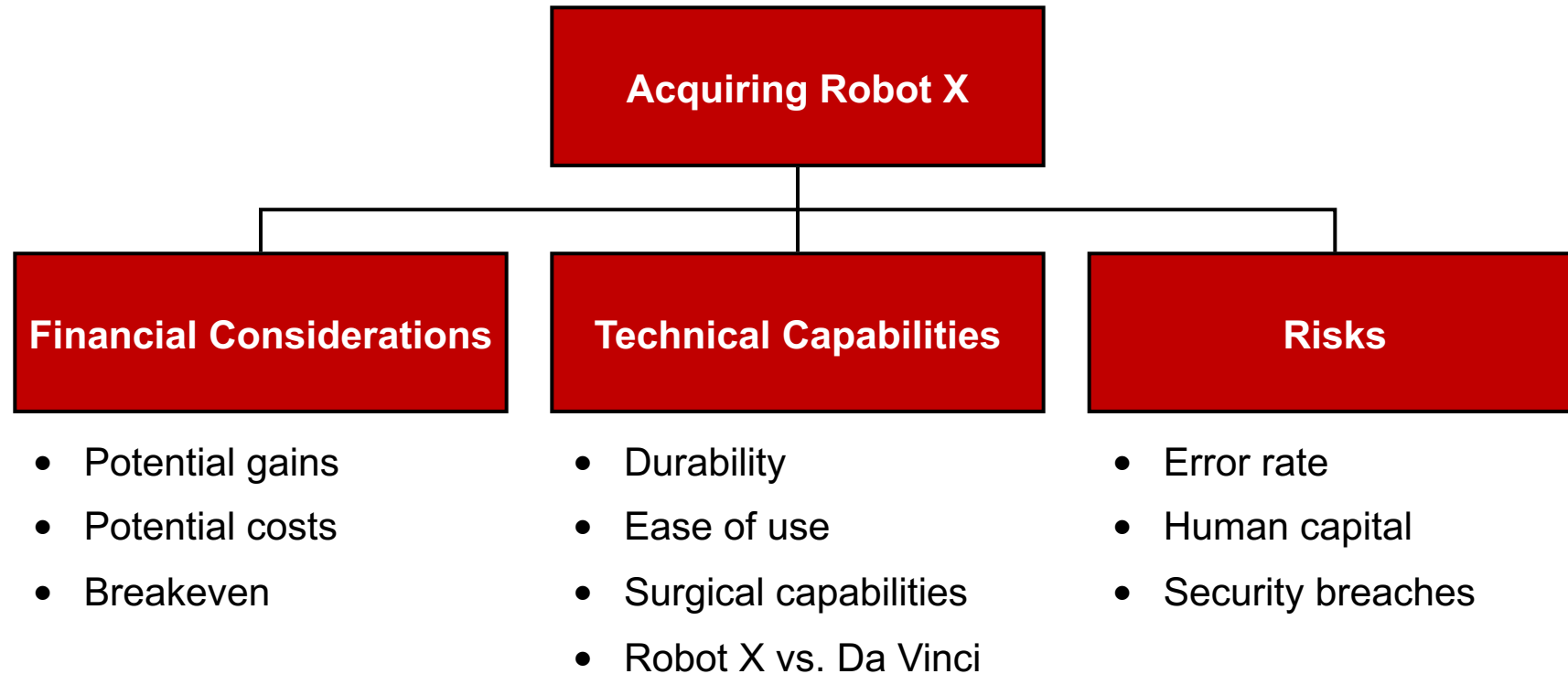
Finances:

- Of the hospital staff who are authorized to perform surgeries, 70% are technicians (with Bachelor's degree) and 30% are medical professionals (with M.D.)
- Buying a surgical robot will allow our client to hire 5 fewer staff technicians per year
- Each staff technician is paid an annual salary of \$60,000
- The hospital generates an extra \$300/surgery that a surgical robot performs

Robots on the Market:

- There are currently only a few surgical robots on the market; the Da Vinci Robot is the leader in the market

Surgical Robot – Structure



Surgical Robot – Exhibit 1

Exhibit 1: Features of surgical robots

Category	Robot X	Da Vinci Robot
Number of arms	8	4
Cleaning	Cleaned after every use	Cleaned after every use
Average durability	10 years	8 years
Additional surgeries/year	200	50
Remote operations	Yes	Yes
Size (length X width X height in ft)	5 X 4 X 5	6 X 7 X 6
Precision	98%	95%
Maintenance costs (\$/year)	\$200,000	\$100,000
Price	\$3.2 million	\$1.5 million

Surgical Robot – Exhibit 1, Question 1

Exhibit 1:

Provide Exhibit 1 when candidate asks about costs. Candidate should suggest calculating the break even point for the Robot X investment. If not, try to lead them in this direction.

Break even is the point at which gains = losses

- Gains = 5 technicians * \$60,000 + 200 surgeries * \$300 = \$360,000 year
- Losses = \$200,000/year + \$3.2 million (one-time cost)
- Let x be number of years it takes to reach break even, then after x years:
 - $360,000x = 200,000x + 3,200,000$
 - $160,000x = 3,200,000$; $x = 20$

Our client would break even after 20 years.

This is unrealistically long (twice the lifetime of the robot) and so investment is not worthwhile.

Surgical Robot – Exhibit 1, Question 2

Exhibit 1:

What other options does our client have for improving their services?

Candidate should do the break even analysis for the Da Vinci robot.

- Gains = 5 technicians * \$60,000 + 50 surgeries * \$300 = \$315,000/year
- Losses = \$100,000/year + \$1.5 million (one-time cost)
- Let x be number of years it takes to reach break even, then after x years:
 - $315,000x = 100,000x + 1,500,000$
 - $215,000x = 1,500,000$; $x = \sim 7$

Our client would break even after 7 years

This is only slightly shorter than the lifetime of the robot.



Surgical Robot – Brainstorming

Aside from profitability, what other factors would likely influence our client's decision on whether or not to invest in a robot for surgery?

Internal Preferences:

- Operator
 - Ease of use of the robot
- Patient
 - Robotic surgery vs. human operator

External Preferences:

- Board of Directors
 - Who is on the board
 - How much share do they hold
 - Voting and decision-making
- Competition
 - Competitors moving toward this technology?
 - Competitive advantage



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Surgical Robot – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Client should not invest in robot due to break even period of twenty years which is unrealistically long; Da Vinci also does not make sense because break even is only slightly shorter than the lifetime of the robot

Risk:

- Competitors may be employing robots in surgeries

Mitigation:

- Client should look into other ways of improving their services such that they would not lose their competitive advantage

Next Step:

- Improve existing technology / equipment

Pharma Co – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Life Sciences

Case Type: Market Attractiveness / Two Options

Case Prompt:

Our client today is Pharma Co., which is a global manufacturer of specialty drugs. They produce blockbuster drugs across a variety of diseases. They have approached you because they have two drugs in the pipeline to help the 5 million people living with Alzheimer's. The two drugs in the pipeline are:

- 1) Disease Modifying Drug – which is designed to slow the progression of Alzheimer's.
- 2) Symptom Treating Drug – which would reduce the effects of Alzheimer's symptoms and improve the patient's quality of life.

Both drugs are in the same development stage, but Pharma Co. can only continue to invest in the research and development of one.

They brought you in to help determine which drug they should choose.

Note: Alzheimer's is a degenerative brain disease most commonly associated with memory loss. Alzheimer's causes the brain function to degrade over time. As the disease progresses patients lose basic bodily functions (e.g., breathing), which is ultimately fatal.

For Interviewer Only:

This case should center on an evaluation of the two possibilities for disease treatment but does not include a breakeven analysis.



Pharma Co – Clarifying Information

Goal:

- There is no specific revenue or financial target, though for this analysis we are primarily concerned about overall profitability. Blockbuster drugs are highly profitable drugs with annual sales of \$1B+ and benefit from patent exclusivity.

Other Treatments for Alzheimer's Available:

- 5 million people globally suffer from Alzheimer's. In the context of this case, there is no other treatment or cure on the market for Alzheimer's.

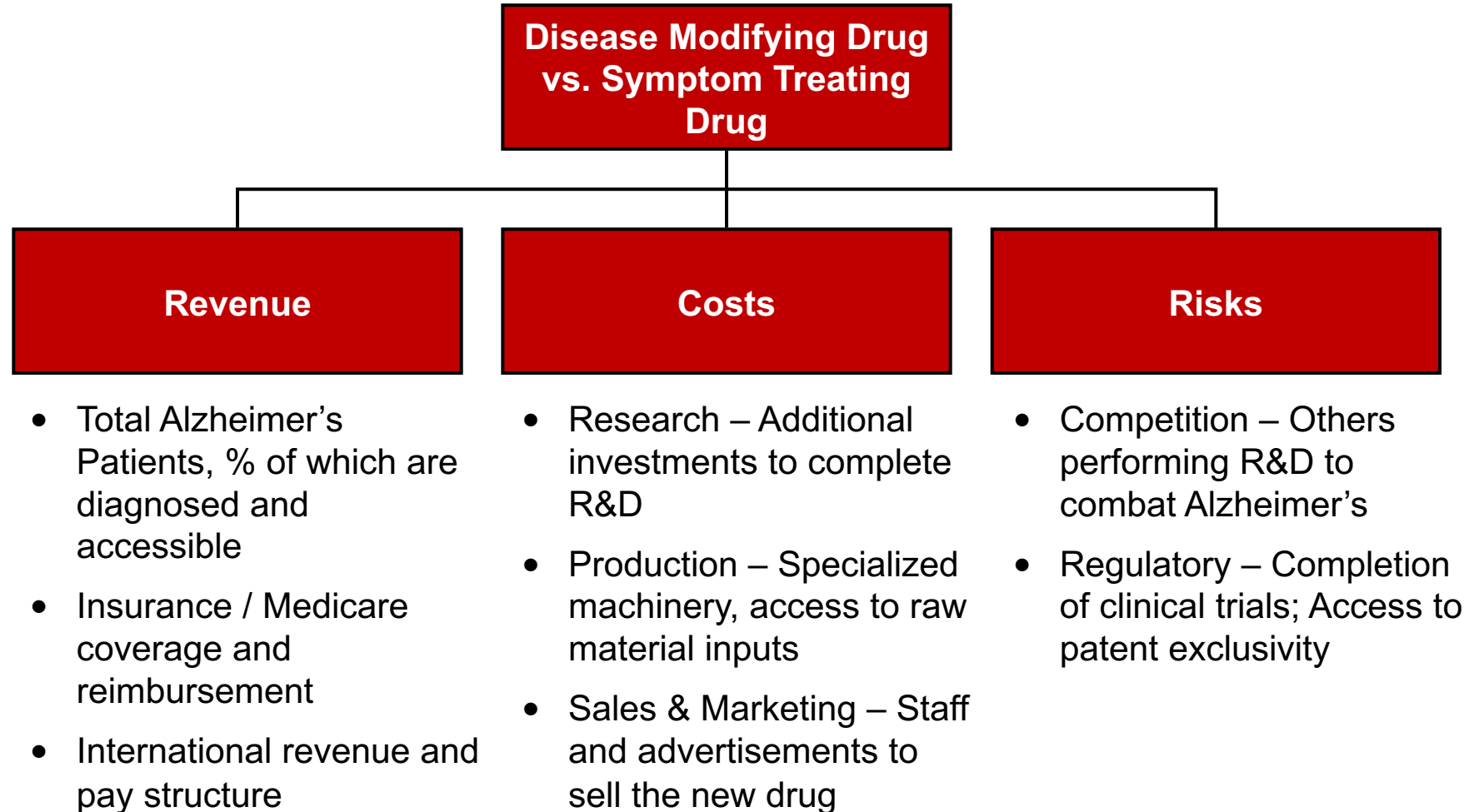
Drug Development Stage:

- Both drugs are in the same development stage. Additional research is needed for either of them to be completed.

Drug Frequency:

- Both drugs would be taken daily for the rest of the patient's life.

Pharma Co – Structure



Pharma Co – Market Sizing

Invite the candidate to consider factors that would determine revenue potential; subsequently provide this information. Because there are no other drugs currently on the market, 100% market share can be assumed.

Exhibit and Calculations:

	Information to disclose when asked		Solution
	Qualifying Patients (Global)	Price / Year	Market Size Calculation
Symptom Treating Drug	3 Million	\$3,500	\$10.5 Billion
Disease Modifying Drug	4 Million	\$6,250	\$25.0 Billion

A good candidate will perform calculations quickly and accurately. An astute candidate will recall that there are 5 million Alzheimer's patients globally, meaning that these two markets overlap substantially. Candidate should drive to calculating profitability next.



Pharma Co – Exhibit and Calculations

Below is an analysis of revenues and costs for Pharma Co. Please determine the annual gross profit.

Give to Candidate:

Symptom Treating Drug	
Revenue	\$3,500 / patient / year
COGS	\$1,000 / patient / year
R&D Investment	\$2 Billion

Disease Modifying Drug	
Revenue	\$6,250 / patient / year
COGS	\$1,000 / patient / year
R&D Investment	\$2 Billion

Candidate Calculations:

$$\text{Symptom Treating Drug: } \left(\frac{\$3,500 \text{ Patient}}{\text{Year}} - \frac{\$1,000 \text{ Patient}}{\text{Year}} \right) * \frac{3M \text{ Patients}}{\text{Year}} = \$7.5B/\text{year}$$

$$\text{Disease Modifying Drug: } \left(\frac{\$6,250 \text{ Patient}}{\text{Year}} - \frac{\$1,000 \text{ Patient}}{\text{Year}} \right) * \frac{4M \text{ Patients}}{\text{Year}} = \$21.0B/\text{year}$$

The candidate should notice that COGS and R&D costs are the same for both drugs. A strong candidate will then determine that costs are not the most important factor to consider. We do not have information about SG&A, depreciation, or other expenses and will omit them for this analysis. If the candidate drives toward breakeven, coach them toward determining annual gross profit. Gross Profit = Revenue – COGS. One-time costs like R&D should not be included.



Pharma Co – Risk Adjusted Calculations

Prompt the candidate with the note below; after completing calculations, they should drive toward competition.

During our interview with Pharma Co's Chief Scientist, she indicated that both drugs were pushing the edge of science. Neither drug is guaranteed to make it through all the clinical trials. Her team believes the symptom treating drug has an 80 percent chance of failure, and the disease modifying drug has a 95 percent chance of failure. How would you adjust the profitability considering this risk?

Candidate Calculations:

	Gross Profit (from previous math)	Chance of R&D Failure (given)	Risk Adjusted Profit
Symptom Treating Drug	\$7.5 Billion	80%	\$1.5 Billion
Disease Modifying Drug	\$21 Billion	95%	\$1.05 Billion

It is simpler if the candidate inverts the values to percentages of success (20% and 5%) and then finds the profit.



Pharma Co – Brainstorming

While there is no product currently on the market to treat Alzheimer's, we know there are competitors conducting their own research. We conducted a competitor analysis and found:

There are 5 competitors researching a Symptom Treating Drug, and all 5 are using similar techniques and mechanisms to develop the drug.

There are 12 competitors researching a Disease Modifying Drug, and Pharma Co has a distinct mechanism for its drug.

Qualitatively, how would you assess these competitive dynamics?

See next slide for interviewer guidance.



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Pharma Co – Brainstorming

The candidate should not perform any calculations. If they insist on calculating market share, they would be:

Symptom Modifying: $\$10.5\text{B} / 6 = \1.75B in revenue / firm

Disease Modifying: $\$25\text{B} / 13 = \1.92B in revenue / firm

This assumes an even split and no downward pressure on price because of competition.

Many candidates ask for more information about our differentiation with the Disease Modifying Drug. Tell them we don't have any additional information.

- This is designed to be a thought exercise, and there isn't a clear "right answer."
- Every candidate should consider the effects of competition on our pricing estimates.
- Strong candidates will acknowledge tradeoffs while providing a well thought out rationale for which drug is the better choice.
- Very strong candidates will notice that these are not entirely separate markets, and patients and doctors may prefer one drug over the other.

If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.



Pharma Co – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Examples of rationale for the Symptom Treating Drug: lower R&D risk and fewer competitors
- Examples of rationale for the Disease Modifying Drug: larger estimated TAM and if price is an indicator of value, then customers/doctors value the Disease Modifying Drug more

Risk:

- Example of risk for the Symptom Treating Drug: (5) competitors researching have a similar mechanism to develop the drug vs. distinct
- Example of risk for the Disease Modifying Drug: higher R&D risk of 95% vs. 80%

Mitigation:

- Example of mitigation for the Symptom Treating Drug: not entirely separate markets, can adjust pricing if need be
- Example of mitigation for the Disease Modifying Drug: regular on-site monitoring should be performed

Next Step:

- Invest in R&D for drug of choice (by candidate) and consolidate resources to move along development process



East Asia Cuisine – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Restaurant

Case Type: Market Entry

Case Prompt:

Our client, Randy, is a second-year MBA student at Cornell Johnson Graduate School of Management.

Having missed the wonderful food in her hometown, Hong Kong, and in light of the lack of Guangdong style food in Ithaca, she is considering starting a takeaway only restaurant that sells Hong Kong style dim sum and beverages.

Randy would like to know what factors she should consider when deciding whether to start this business.

For Interviewer Only:

This case is a go / no go situation, however, either recommendation is OK as long as it is backed up.



East Asia Cuisine – Clarifying Information

Goal:

- Randy wants to have a stabilized annual profit of \$80,000 per year

Business Model:

- Randy plans to order frozen food either from Hong Kong or locally. Think Siu Mai, Beef Balls, Curry Fish Ball, and Milk Tea. She simply needs to re-heat them and steam them, so it is pretty straight forward. That's why Randy thinks that she can manage it, although she does not have prior experience in the restaurant industry. Randy is thinking about leasing a retail spot in Collegetown, opposite to Breazzano Centre, a new complex in which Johnson business school students go to classes. The spot is also a 10-minute walk away from the main Cornell campus.

Budget:

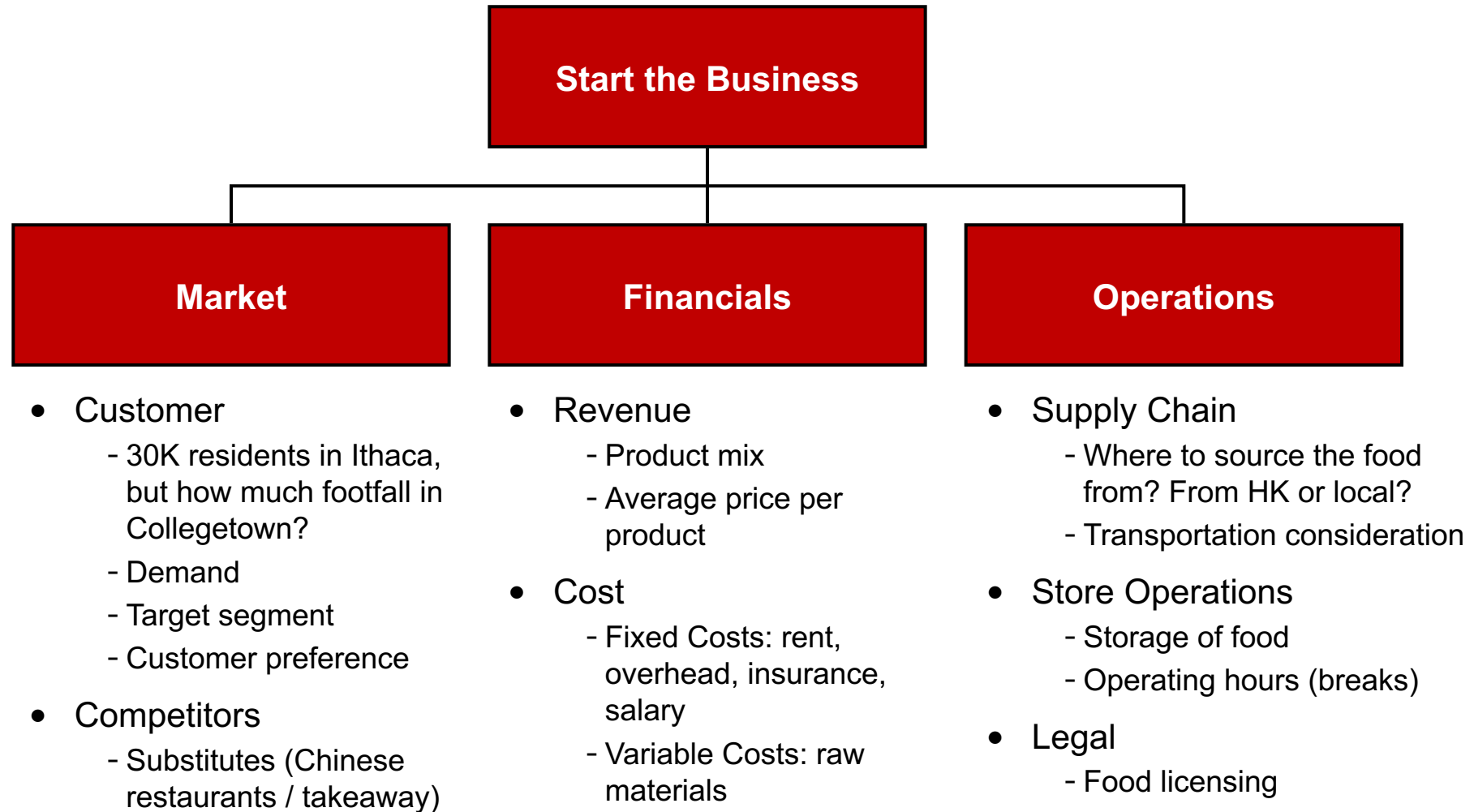
- Budget is not a huge concern. Randy is confident to cover the associated upfront cost for a small takeaway restaurant.

Competition:

- Given the niche restaurant idea, there are no direct competitors at the moment. Potential substitutions are other Chinese restaurants or takeaway options.



East Asia Cuisine – Structure



East Asia Cuisine – Calculations, Question 1

After walking through the structure, ask candidate where they want to start. Guide them toward sizing potential revenue calculations (market sizing)

Ask candidate to calculate the potential weekly revenue. Ask them what information they need; give them the below information when prompted.

- Ithaca has a population of 30,000, mostly students
- Only 20% of them will pass by the store location
 - Amongst those, 30% of them are Chinese
- 70% of Chinese will try out the restaurant and 25% of them will convert to long-term customers and visit 2 times per week
- 50% of Non-Chinese will try out the restaurant and 10% of them will convert into long-term customers and 1 time per week
- Average spending per visit per person is \$7



East Asia Cuisine – Calculations, Question 1

Ithaca Population	30,000					
Percent passing by the store	20%					
Number of people passing by the store	6,000					
Number of people passing by the store	6,000					
Average spend per person	\$7					
	Percent of population	Percent willing to try	Long-term conversion rate	Visits per week	Weekly visits	Weekly revenue
Chinese	30%	70%	25%	2	630	\$4,410
Non-Chinese	70%	50%	10%	1	210	\$1,470
						Total: \$5,880 (rounding to \$6,000 is OK)



East Asia Cuisine – Calculations, Question 2

Direct the candidate to think about whether it's a good idea to operate 12 months a year given the extensive summer and winter break.

Afterward, let the candidate know that it is a good idea to operate only 8 months a year or equivalently 30 weeks. Ask the candidate to estimate the annual revenue.

- **Annual Revenue: $\$5,880 * 30 \text{ weeks} = \$176,400$**

East Asia Cuisine – Calculations, Question 3

Ask the candidate to think about cost and what factors are involved. Afterward, have the candidate estimate the annual cost of running the business.

Provide the following to the candidate when asked:

- Gross Margin: 80%; therefore, the gross profit is $\$176,400 * 80\% = \$141,120$
- Rent: \$2,000 per month
- Salary: \$5,000 per month (assume this includes all employees)
- Overhead: \$3,000 per month

Note: The monthly rent should be multiplied by 12 and the salary/overheads should be multiplied by 8, because it is almost impossible for Randy to find a lease that allows her to rent 8 months a year.



East Asia Cuisine – Calculations, Question 3

	Monthly costs	Months per year	Annual cost
Rent	\$2,000	12	\$24,000
Salary	\$5,000	8	\$40,000
Overhead	\$3,000	8	\$24,000
			Total: \$88,000

Candidate Key Insight:

Gross Profit: \$141,120

Costs: \$88,000

Annual Net Profit: \$53,120

Goal: \$80,000

\$53,120 < \$80,000

East Asia Cuisine – Brainstorming

Brainstorm ideas to improve profits. Note: there are much more opportunities to increase revenue rather than cutting costs, but so long as the suggestions are sensible, cost cutting measures are also acceptable.

Existing Target Segment:

- Price the items ending in .99
- Improve conversion rate by loyalty program
- Have the food placed closer to the shopfront so that by passers can be attracted by the food aroma

New Target Segment / Revenue Stream:

- Partner with student clubs (Asian affinity group) for promotion
- Partner with delivery apps to expand the customer base to a broader range of individuals across Ithaca
- Sublease the shop to another business for the remaining four months of the year
- Leverage school resources for promotion: e.g., inviting faculty/senior management to the place, take a photo with them and place it in some prominent spots

If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.



East Asia Cuisine – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Can be for or against opening the restaurant, however, backed up answer from the calculations would be not to open up the restaurant because annual profit is \$53,120 which is less than the goal of \$80,000
- This recommendation will utilize no-go to go through risk, mitigation, and next steps

Risk:

- Miss out on unique business opportunity in Ithaca

Mitigation:

- Revise business plan and look at additional opportunities in the restaurant / hospitality space

Next Step:

- Work with marketing to design the social media programs / advertisements



MEDIUM CASES



Quick Package Co – Prompt and Case Guide

Case Style: Interviewer-led

Industry: Transportation

Case Type: Investment

Case Prompt:

Our client is a major delivery company in the United States. Quick Package Co. (QPC) is a national player with reach across the nation. QPC completes routine residential and commercial package delivery (like FedEx and UPS).

Competing is a costly business these days and the company is facing a major decision about their vehicle fleet – should the company invest in a fleet of internal combustion engine (ICE “gas”) trucks or electric (EV) vans?

Our client is looking for your guidance to help answer this question.

Note: candidate should assume that the physical size and capacity of the two kinds of vans are equivalent

For Interviewer Only:

This case is an investment decision and has a correct answer. The candidate should drive towards breakeven and look to understand how long the company would need to operate an electric truck to meet cost of a gas one. There are no exhibits; data should be read verbally to candidate.



Quick Package Co – Clarifying Information

Goal:

- Determine which van type the company should pursue.

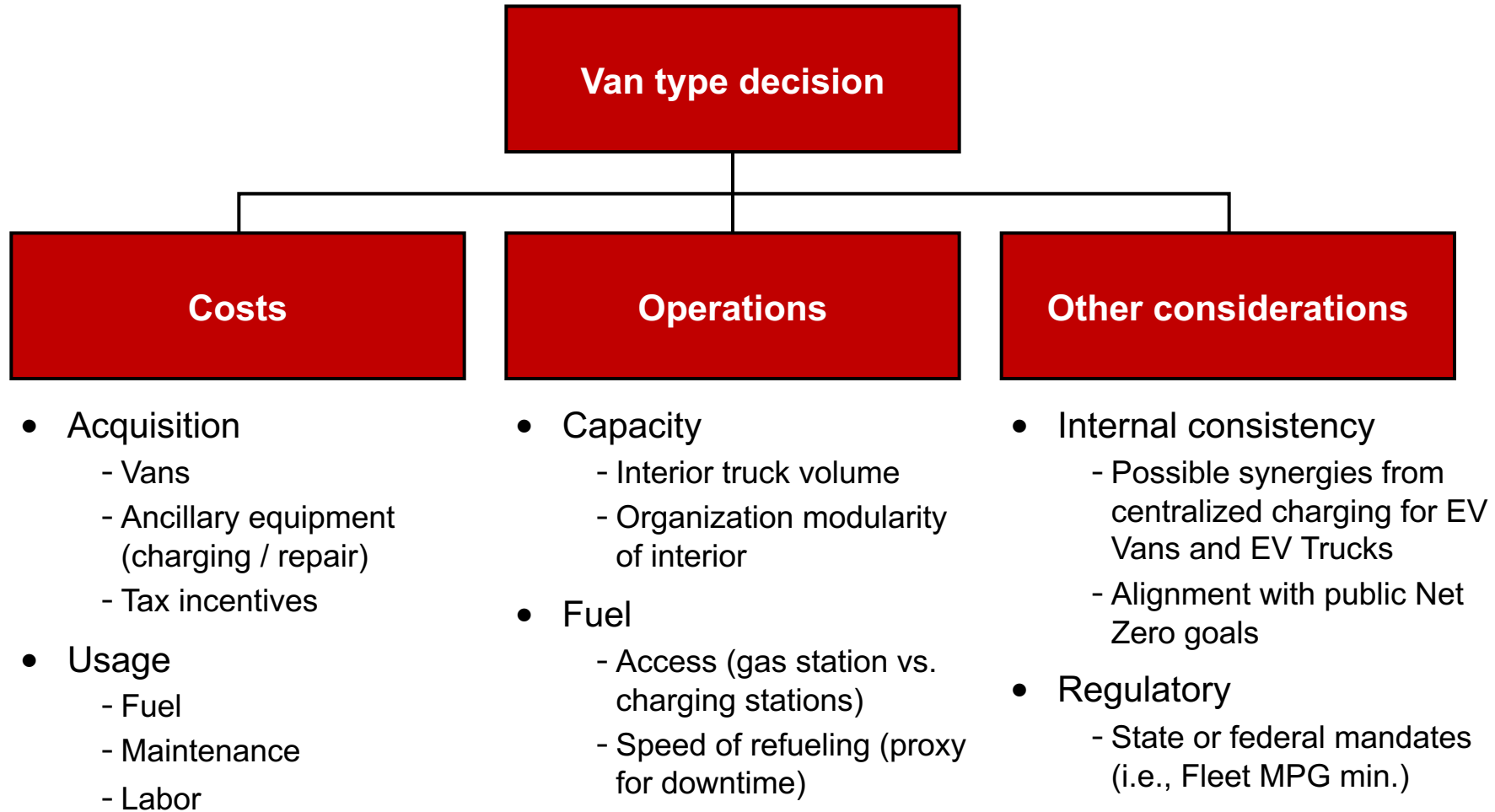
Purpose of Vans:

- Urban and local deliveries [not long-haul trucking]

Transportation Fleet:

- QPC recently invested in EV Trucks (for interstate logistics)

Quick Package Co – Structure



Quick Package Co – Vehicle and Usage Data and Calculations

After walking through the structure, candidate should drive to cost information. Ask them to calculate annual fuel costs if they do not drive there from given information. Provide data to candidate verbally only.

Give to Candidate:

	Cost/Unit	Fuel	Usage	Distance
Electric	\$160,000	\$24/charge	300 miles/charge	45,000 miles/year
Gas	\$120,000	\$3/gallon	5 miles/gallon	45,000 miles/year

Candidate Calculations:

$$\text{Electric: } \frac{24 \text{ Dollars}}{\text{Charge}} * \frac{\text{Charge}}{300 \text{ Miles}} * \frac{45,000 \text{ Miles}}{\text{Year}} = \$3,600/\text{year}$$

$$\text{Gas: } \frac{3 \text{ Dollars}}{\text{Gallon}} * \frac{\text{Gallon}}{5 \text{ Miles}} * \frac{45,000 \text{ Miles}}{\text{Year}} = \$27,000/\text{year}$$



Quick Package Co – Brainstorming

As the candidate drives toward maintenance costs, have them brainstorm elements before sharing the data.

Vehicle Maintenance:

- Frequency until next maintenance (# of miles)
- Required tools to work on vehicle type
- Lifetime of vehicle

Maintenance Labor:

- Number of people to work on each vehicle type
- Time (# of hours)
- Skillset required of labor
- Cost (per hour)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Quick Package Co – Maintenance Data and Calculations

If candidate requires prompting, ask them to calculate maintenance frequency and annual cost first, then ask them to determine the annual maintenance cost.

Give to Candidate:

	Maint. Freq.	Maint. Fee	Labor Amt.	Labor Time	Labor Cost	Vehicle Life
Electric	Every 11,000 miles	\$4,000	8 people	8 hours	\$25/hour	3 years
Gas	Every 15,000 miles	\$2,000	8 people	8 hours	\$15/hour	5 years

Candidate Calculations:

$$\begin{aligned}\text{Electric: } & \frac{45,000 \text{ Miles}}{\text{Year}} * \frac{\text{Maintenance}}{11,000 \text{ Miles}} = 4.09 \approx \mathbf{4 \text{ times a year}} \\ & \frac{4 \text{ Maintenances}}{\text{Year}} * \frac{4,000 \text{ Dollars}}{\text{Maintenance}} = \mathbf{\$16,000/year}\end{aligned}$$

$$\begin{aligned}\text{Gas: } & \frac{45,000 \text{ Miles}}{\text{Year}} * \frac{\text{Maintenance}}{15,000 \text{ Miles}} = \mathbf{3 \text{ times a year}} \\ & \frac{3 \text{ Maintenances}}{\text{Year}} * \frac{2,000 \text{ Dollars}}{\text{Maintenance}} = \mathbf{\$6,000/year}\end{aligned}$$



Quick Package Co – Maintenance Data and Calculations

If candidate requires prompting, ask them to calculate maintenance frequency and annual cost first, then ask them to determine the annual maintenance cost. Candidate should then calculate the total annual cost for each van type.

Candidate Calculations:

$$\text{Electric: } 8 \text{ Persons} * \frac{8 \text{ Hours}}{\text{Person}} * \frac{25 \text{ Dollars}}{\text{Hour}} * \frac{4 \text{ Maintenances}}{\text{Year}} = \$6,000/\text{year}$$

$$\text{Gas: } 8 \text{ Persons} * \frac{8 \text{ Hours}}{\text{Person}} * \frac{15 \text{ Dollars}}{\text{Hour}} * \frac{3 \text{ Maintenances}}{\text{Year}} = \$2,880/\text{year}$$

Total Costs:

$$\text{Electric: } \$3,600 + \$16,000 + \$6,000 = \$25,600/\text{year} \rightarrow \text{can round to } \$26,000/\text{year}$$

$$\text{Gas: } \$27,000 + \$6,000 + \$2,880 = \$35,880/\text{year} \rightarrow \text{can round to } \$36,000/\text{year}$$

Insight: With \$10,000 cost difference per year, the Electric trucks will take about 4 years to break even with a Gas truck. However, the Electric trucks are assumed to only have a useful life of 3 years → fleet should be Gas.



Quick Package Co – Post Calculations

Technology breakthrough:

Due to a breakthrough in battery technology, the vehicle life for an electric van has increased to 4 years. Does this impact your thoughts?

This should flip the recommendation to Electric.

Quick Package Co – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Given technology breakthrough, recommendation should be for Electric vans

Risk:

- Charging operations (downtime)

Mitigation:

- Since these vans are for routine residential and commercial routes, charging can be planned ahead of time via the operations team (done overnight or before / after routes)

Next Steps:

- Choose a supplier (or suppliers) of electric vans and negotiate terms of agreement

Bank Loan Operations – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Financial Services

Case Type: Profitability

Case Prompt:

Your client is a bank that is considering changing its loan-issuing operation to a new system. The bank's original loan process has the following steps:

- A loan application is generated at a bank branch
- The branch completes a first background check
- If the applicant clears the first background check, it is sent to a central office for a second background check
- The central office either approves or denies the loan

The bank is considering eliminating the first background check and relying only on the check at the central office. Because more scrutiny would be needed at the central office, the total background check cost for each application would increase from \$100 to \$110 per application. For the original system, about 50% of all applicants make it through the first background check, and then 90% of those make it through the second background check. For the proposed system, any “good loans” where the bank is re-paid, the bank makes \$0.20 per dollar loaned. For any “bad loans” that are not re-paid, the bank loses \$0.50 per dollar loaned.

They would like you to evaluate the pros and cons of each system and recommend how they should proceed.

For Interviewer Only:

This is an interviewee-led case that tests profitability concepts and mental math. The interviewee must pay close attention to their math structure, or they can get very easily lost in the numbers.



Bank Loan Operations – Clarifying Information

Number of Loan Applications:

- The bank receives about 1,000 loan applications per year

Average Value of a Loan:

- \$10,000

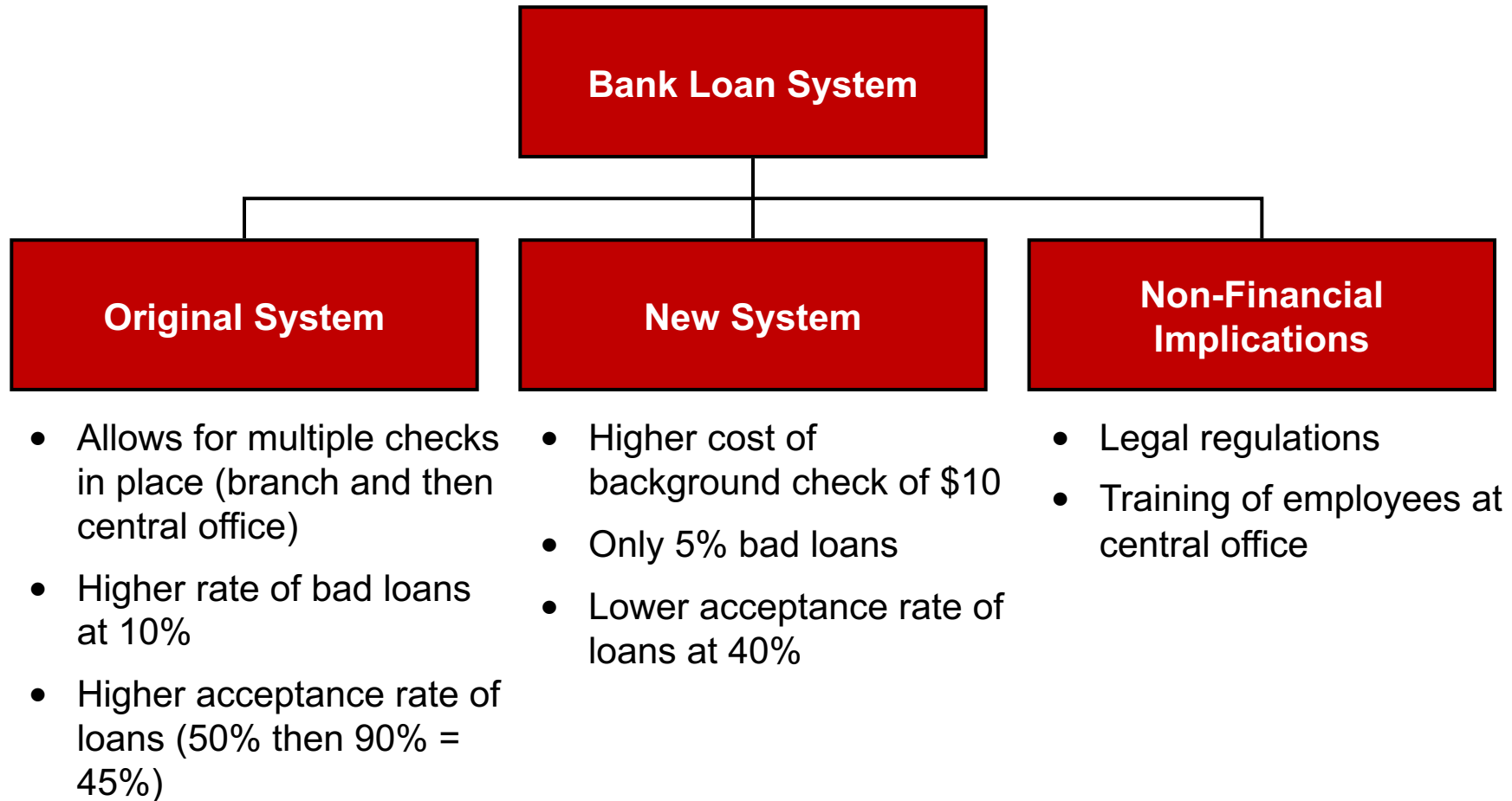
Proposed System Acceptance Rate:

- 40%

Bad Loans:

- Original system resulted in about 10% bad loans
- Proposed system would result in only 5% bad loans (due to higher scrutiny at central office)

Bank Loan Operations – Structure



Bank Loan Operations – Calculations

Calculate the profitability under each system.

Original System:

- $(\# \text{ applications}) * (\# \text{ approved}) * (\$ \text{ value of loans}) * (\text{amount earned per } \$ \text{ loaned})$
- $(1,000 \text{ applications}) * (50\% \text{ first round loans approved}) * [(90\% \text{ second round loans approved}) * (\$10,000 \text{ per loan}) * [(90\% \text{ good loans} * \$0.20 \text{ per dollar good loan}) - (10\% \text{ bad loans} * \$0.50)] = \$585,000 \text{ expected revenue}$
- $(\$585,000 \text{ expected revenue}) - [(\$100 \text{ cost per loan}) * (1,000 \text{ loans})] = \mathbf{\$485,000 \text{ expected profit}}$

Proposed New System:

- $(\# \text{ of applications}) * (\# \text{ approved}) * (\$ \text{ value of loans}) * (\text{amount earned per } \$ \text{ loaned})$
- $(1,000 \text{ applications}) * (40\% \text{ loans approved}) * (\$10,000 \text{ per loan}) * [(95\% \text{ good loans} * \$0.20 \text{ per dollar good loan}) - (5\% \text{ bad loans} * \$0.50)] = \$660,000 \text{ expected revenue}$
- $(\$660,000 \text{ expected revenue}) - [(\$110 \text{ cost per loan}) * (1,000 \text{ loans})] = \mathbf{\$550,000 \text{ expected profit}}$

Insight: There is greater expected profit under the proposed system despite the lower approval rate of loans and total background check cost for each application increased \$10 from the original to proposed system. In addition, the proposed system has a higher rate of good loans and lower rate of bad loans.

Bank Loan Operations – Brainstorming

What other factors should your client consider if they change their loan-issuing operation to a new system?

Internal:

- Training of employees at the central office
- Is there a need to increase the number of employees running background checks at central office?
- Timeline, roadmap and phase-out process from old system to new system
- Communication of change to employees

External:

- Increased application cost of \$10 for customer
- Length of time for old process vs. new process
- Legal regulations that may require multiple checks
- Communication of change to customers



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Bank Loan Operations – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Client should proceed with new loan system; they should cite the expected profit of \$550,000 > \$485,000 as reasoning

Risks:

- Legal regulations that may require multiple checks, possible increased training costs for employees at the central office to handle the background checks in their entirety

Mitigations:

- Have secondary process for multiple checks; have branch employees with substantive loan processing experience train employees at central office

Next Steps:

- Outline objectives, milestones and timelines including phasing out of original system and phasing into proposed new system and central office training; plan rollout speed, testing and strategy (e.g., pilot)



Sophoro Fragrance – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Retail / Consumer

Case Type: Market Entry

Case Prompt:

It is March 2022. Sophoro is a US-based retailer of personal care and cosmetics products. It has hundreds of chain stores across the United States and carries hundreds of brands, along with its own private label. Sophoro's in-house line offers affordable beauty products, including Sophoro Makeup, Skincare, Hair & Beauty. Sophoro engaged your firm last week to assess the opportunity to enter the fragrances and perfumes market.

The CEO of Sophoro asked your team what factors Sophoro should consider in assessing this market entry opportunity?

For Interviewer Only:

This case tests a candidate's ability to identify market entry opportunities, assess market size effectively and synthesize information to make a recommendation for revenue growth. A strong candidate will develop a framework that goes beyond discussion of market conditions, and they will apply their framework to drive the case. Strong brainstorming and quantitative analysis are keys to success here.



Sophoro Fragrance – Clarifying Information

Goal:

- Sophoro wants to achieve \$7M revenue by 2024

Geography / Markets:

- Sophoro is interested in learning about the opportunities in the US, UK, and Australia markets

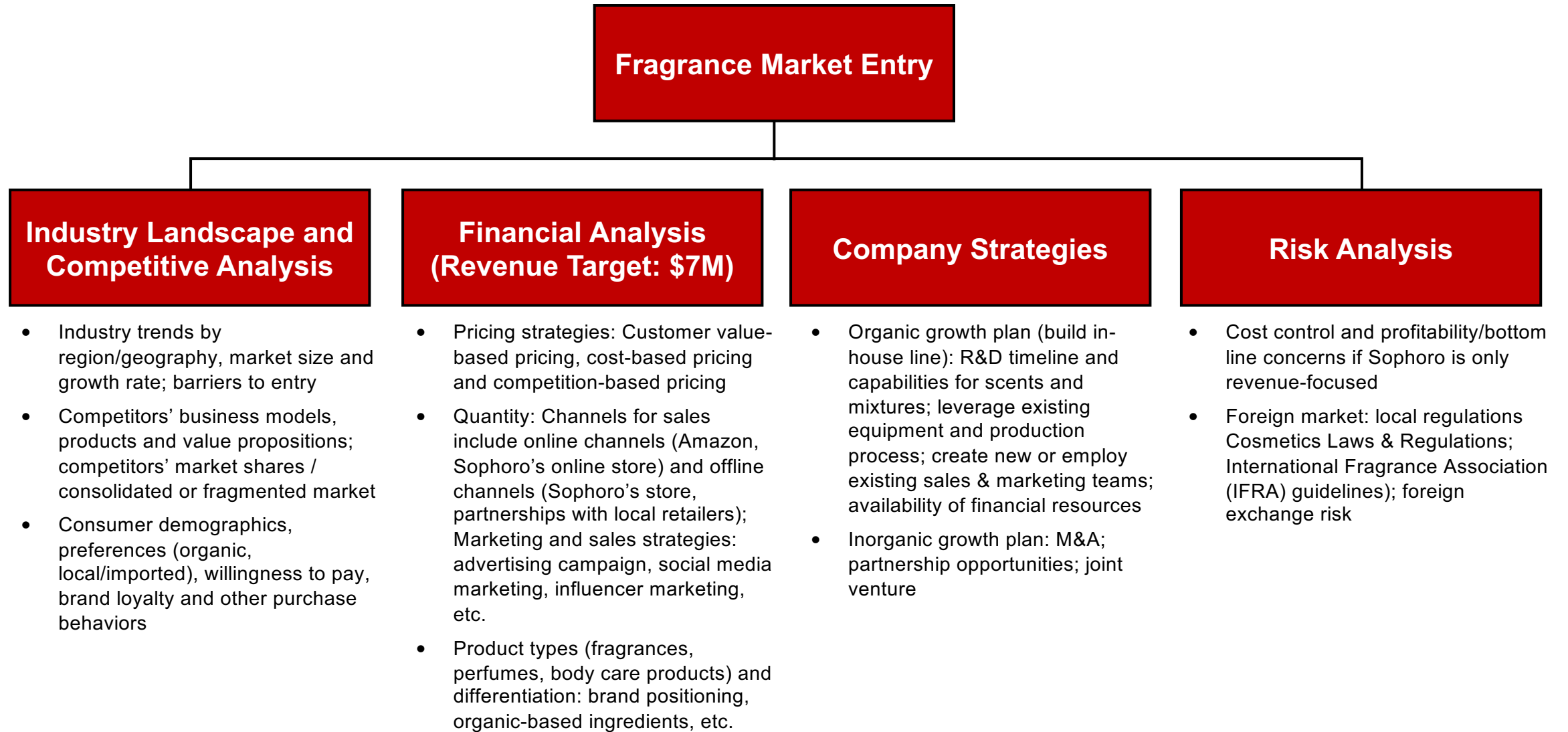
Carry Fragrance via Sophoro In-house vs. Brand:

- Sophoro is open to building an in-house fragrance and perfume line and pursuing M&A opportunities

Industry:

- The global fragrance and perfumes industry is optimistic and has a steady growth rate

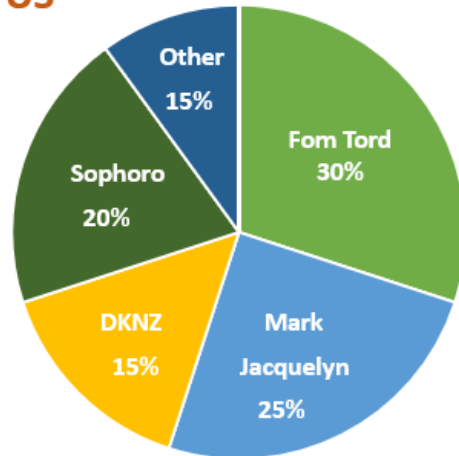
Sophoro Fragrance – Structure



Sophoro Fragrance – Exhibit 1

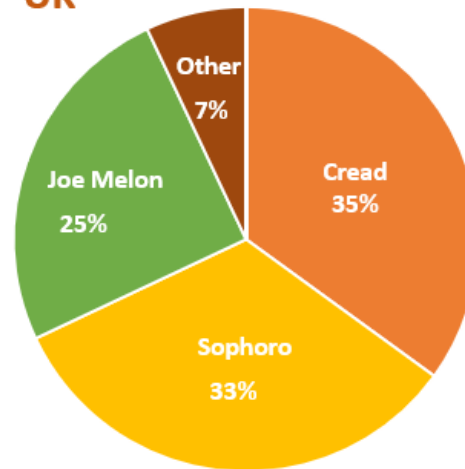
Sophoro's Estimated Market Share in 2024

US



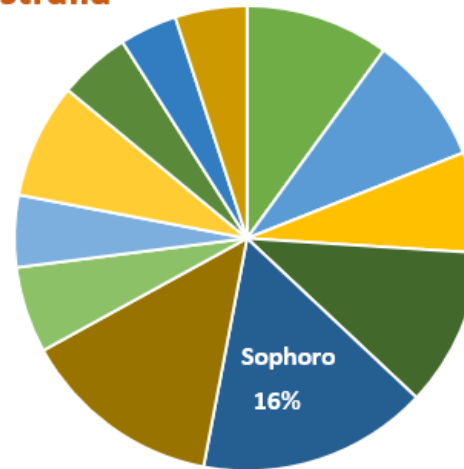
- Current market size (2022): \$30M
- Market growth CAGR: 2%

UK



- Current market size (2022): \$20M
- Market growth CAGR: 7%

Australia



- Current market size (2022): \$42M
- Market growth CAGR: 5%

Sophoro Fragrance – Calculations, Exhibit 1

Candidate should realize they need to calculate market size for Sophoro in 2024.

- **US:**

- Total US Market Size in 2024: $\$30\text{M} * 1.02 = \30.6M (2023) $* 1.02 = \$31.212$ (2024)
- Sophoro's US Market Size in 2024: $\$31.212 * 20\% = \text{\$6.24M}$

- **UK**

- Total UK Market Size in 2024: $\$20\text{M} * 1.07 = \21.4M (2023) $* 1.07 = \$22.898\text{M}$ (2024)
- Sophoro's UK Market Size in 2024: $\$22.898\text{M} * 33\% = \text{\$7.56M}$

- **Australia**

- Total Australia Market Size in 2024: $\$42\text{M} * 1.05 = \44.1M (2023) $* 1.05 = \$46.305\text{M}$ (2024)
- Australia Market Size in 2024: $\$46.305 * 16\% = \text{\$7.41M}$

Insight: The UK has the largest market opportunity with Australia following close behind. The US does not meet Sophoro's \$7M goal. A strong candidate will mention consideration of qualitative factors, such as market growth potential, competition level, and geographic constraints.



Sophoro Fragrance – Brainstorming

What are the pros and cons of each market from a perspective of entry?

US Pros:

- Sophoro has experience operating in the US market, therefore there is greater feasibility for the business expansion plan

UK Pros:

- Will meet client's goal of \$7M by 2024
- Fastest market growth rate at 7%
- Enterprise zones created by U.K. government to further incentive business expansion and investment

Australia Pros:

- Will meet client's goal of \$7M by 2024
- Fragmented market – Sophoro may have opportunities to acquire smaller players and achieve a faster pace of revenue growth through M&A

US Cons:

- Cannot meet client's goal of \$7M revenue by 2024
- US has the lowest market growth rate at 2%

UK Cons:

- Foreign market risks include local regulations, such as Cosmetics Laws & Regulations and conformity with International Fragrance Association (IFRA) guidelines; FX risk
- Consolidated market with long-established local brands and potential strong customer loyalty to competitors may create difficulties for Sophoro to gain its target market share

Australia Cons:

- Foreign market risks include local regulations, such as Cosmetics Laws & Regulations and conformity with International Fragrance Association (IFRA) guidelines; FX risk
- Fragmented market may attract new entrants to the market and create fierce competition

If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.



Sophoro Fragrance – Brainstorming

Sophoro thinks entering the UK market would be a good opportunity. The CEO of Sophoro wonders what channel strategy should Sophoro pursue? What are the advantages and disadvantages of each channel?

Partnering with Online Retailers:

Pros:

- For Sophoro: huge scale and traffic; customer trust; outsourcing operational complexity
- For customers: easy to access; time-saving; product reviews and ratings are available

Cons:

- For Sophoro: 3rd party platform costs reducing margins; limited direct communication with customers
- For customers: no tactile experiences

Sophoro's Online Store:

Pros:

- For Sophoro: promote brand awareness; big data tracking to predict customer behavior; potential online community
- For customers: brand-specific atmosphere; product reviews and ratings are available

Cons:

- For Sophoro: website/app development and maintenance costs; high training costs for customer service
- For customers: no tactile experiences

Grassroots Partners:

Pros:

- For Sophoro: growth and scale opportunities; savings on operation costs
- For customers: tactile experiences

Cons:

- For Sophoro: intermediary costs reducing margins; limited direct communication with customers
- For customers: limited product reviews or ratings

Big Box (e.g., Walmart, Target):

Pros:

- For Sophoro: large customer base; savings on operation costs
- For customers: affordable prices; tactile experiences

Cons:

- For Sophoro: very low margins; potentially perceived as low-end brand
- For customers: limited product reviews or ratings

If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.



Sophoro Fragrance – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Candidate can choose any market to enter if it is backed up correctly (US, UK, Australia)

Risk:

- Cost risk or foreign market constraints

Mitigation:

- Tied to appropriate risk in this situation

Next Step:

- Move forward with deciding whether to pursue an in-house or M&A strategy for perfume / fragrance

Benjamin Carpet – Prompt and Case Guide

Case Style: Interviewer-led

Industry: Manufacturing

Case Type: Go/No Go

Case Prompt:

Your client is the family owner of a company that serves residential and commercial markets and operates 5 days/week for 16 hours/day.

The owner is looking to purchase a new machine to improve its current production process.

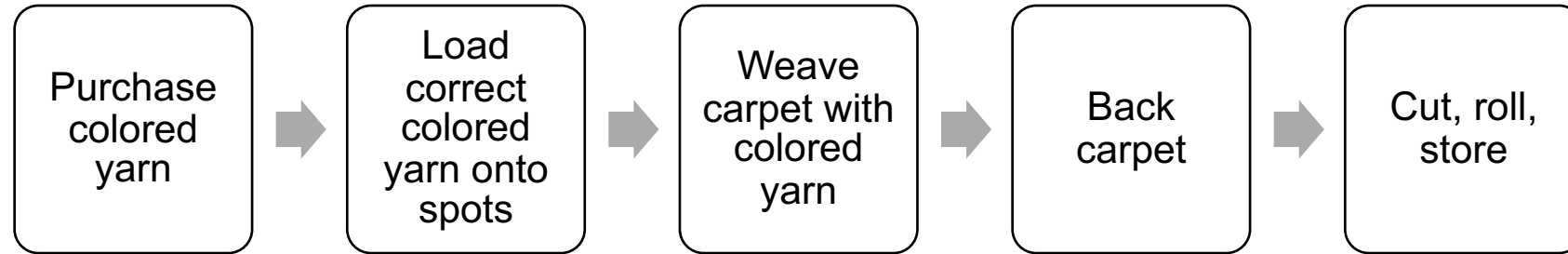
For Interviewer Only:

Provide exhibit 1 to candidate before asking question 1. Once each question is answered, move on to the next. Provide additional case information with each question.

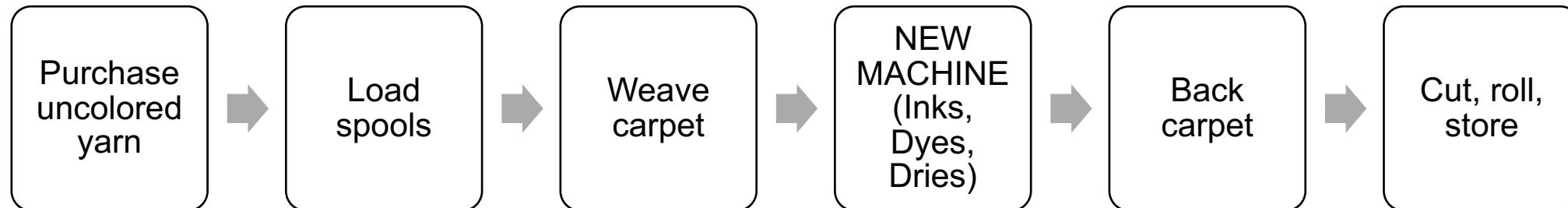


Benjamin Carpet – Clarifying Information

Current Production Process:



Considering New Process:



Machine:

- Costs \$25M

Benjamin Carpet – Question 1

Should Benjamin Carpet purchase the machine? How would you structure your solution?

- Two alternatives – buy the machine or don't buy the machine
- Buy the machine
 - Incremental revenues – additional price / volume
 - Incremental cost savings via improved operations
 - NPV of costs and future cash flows
 - Risks – access to capital, risk to business of changeover
- Don't buy the machine
 - Current status quo

Benjamin Carpet – Exhibit 1, Question 2

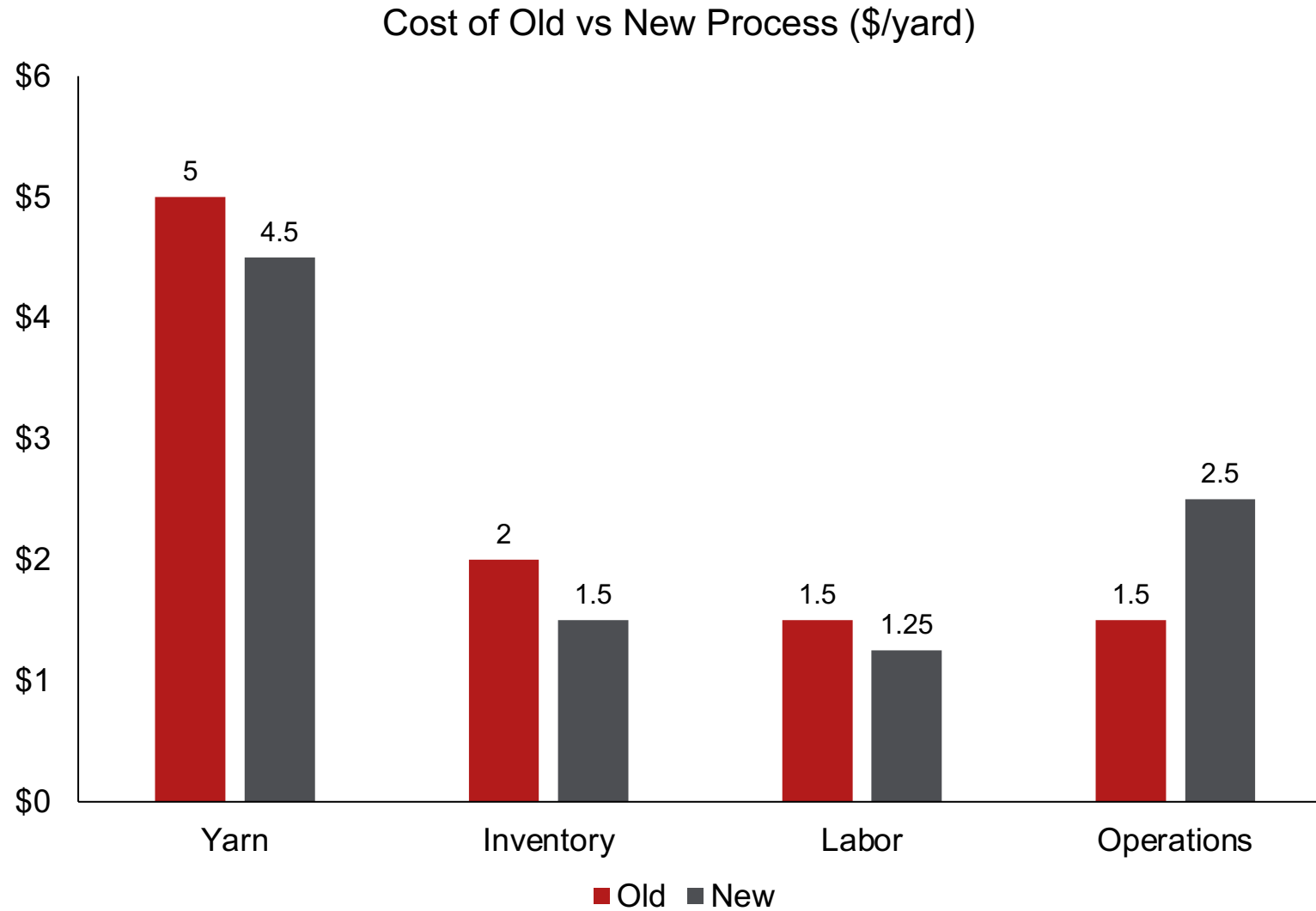
Exhibit Takeaways and Candidate Calculation:

- The new process improves costs across all areas except operations
 - \$0.50 per yard savings for yarn
 - \$0.50 per yard savings for inventory
 - \$0.25 per yard savings for labor
 - \$1.00 per yard increase for operations
- Calculate incremental cost savings with the new process

Yarn	- \$0.50 / yard
Inventory	- \$0.50 / yard
Labor	- \$0.25 / yard
Ops Cost	<u>+ \$1.00 / yard</u>
	\$0.25 / yard savings



Benjamin Carpet – Exhibit 1



Benjamin Carpet – Question 3

What are some of the categories that will affect the calculations?

- Investment
 - CapEx
 - Useful of the machine
- Yarn
 - Inventory management
 - Waste
 - Lower Cost
- Operations Costs
 - Labor
 - Utility
 - Dye
 - Maintenance

Benjamin Carpet – Question 4

Given the following information, is the machine worth investing in?

Give to Candidate:

- \$0.25 incremental savings per yard of yarn (currently \$10 per yard)
- Annual yarn production is 10M yards
- Machine has useful life of 10 years

Candidate Calculations:

- $10,000,000 \text{ yards} * (\$0.25 / \text{yard}) = \$2,500,000$
- $\$2,500,000 * 10 \text{ years} = \textbf{\$25,000,000 with 0\% discount rate}$

Insight: With any realistic discount rate, the generated cash flow will not cover the initial \$25M CapEx cost

Benjamin Carpet – Question 5

With the following additional revenue, is the venture worth pursuing?

Give to Candidate:

- Currently produce & sell 10M yards / year
- Current fully loaded cost \$10/yard
- With new machine:
 - Un-dyed yarn - \$0.50 / yard
 - Inventory - \$0.50 / yard
 - Labor - \$0.25 / yard
 - Ops Cost + \$1.00 / yard
- \$0.25 / yard
- Machine lasts 10 years
- New technology allows for the creation of carpet with new textures and patterns which will attract high end customers
 - Current customers pay \$16 per yard
 - New customers will pay 25% more
 - High-end market sells 70M yards / year
 - Benjamin Carpet will capture 5% of the high-end market
 - 30% of current market comes from high-end customers



Benjamin Carpet – Question 5

With the following additional revenue, is the venture worth pursuing?

Candidate Calculations:

70 million yards / year * 5% * \$20 / yard =	\$ 70 million
10 million yards / year * 30% * \$20 / yard =	\$ 60 million
10 million yards / year * 70% * \$16 / yard =	\$112 million
New	\$242 million
Old	<u>\$160 million</u>
Additional Sales	\$ 82 million
Incremental Fully Loaded Cost	<u>\$ 32 million</u> (\$9.75 * 70M * 5% - \$0.25 * 10M)
Profit	\$ 50 million

Insight: Annual profit of \$50 million easily overcomes \$25 million cost and will be very profitable over 10 years.

Allergy Pharma – Prompt and Case Guide

Case Style: Interviewer-led (L.E.K. Strategy – LS)

Industry: Life Sciences

Case Type: Strategy

Case Prompt:

Our client, AllergyPharma is a small specialty pharmaceutical company that develops novel therapies for allergies affecting the nose (allergic rhinitis or AR) and lungs/chest airways (allergic asthma or AA). Our client has one product in Phase II clinical trials for AR and AA, called AP-1. With no products on the market, they do not generate significant revenue.

AP-1 is administered to the patient as an injection in a physician's office. A full course of AP-1 therapy is 7 consecutive days of AP-1 injections. Phase II clinical trials show that when a full course of AP-1 therapy is administered to patients, symptoms of AR and AA are improved. The data in AR are strong enough for AP-1 to advance to Phase III trials for AR; however, an additional Phase II study would be required in AA before potentially moving onto Phase III trials for AA. Improvements in AR and AA symptoms were observed one month after the full course of AP-1 therapy. By following these patients over time, the client was able to demonstrate that improvements in AR and AA symptoms lasted for 1 year without the need for additional AP-1 treatments.

The client can only afford to pursue one disease indication at a time, though if they are successful in one, it is very likely they will be able to raise enough money to pursue the other indication as well. The client has hired us to help them to decide which indication to pursue first.

What factors should the team consider when prioritizing the two indications?

For Interviewer Only:

This case is written intentionally lengthy, and in a real scenario candidates would not get through all questions. This is an interviewer-led case with four key questions. *See next slide for additional overview information for interviewer.*



Allergy Pharma – Background Information for Interviewer

- This case is written intentionally lengthy, and in a real scenario candidates would not get through all questions. However, real cases always have a math component, so make sure to show candidate the last follow-up question to give them a sense of quant they might see.
- This is mostly a strategic case to see how the candidate can develop a framework to guide their decision-making. After talking through the framework, the interviewer should feel free to move through the follow-up questions if those elements (prevalent populations, patient segments, value prop) were included in the candidate's framework. If they weren't, ask some leading questions so that they realize their importance, and then move onto the follow-up questions.
- Toward the end of the case, there is some fairly easy math that most candidates should be able to solve accurately. The candidate should connect the dots that the strategic priorities of the company should dictate what is the right choice given similar revenue potential.
- Background on phases of clinical trials (ask interviewee if they are knowledgeable about this and provide background information below if needed) on the next slides.



Allergy Pharma – Clarifying Information

Background on phases of clinical trials (ask candidate if they are knowledgeable about this, if not, provide):

Clinical trials are a part of the drug development process, which includes the following parts in order first to last:

- Basic research and development (includes in vitro studies)
- Preclinical studies (experiments in animals)
- Clinical trials (experiments in people)
- Marketing (making the drug widely available for prescription)
- Adding post-marketing clinical trials (Phase IV) may also be performed to gather information on the drug's effect in various populations and any side effects associated with long-term use

Clinical trials that must be performed prior to marketing are conducted in three phases:

- Phase I (safety): Researchers test a new drug or treatment in a small group of people (typically healthy volunteers) for the first time to evaluate its safety, determine a safe dosage range, and identify side effects
- Phase II (efficacy / safety): The drug or treatment is given to a larger group of people to see if it is effective and to further evaluate its safety
- Phase III (efficacy / comparative efficacy / safety): The drug or treatment is given to large groups of people to confirm its effectiveness, monitor side effects, compare it to commonly used treatments, and collect information that will allow the drug or treatment to be used safely



Allergy Pharma – Question 1

What factors should the team consider when prioritizing the two indications?

- The number of patients afflicted with each disease
- The percentage of patients with each disease that would likely take AP-1 vs. another therapy
- Expected pricing for AP-1 in each disease indication
- The strength of AP-1's value proposition in each disease indication (e.g., level of unmet need for a new therapy, ability of AP-1 to address unmet needs, how AP-1 compares to other therapies in effectiveness, safety, and dosing convenience)
- Competitive intensity (i.e., the number of competing therapies on the market and in development)
- AP-1's level of advancement in clinical trials for each disease indication (i.e., it is through Phase II in AR, but still in Phase II in AA)
- Rate of addressable patient population growth in each disease indication
- Degree of clinical / regulatory hurdles (e.g., size, length, and ease of clinical trials, precedence for FDA approval) and development timing, costs, and risks for each disease indication
- Promotional requirements (e.g., size of sales force required to promote the drug, number and concentration of physicians to which the client would need to market AP-1)



Allergy Pharma – Question 2

The team decides to focus on the addressable patient population for each disease. Starting with the total prevalence (# of people afflicted with a disease in a region), how might the team consider segmenting the total prevalent population for each disease?

- Diagnosed vs. undiagnosed
- Treated vs. untreated
- Disease severity (e.g., mild vs. moderate vs. severe, intermittent vs. persistent)
- Well-controlled vs. not well-controlled symptoms
- Therapies patients are currently on
- Line of therapy (e.g., number of different therapies patients have tried previously)

Allergy Pharma – Question 3

Background Information:

After performing extensive expert interviews and secondary research the team learns more about each disease and the therapies currently used by patients. In both diseases therapies are added on as disease severity increases (e.g., mild patients are treated with drug X and severe patients are treated with drug X AND drug Y).

AR

- AR has a mild-moderate impact on a patient's quality of life
- Mild AR is successfully treated with nasal sprays administered by the patient once or twice per day
- Severe AR is also treated with a shot that must be administered in a physician's office every month for up to 5 years, after which time the patient's symptoms are often reduced substantially

AA

- AA has a moderate-severe impact on a patient's quality of life with the most severe patients hospitalized once annually or more due to airway obstruction
- Mild disease is successfully treated with handheld inhalers administered by the patient as needed or once to twice per day
- Severe disease is also treated with a shot that must be administered in a physician's office every month indefinitely; symptoms improve somewhat after a few months of treatment

Allergy Pharma – Question 3

Based on what I have told you about each disease and AP-1, what is the value proposition to patients with each disease (i.e., in which patient segments would AP-1 likely be used and why, and what advantages does it offer over current therapies?)

- Patient populations
- Mostly severe patients in each indication, given mild patients are successfully treated with more convenient therapies (i.e., administered by patient at home work, or on the go; not injected)
 - Severe AA patients are probably more likely to be prescribed and take AP-1 vs. severe AR patients, given greater impact of the disease on quality of life and higher level of unmet demand
 - Some mild patients may choose to take AP-1 due to much longer duration of effect vs. nasal sprays or inhaled medications
- Advantages over current therapies
 - Faster onset of action vs. other injected therapies
 - Longer duration of effect vs. injected therapies
 - Fewer treatments / trips to the physician's office required vs. other injected therapies over the course of a year
 - May reduce the dose or eliminate the need for other medications required (nasal sprays, inhaled medications, other injected medications) to maintain good disease control in both diseases, regardless of severity



Allergy Pharma – Calculations

The team is nearing the end of the case and is working to make the final recommendation for the client. They have compared AR and AA across several dimensions and have the following information. What do you suggest the client should do?

- **Give to Candidate:** AR's addressable population is 3x that of AA
- **Give to Candidate:** The expected price of AP-1 in AR is likely around 1/2 vs. in AA
- **Give to Candidate:** There is higher competitive intensity in AR and the value proposition is marginally lower, so expected share of market is 20% in AR but 30% in AA

Allergy Pharma – Calculations

The team is nearing the end of the case and is working to make the final recommendation for the client. They have compared AR and AA across several dimensions and have the following information. What do you suggest the client should do?

The math can be solved in multiple ways (e.g., using variables, percentages, sample numbers) but regardless of approach, the candidate should quickly gather that the high level revenue potential is equal in both indications. As a result, **AR is the better option because it is further along in clinical development, meaning:**

- Less risk of development / regulatory failure
- Lower cost of development (don't need to conduct another Ph II trial)
- Is likely to reach market sooner and generate revenue sooner

A very good answer would also point out that this is a small, cash-strapped, risk-averse company that is trying to advance their compound through clinical trials to raise future funding to pursue both indications.

	Addressable population	Price	Expected market share	Answer
AR	300%	50%	20%	30%
AA	100%	100%	30%	30%

Allergy Pharma – L.E.K. Scorecard

Analytical Outcome	Interviewee Performance
No	- Interviewee is unable to follow an organized structure when going through the case and makes significant logic errors - Unable to drive to strategic implications or identify key factors to consider when answering key questions
Maybe / Weak Yes	- Clearly organizes his or her answer - Reacts to new information / follow up questions with poise - Identifies key considerations (possibly with help from interviewer), and highlights some of the other strategic factors the client should consider
Strong Yes	- Develops an organized framework to evaluate key strategic factors and proactively identifies other areas in which he/she would want to gather more information - Shows excellent business acumen when hypothesizing on potential answers for follow up questions - Demonstrates comfort and speed in thinking about the client's situation, AND is able to identify strategic implications with minimal help: <i>Framework continues most if not all of the most important considerations</i> <i>Able to identify several meaningful segmentations, while not proposing less meaningful segmentations for this case (e.g., geography, gender)</i> <i>Has a strong grasp of the client's strategic positioning and place within their development journey, and uses this to drive to the final conclusions</i> <i>Performs math quickly and clearly, and quickly recognizes that math alone will not provide the answer to the case</i>

JeffCo – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Healthcare

Case Type: M&A / Market Entry

Case Prompt:

Your client is the CEO of JeffCo, a healthcare company that owns and operates 15 hospitals in the Philadelphia region.

JeffCo operates very lean hospitals. During the COVID-19 pandemic, many hospitals in the region were negatively impacted, many going from profitable to in debt in a short amount of time, leaving market share open for capture.

Given that JeffCo's revenues during the pandemic remained consistent, JeffCo is preparing several options for evaluation and is seeking your advice regarding opening a new "Mega" Hospital to become the flagship of the city.



JeffCo – Clarifying Information

Revenue Goal:

- JeffCo is targeting \$10M in profitability for Mega-Hospital; looking to calculate year one profitability

Patient / Business Model:

- Treat patients like at a hospital

Geography:

- Currently operates only in the Philadelphia region and looking to open flagship in Philadelphia region

Outside Funding Opportunities:

- No outside investors

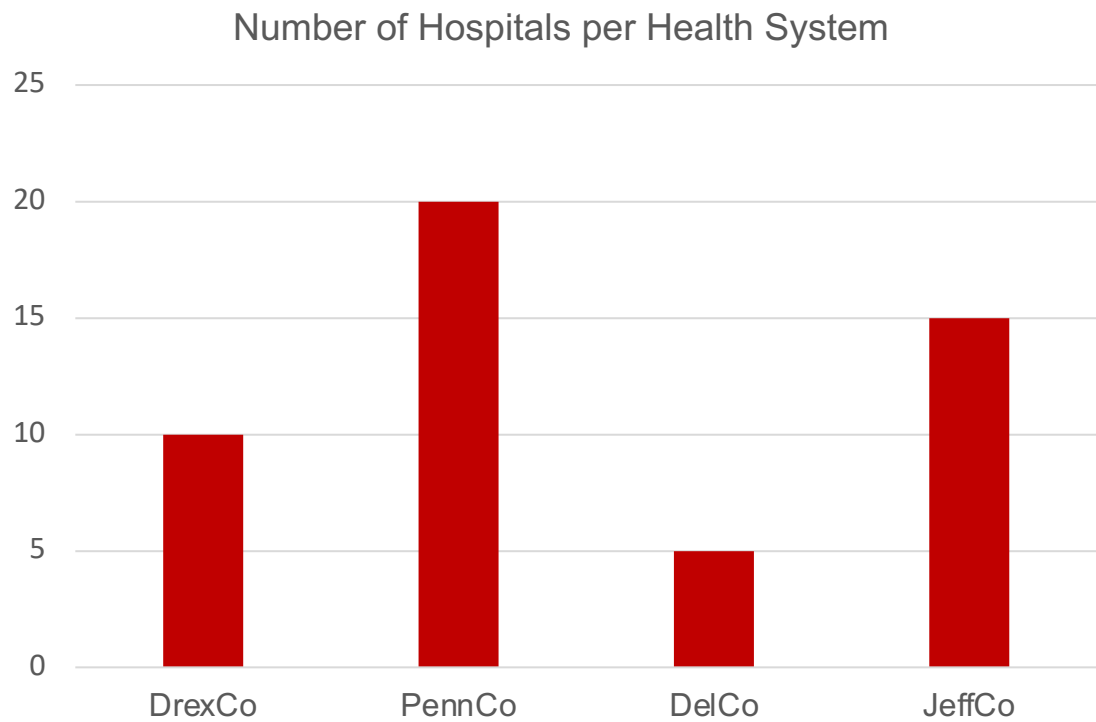
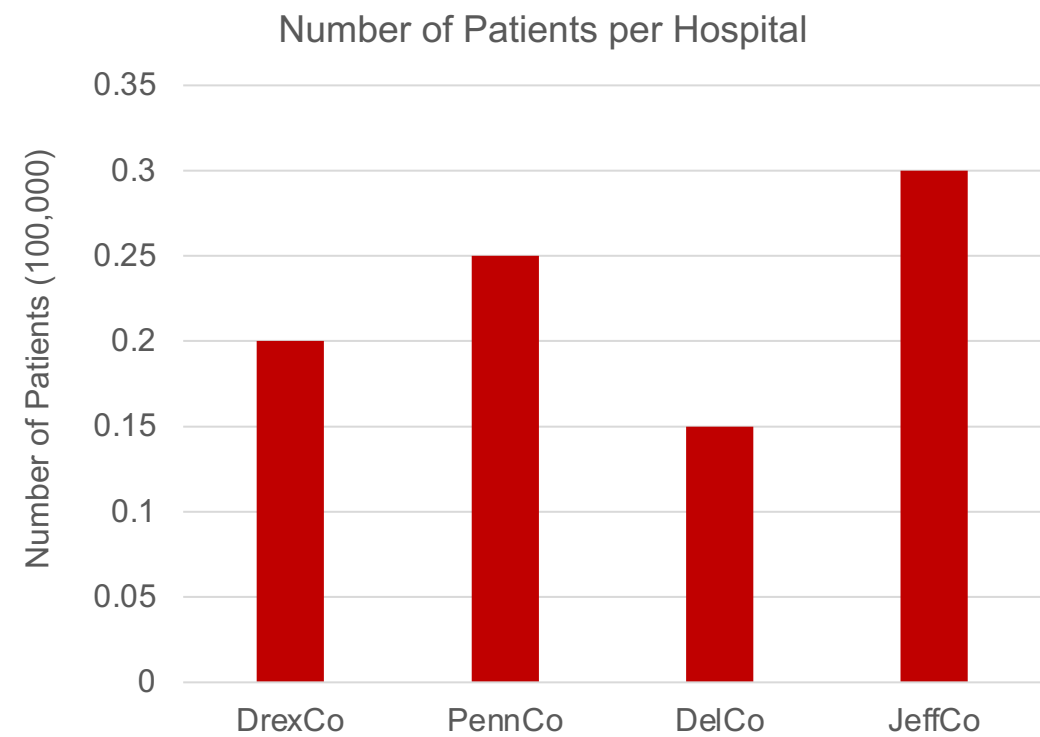


Exhibit 1:

The goal is to have the candidate calculate total number of patients per health system.

- They have all the data they need by looking at the exhibit in order to calculate the total number of patients per health system.
- They can initiate the calculation, or you can assist them in discovering they should calculate this.
- Something to note is that the number of patients is in 100,000s.

JeffCo – Exhibit 1



JeffCo – Exhibit 1

Calculate the total number of patients per health system.

Health System	Number of Hospitals	Number of Patients per Hospital	Total Patients
DrexCo	10	20,000	$10 * 20,000 = \mathbf{200,000}$
PennCo	20	25,000	$20 * 25,000 = \mathbf{500,000}$
DelCo	5	15,000	$5 * 15,000 = \mathbf{75,000}$
JeffCo	15	30,000	$15 * 30,000 = \mathbf{450,000}$

JeffCo – Exhibit 2

Exhibit 2:

The goal is to have the candidate calculate market steal and profitability; this is a step up in difficulty from the last exhibit.

- They have all the data they need by looking at the exhibit in order to calculate the total number of patients per health system.
- Share the numbers verbally with them from the table on the right.
- Renovation is for unique patient populations from competitors.

Hospital Size	Revenue/Patient
Small	\$1,000/pt
Medium	\$1,500/pt
Large	\$800/pt
JeffCo (Upfront Renovation Costs)	\$10M
JeffCo Mega-hospital revenues	\$750/pt



JeffCo – Exhibit 2

Health System	Number of Hospitals	System Size	Estimated Market Steal	Renovation Costs (% of Revenues from Market Steal)
DrexCo	10	Medium	10%	15%
PennCo	20	Large	10%	10%
DelCo	5	Small	50%	20%

Market Steal is a % of total patients
\$100 per patient operating cost with mega-hospital



JeffCo – Exhibit 2

Health System	Number of Hospitals	System Size	Estimated Market Steal	Renovation Costs (% of Revenues from Market Steal)	Total Patients (from previous calculation)	Revenue/Patient (given to candidate)	Total Steal	Revenue	Additional Renovation Cost
DrexCo	10	Medium	10%	15%	200,000	\$1,500	200,000 * 10% = \$20,000	\$20,000 * \$1,500 = \$30,000,000	\$20,000 * \$1,500 * 15% = \$4,500,000
PennCo	20	Large	10%	10%	500,000	\$800	500,000 * 10% = \$50,000	\$50,000 * \$800 = \$4,000,000	\$50,000 * \$800 * 10% = \$4,000,000
DelCo	5	Small	50%	20%	75,000	\$1,000	75,000 * 50% = \$37,500	\$37,500 * \$1,000 = \$37,500,000	\$37,500 * \$1,000 * 20% = \$7,500,000
JeffCo	15	Medium	0%	\$10M (given)	450,000	\$750	\$20,000 + \$50,000 + \$37,500 = \$107,500	\$107,500 * \$750 = \$80,000,000 (round down)	\$4,500,000 + \$4,000,000 + \$7,500,000 + \$10M (additional upfront costs given) + \$45M (footnote) = \$71,000,000

JeffCo Profit: \$80,000,000 - \$71,000,000 = \$9,000,000; lower than the 10M profitability goal of JeffCo



JeffCo – Brainstorming

What opportunities do you see for JeffCo?

Internal:

- Invest in telemedicine / tele-health
- Add inpatient or outpatient care if one or the other is not currently offered

External:

- Acquire a competitor hospital
- Open additional hospital(s) in the region
- Expand hospital system outside Philadelphia (e.g., New Jersey or Pittsburgh)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

JeffCo – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Don't open Mega Hospital because profitability goal is \$10M, but profit will only be ~\$9M

Risk:

- Miss out on additional market capture

Mitigation:

- Acquire competitor hospital

Next Step:

- Proceed with buy out of DrexCo

Carbone Limoncello Company – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Retail / Consumer

Case Type: Market Entry

Case Prompt:

Our client is Carbone Limoncello Company of Fondi, Italy. Carbone Limoncello, which has 300 million Euro in sales annually, currently operates exclusively in Italy. Carbone Limoncello makes one product currently, a 1-liter bottle of limoncello.

Carbone Limoncello is hoping to expand their operations in the United States, and they are partnering with us to assess their potential entry into this market.

Our team at has been tasked with helping Carbone Limoncello assess entry into this market.

For Interviewer Only:

The point of this case is to see if the interviewee can work through a market sizing exercise.



Carbone Limoncello Company – Clarifying Information

Goal:

- \$100M in U.S. sales by end of next three years (2022 – year 1, 2023 – year 2, 2024 – year 3)

Time Horizon:

- Project with us needs to be completed in the next 6 months; sales revenue to \$100M by end of three years

Business Model:

- Distill and distribute limoncello

Value Chain:

- Distills and distributes the limoncello in Italy – does this make sense in the U.S.?

Product:

- 1-liter bottles of limoncello, in the standard lemon variety

Industry:

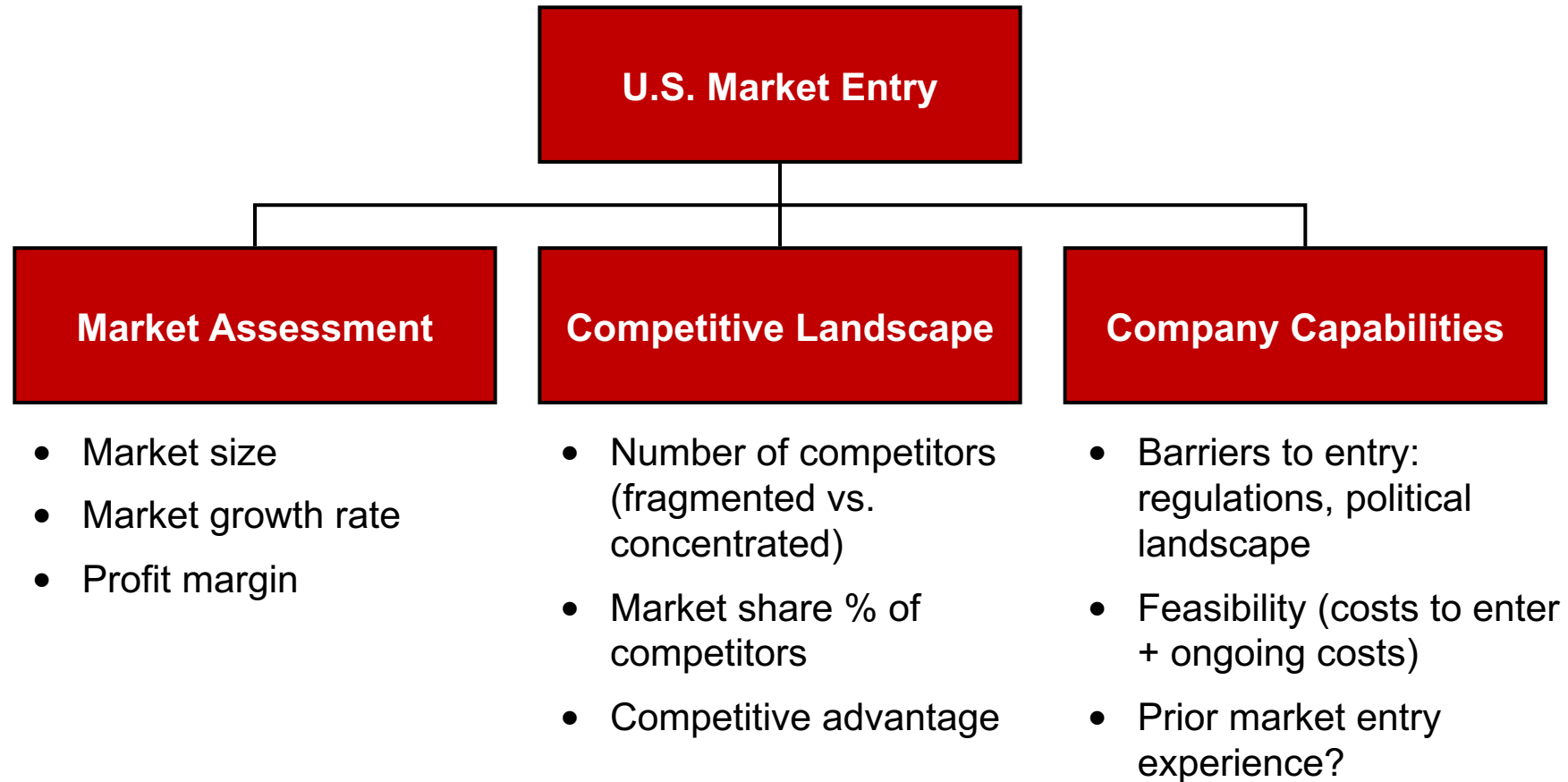
- Liquor manufacturing and distribution – highly regulated

Geography:

- Currently in Italy; hoping to enter U.S. market



Carbone Limoncello Company – Structure



Carbone Limoncello Company – Market Sizing (Option #1)

What is the potential size of the market in the U.S.?

U.S. Population	Proportion of Drinking Age	Spirit Consumption Per Capita	% Spirit Limoncello	Price Per Bottle	Market Penetration of Carbone Limoncello
• 320M people	• Life expectancy is 80 • Drinking age is 21 • Say 75% is of drinking age, so 240M	• 15 liters per annum • $240\text{ M} * 15$ • 3.6B Liters in total	• Give to Candidate: 1%, and expected to stay steady through 2024 • $3.6\text{B} * 1\%$ • 36M liters of limoncello	• \$20 per liter	• What numbers do you think are reasonable? • Year 1 (2022), Year 2 (2023), Year 3 (2024)?



Carbone Limoncello Company – Market Sizing (Option #2 by Age)

What is the potential size of the market in the U.S.?

Population Group	U.S. Population	Spirit Consumption per Capita	% Spirit Limoncello	Price per Bottle	Market Penetration of Carbone Limoncello (End of Year 3)	Total Revenue
Ages 21-40 (20 years)	80 million	20 liters per annum: $80M * 20L = 1.6B L$	0.75%: $1.6B * .75\% = 12M L$	\$20	10%	\$24,000,000
Ages 41-60 (20 years)	80 million	15 liters per annum: $80M * 15L = 1.2B L$	1.25%: $1.2B * 1.25\% = 15M L$	\$20	10%	\$30,000,000
Ages 61-80 (20 years)	80 million	10 liters per annum: $80M * 10L = 800B L$	2%: $800M * 2\% = 16 M L$	\$20	10%	\$32,000,000
Overall	Overall: 320 Million; 240 M of age					\$86M



Carbone Limoncello Company – Market Sizing Questions

Market Sizing Question 1:

The market is somewhat fragmented with nine existing players each holding an approximately equal share of the market. Consumers of limoncello in the U.S. have limited brand loyalty and enjoy trying different family recipes of limoncello. As such, they often switch between brands of limoncello.

Given this information what do you think are reasonable rates of market penetration of Carbone Limoncello in year 1 (2022), year 2 (2023), and year 3 (2024)?

Have the candidate explain their reasoning and numbers for each of the three years.

Market Sizing Question 2:

Look back at your market sizing formula. Assume 2% penetration in 2022, 5% in 2023, and 10% by 2024. What number do you arrive at in 2024?

72M in simple market sizing; 86M in age market size by end of 2024; regardless of method, candidate should recognize this is well below the 100M goal



Carbone Limoncello Company – Brainstorming

What other opportunities can Carbone Limoncello Company consider in order to increase revenue?

Domestically:

- Consider a different market (UK?)
- Expand product line outside of 1-liter limoncello
 - Consider other sizes of bottle
 - Consider other varieties of flavor outside lemon
 - Consider mixed drinks

U.S. Market:

- Partner with retailer on the ground in the U.S.
- E-commerce sales; direct-to-consumer
- Work with a distributor for resale



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Carbone Limoncello Company – Brainstorming

We just completed market research for the distilled beverage industry. While standard limoncello is expected to be consumed at levels we discussed, LIMEcello sales are now expected to increase exponentially between 2022 and 2024 and equal 1/4th of limoncello sales in the U.S. by 2024. Brainstorm what you would like to know about the LIMEcello market and the client to know if there is a potential opportunity in the market.

LIMEcello Market:

- Size of the market
- Growth rate
- Growth drivers (consumer demand / preferences?)
- Competitive landscape
- Customer base

Client:

- Know more about the history of product lines and if they have considered expanding; as mentioned in the case, there is only one product; are they open to new products? Feasibility?
- Cannibalization
- Synergies between the two products (bottle type, ingredients, etc.)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Carbone Limoncello Company – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Client should not proceed with U.S. market entry strategy
- Candidate should explore other sources or ways to enter the U.S. market entry strategy
 - LIMEcello is a potential place to start

Risk:

- Cannibalization

Mitigation:

- Thorough consumer research with distinctive products

Next Step:

- Understand drivers of LIMEcello growth and conduct further market research (primary + secondary)

COMPLEX CASES



PayCo – Prompt and Case Guide

Case Style: Interviewer-led

Industry: Financial Services

Case Type: Profitability

Case Prompt:

Our client, PayCo, is a global credit card company, with revenues over \$5B in 2010. A recent trend in the credit card industry is the use of contactless (tap and go) payments technology to make small everyday purchases at places like fast food restaurants and convenience stores.

PayCo is looking to leverage contactless payments to drive top-line growth and has identified the transit vertical (i.e. subways, trains, buses, taxis) as an opportunity for growth since this is generally a cash-dominated vertical. In support of this strategy, PayCo has developed proprietary technology (called “TAP”) to process contactless transactions specifically for transit applications and is looking to commercialize this technology. A key challenge is whether transit authorities will implement this new technology or stay with current systems for fare collection.

We have been engaged to size the overall transit market globally, prioritize potential opportunities, develop a financial business case, and develop a go-to-market strategy for commercializing PayCo’s contactless technology.

Your role on the PayCo engagement is to develop the case for commercializing PayCo’s contactless technology.

For Interviewer Only:

This is an interviewer-led case and will have various questions to go through to solve the case. There are no clarifying questions/answers in this case.



PayCo – Question 1

Show candidate Exhibit 1. Which market and transit vertical should PayCo target as a first priority?

A **good answer** will draw the following conclusions from the data provided:

- The answer we're looking for is **New York Subways**.
- Given the subway and bus detail, the candidate should quickly recognize that the country data is too high-level
- A quick comparison of subways and buses should rule out buses without any calculations
- Even though Tokyo is the largest, it actually has the smallest potential due to a low probability of winning a contract.
- New York has the highest potential revenue opportunity for PayCo based on the calculation below:

	Fare Collection	*	Prob of winning contract	= PayCo Market Opportunity
New York:	\$12M	*	90%	= \$10.8M
London:	\$13M	*	70%	= \$ 9.1M
Tokyo:	\$45M	*	20%	= \$ 9.0M

A **better answer** will include the items above and address additional elements around the data. Some findings include:

- Although Tokyo looks like a huge opportunity initially, they are not looking for a new system until 2015, while NYC and London are ready earlier (2012).
- The candidate may also raise the sensitivity of this assessment on the Sales Probability data point and point out how even a 5% increase for Tokyo would give it the highest value

A **great answer** will include the items above and also raise additional considerations beyond the data, including:

- How strong is PayCo's brand in each city?
- Is one city more strategically important to PayCo?
- Are there differences in cost or difficulty in going after these markets?
- Do PayCo's capabilities make one option more likely to succeed than another?



PayCo – Exhibit 1

Country Data¹

	US	England	Japan
Population (MM)	313	63	126
Population Growth (%)	0.96%	0.56%	-0.28%
GDP (\$Tr)	\$14.7	\$2.2	\$4.3
GDP Growth (%)	2.7%	1.6%	3.0%
GDP per Capita (USD)	\$47,400	\$35,100	\$34,200

Subway System Data

	NYC	London	Tokyo
Daily Passengers (MM)	3.0	4.5	5.8
Annual Fare Collection (\$B)	\$2.8	\$5.5	\$4.4
Timing for new system	2013	2013	2015
Probability of winning contract²	90%	70%	20%

Buses Data

	NYC	London	Tokyo
Daily Passengers (MM)	11.5	8.5	14.3
Annual Fare Collection (\$B)	\$12	\$13	\$45
Timing for new system	2012	2012	2015
Probability of winning contract ²	90%	70%	20%

¹ Data from CIA World Factbook, extracted April 2011. GDP figures at purchasing power parity.

² Probability of winning contract is based on estimates from the PayCo Business Development team, and can be used to determine the potential revenue opportunity for PayCo.



PayCo – Question 1

Show candidate Exhibit 2. What is the profitability of the “TAP” technology for NYC? Specifically, will PayCo breakeven on commercializing “TAP” in less than 5 years?

A **good answer** would be:

Yes, PayCo will break even in 4 years, with a total profit (excluding time value of money) of \$250,000

- A key insight is that the past investment in developing the “TAP” technology is a sunk cost in making the decision on commercializing the technology and should not be incorporated into the analysis
- Here is a summary of revenues and costs calculations as a guide for the interviewer:
 - Revenue = (TAP Fare Collection * TAP Processing Fee) + Annual License Fee
 - Costs = (# of transactions * cost per transaction) + Advertising and Promotion + SG&A

A **great answer** should:

- Be very well structured with clear calculations laid out in a grid (like a spreadsheet)
- Comfortably handle the variety of units (revenues in \$MMs, costs in \$000s, percentages)
- Acknowledge time value of money and suggest calculating an NPV to evaluate the investment



PayCo – Exhibit 2

NYC Subway Forecast Data

	2011	2012	2013	2014	2015
"TAP" Transactions (MM)	1,500	2,000	2,500	3,000	3,000
"TAP" Fare Collection (\$MM)	\$3,750	\$5,000	\$6,250	\$7,500	\$7,500

PayCo "TAP" Assumptions

Revenue Assumptions	
Annual License Fee (\$000s)	\$250
"TAP" Processing Fee*	0.20%

Cost Assumptions	
Past Investment in "TAP" Development (\$000s)	\$1,000
Cost per transaction	\$0.005

Cost Projections (in \$000s)	2011	2012	2013	2014	2015
Advertising and Promotion	\$500	\$250	\$0	\$0	\$0
SG&A	\$50	\$50	\$50	\$50	\$50

*Processing Fee applies to dollar value of Fare Collections



PayCo – Exhibit 2

Pro-forma financial statement – sample of what the candidate could assemble from the source data

	2011	2012	2013	2014	2015	TOTAL
Revenue						
NYC Fare Collection Forecast (\$MM)	\$3,750	\$5,000	\$6,250	\$7,500	\$7,500	
* Processing Fee	0.20%	0.20%	0.20%	0.20%	0.20%	
Variable Revenue (\$000s)	\$7,500	\$10,000	\$12,500	\$15,000	\$15,000	\$60,000
+ Fixed License Fees for technology (\$000s)	\$250	\$250	\$250	\$250	\$250	\$1,250
TOTAL REVENUE (\$000s)	\$7,750	\$10,250	\$12,750	\$15,250	\$15,250	\$61,250
Costs						
NYC Transaction Forecast (MM)	1,500	2,000	2,500	3,000	3,000	
* Cost per transaction	\$0.005	\$0.005	\$0.005	\$0.005	\$0.005	
Variable Cost (\$000s)	\$7,500	\$10,000	\$12,500	\$15,000	\$15,000	\$60,000
+ Advertising and Promotion (\$000s)	\$500	\$250	\$0	\$0	\$0	
+ SG&A (\$000s)	\$50	\$50	\$50	\$50	\$50	
Fixed Costs	\$550	\$300	\$50	\$50	\$50	\$1,000
TOTAL COST (\$000s)	\$8,050	\$10,300	\$12,550	\$15,050	\$15,050	\$61,000
TOTAL PROFIT (\$000s)	(\$300)	(\$50)	\$200	\$200	\$200	\$250
(cumm)	(\$300)	(\$350)	(\$150)	\$50	\$250	



Breakeven

PayCo – Question 3

Would you recommend that the client pursue the commercialization of this technology?

A **good answer** will include:

- Based on the cost/benefit analysis, commercializing “TAP” is estimated to generate \$250,000 in profit over 5 years and meets the client’s criteria for break even

A **great answer** would recognize the above, but also include:

- Identification of risks in the assumptions, such as:
 - The 90% sales probability assumption for NYC
 - Revenue or cost drivers
- Identification of sensitivity in calculations, such as:
 - Forecasted transactions and fare revenue
 - Cost forecasts, particularly Advertising and Promotion
- Qualitative benefits of pursuing commercialization
 - Positive impact on brand and market share
 - Becoming market leader and growing to other cities
- Competitive Response
 - How might PayCo’s competitors respond to its launch of this technology?
- Defining next steps, such as further analysis or a high-level implementation plan



Thunder Arena – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Gaming

Case Type: Profitability

Case Prompt:

Your client is Thunder Arena, a sports arena company, like Madison Square Garden and Staples Center.

Alongside generating revenue from hosting events and advertising at its arena, the company generates profit from hosting a traditional sports betting venue in the arena. Sports betting is the activity of predicting sports results and placing a wager on the outcome.

Your client is interested in determining whether it would be profitable to offer an electronic sports betting platform as well. The electronic sports betting platform will be offered by a mobile application.

For Interviewer Only:

This case should center on an evaluation of the two possibilities for betting based on how profitable it would be for Thunder Arena.



Thunder Arena – Clarifying Information

Esports Betting:

Some candidates may not be familiar with esports betting, in which case provide them with this information if asked:

- Fixed odds esports betting is essentially the same as fixed odds traditional sports betting. You're just placing wagers on the outcome of esports events rather than on the outcome of other sports.
- Esports events are multiplayer online games. It mimics the experience of watching a professional sporting event, except instead of watching a physical event, spectators watch video gamers compete against each other.

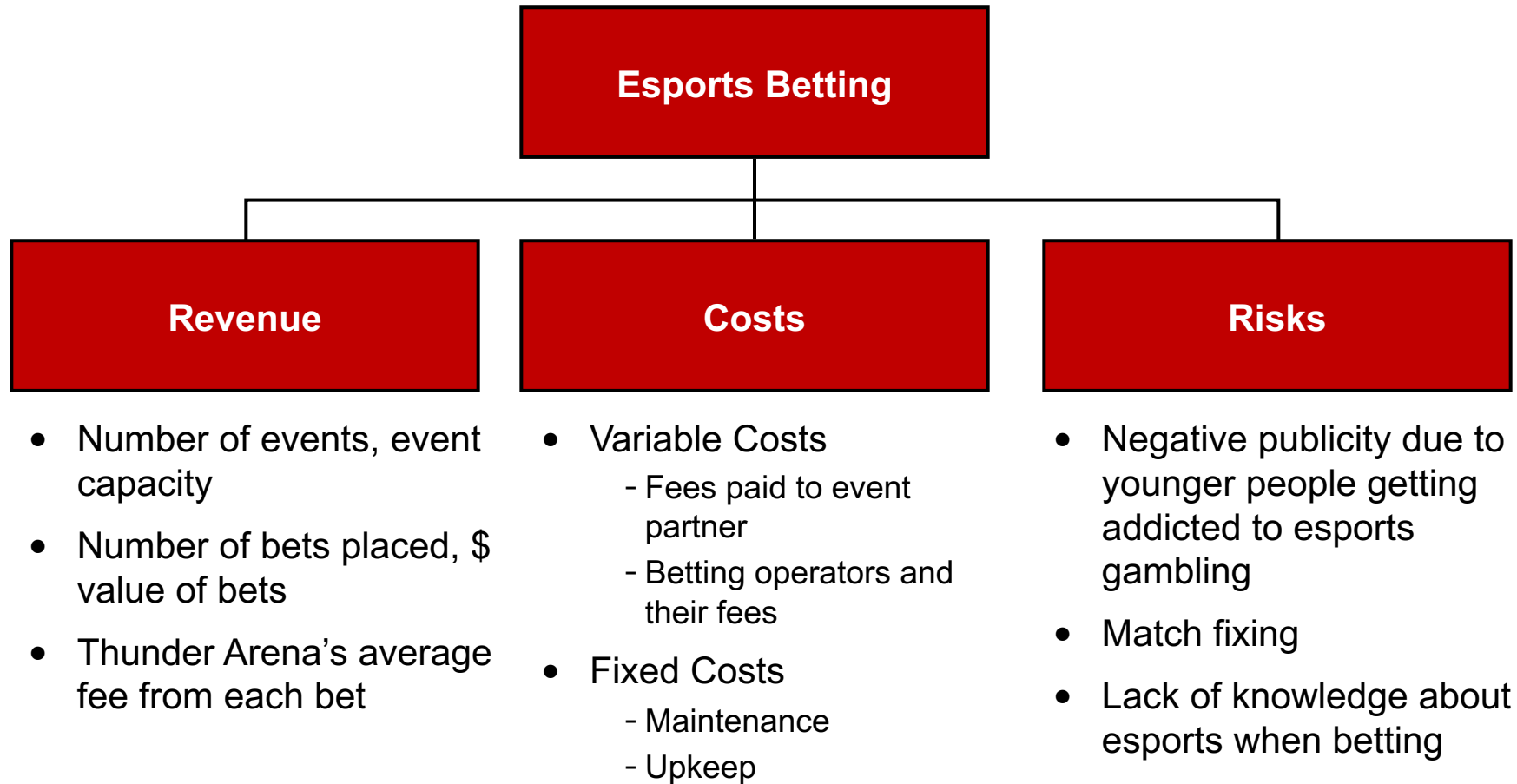
Goal:

- There is no specific revenue or financial target, though for this analysis we are primarily concerned about overall profitability.

Revenue Model:

- Thunder arena charges a fixed percentage on each bet placed.

Thunder Arena – Structure



Thunder Arena – Exhibit 1

Traditional Betting Revenue (Annual)	
No. of events	250/year
No. of events that involve betting	60%
Potential attendees/event	2,000 people
Average attendee capacity/event	80%
Attendees per betting event who bet	70%
Average bet size	\$200
% of betting attendees who bet via traditional area	5%

Traditional Betting Costs (Annual)	
Fees passed on to event partner	1%
No. of betting operators per event	25
Hourly wages of each betting operator	\$30
No. of hours an operators works for an event	2
Fees/costs per betting event	\$2,500
Annual Maintenance of arena	\$7,000



Thunder Arena – Exhibit 1 Calculations

Exhibit 1:

On an annual basis, what is the current profit that Thunder Arena generates from its traditional sports betting offering?

Revenue

- No. of events * Potential attendees * Capacity * Attendees who bet * Average bet size * Betting via traditional arena
- $250 * 60\% * 2,000 * 80\% * 70\% * \$200 * 5\%$
- $150 + 1,600 + 10 = \$1,680,000$

Costs

- Event Partner Fees: $250 \text{ events} * 60\% * 2,000 \text{ people} * 80\% * 70\% * \$200 * 1\% \text{ fee} = \$336,000$
- Betting Operator Fees: $250 \text{ events} * 60\% * 25 \text{ operators} * \$30/\text{hour} * 2 \text{ hours/event} = \$225,000$
- Costs per betting event: $250 \text{ events} * 60\% * \$2,500 = \$375,000$
- Annual Maintenance: \$7,000
- Total Costs: \$943,000

Profit: $\$1,680,000 - \$943,000 = \$737,000$

Candidate should proceed to calculate the profit from the online platform (exhibit 2).



Thunder Arena – Exhibit 2

Esports Betting Revenue (Annual)		Esports Betting Costs (Annual)	
No. of events	250/year	Fees passed on to event partner for traditional betting	1%
No. of events that involve betting	60%	Fees passed on to e-betting platform software provider	0.25%
Potential attendees/event	2,000 people	Fees passed on to e-betting platform event partner	0.25%
Average attendee capacity/event	80%	No. of betting operators per event	25
Attendees per betting event who bet	80%	Hourly wages of betting operator	\$30
Average bet size	\$170	No. of hours an operators works for an event	2
% of betting attendees who bet via traditional area	70%	Fees/Cost per betting event	\$2,500
% of betting attendees who bet via e-betting platform	30%	Annual upkeep and maintenance	\$7,000
Fees from traditional platform	5%		
Fees from e-platform	1%		



Thunder Arena – Exhibit 2 Calculations

Exhibit 2:

On an annual basis, what is the current profit that Thunder Arena generates from its esports betting offering?

Revenue

- Traditional: $250 \text{ events} * 60\% * 2,000 \text{ attendees} * 80\% * 80\% * \$170 * 70\% * 5\% \text{ fee} = \$1,142,400$
- E-Platform: $250 \text{ events} * 60\% * 2,000 \text{ attendees} * 80\% * 80\% * \$170 * 30\% * 1\% \text{ fee} = \$97,920$
- Total Revenue: \$1,240,320

Cost

- Event Partner Fees: $250 \text{ events} * 60\% * 2,000 \text{ attendees} * 80\% * 80\% * \$170 * 70\% * 1\% \text{ fee} = \$228,480$
- E-betting Fees: $250 \text{ events} * 60\% * 2,000 \text{ attendees} * 80\% * 80\% * \$170 * 30\% * 0.50\% \text{ fee} = \$48,960$
- Betting Operators: $250 \text{ events} * 60\% * 25 \text{ operators} * \$30/\text{hour} * 2 \text{ hours} = \$225,000$
- Event Cost: $250 \text{ events} * 60\% * \$2,500 = \$375,000$
- Annual Maintenance: \$7,000
- Total Costs: \$884,400

Profit: $\$1,240,320 - \$884,400 = \$355,920$

Insight: Operating an esports platform reduces profit by \$381,130 annually due to a decline in bet size and e-platform fee percentage.



Thunder Arena – Brainstorming

How can Thunder Arena increase its profit for the esports betting offering?

Internal:

- Raise bet size
- Charge higher fee % on e-platform
- Negotiate fees initially that are passed onto software provider and event partner

External:

- Provide ads of other companies on the mobile application platform
- Advertise mobile offering at events in the traditional arena (both on the traditional platform and at other events)
- App listed on website of Thunder Arena
- Social media engagement (e.g., Instagram)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Thunder Arena – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Client should not proceed with esports as it entails losing \$380k annually

Risks:

- Not entering a potentially valuable domain / the future of gaming
- Not attracting younger tech savvy and non-sports loving customers

Mitigations:

- Increase bet size over time
- Charge a higher fee percentage
- Advertisement

Next Step:

- Meet with CFO to discuss mitigations and a projected payback period

Shoe Co – Prompt and Case Guide

Case Style: Interviewee-led (Sponsored by Bain)

Industry: Retail / Consumer

Case Type: Profitability

Case Prompt:

Shoe Co is a small affordable luxury shoe retailer. The brand is classic and fun. The average price point is \$300 per pair of shoes.

Shoe Co has been facing a recent decline in Same Store Sales (SSS), while SSS of leading competitors' is growing.

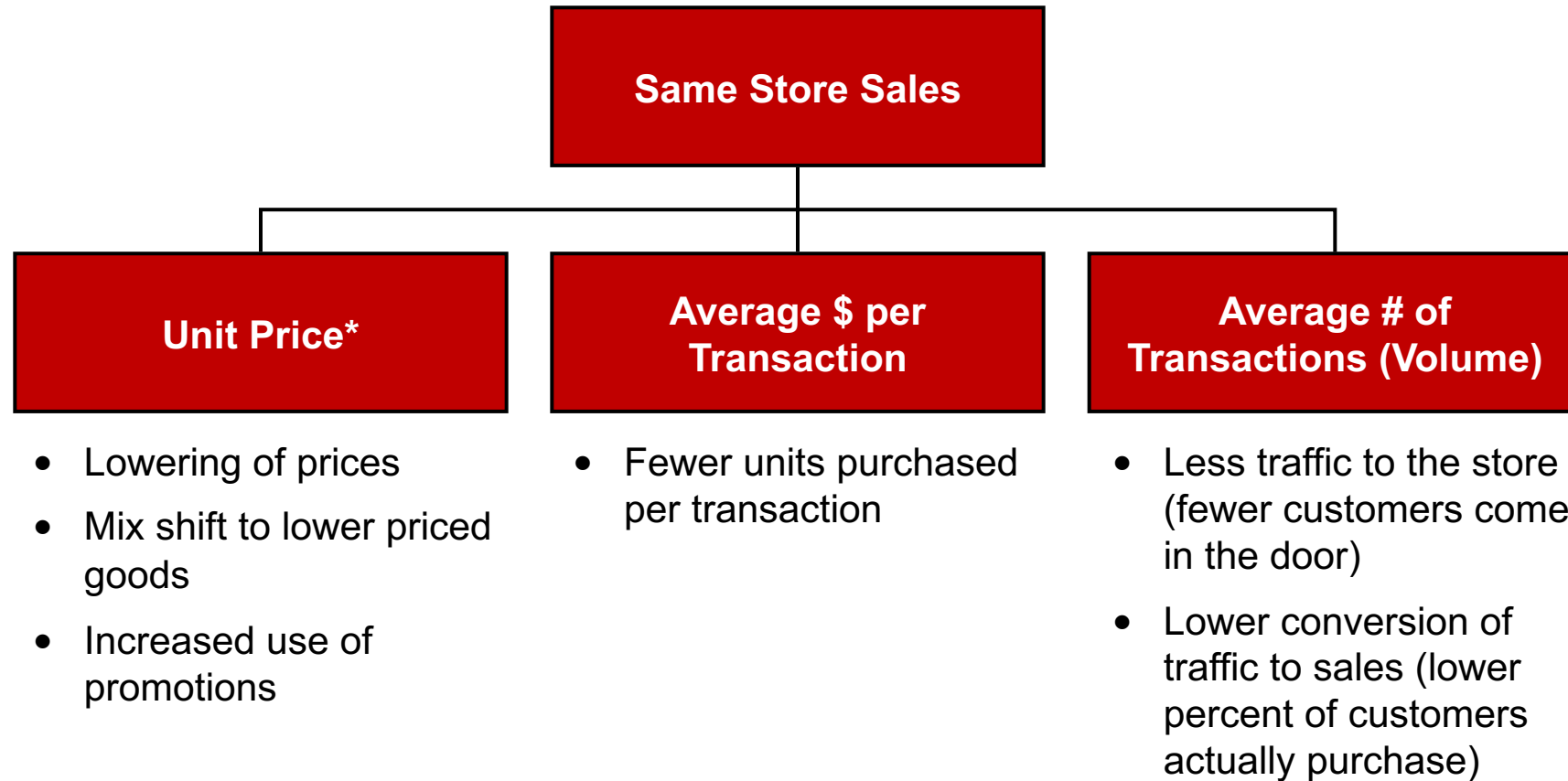
What is the root cause of the client's SSS decline?

For Interviewer Only:

The case is meant to discover the decrease in SSS is caused by a decrease in transactions; customers are coming in the store, but not buying. Decrease in transactions is driven by customer dissatisfaction with product assortment. Solution: increase design spending



Shoe Co – Structure

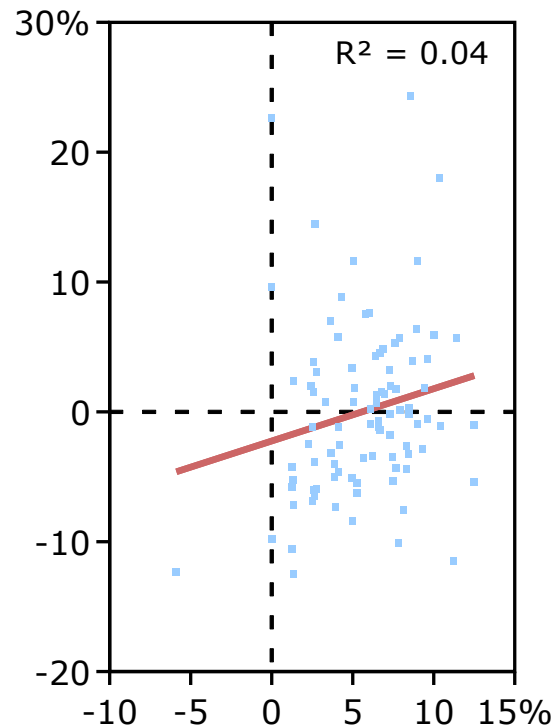


* Average price per pair

Shoe Co – What is the most important driver of SSS decline?

Unit Price*

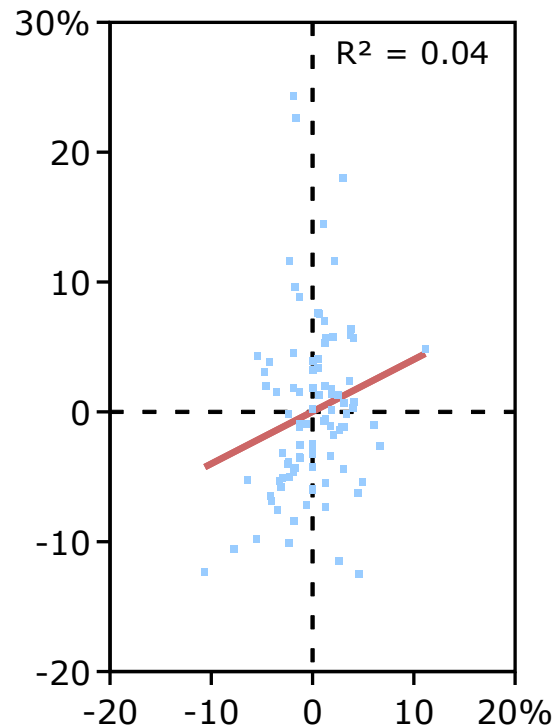
SSS change (06-07)



Unit Price change
(06-07)

Average \$ per Transaction

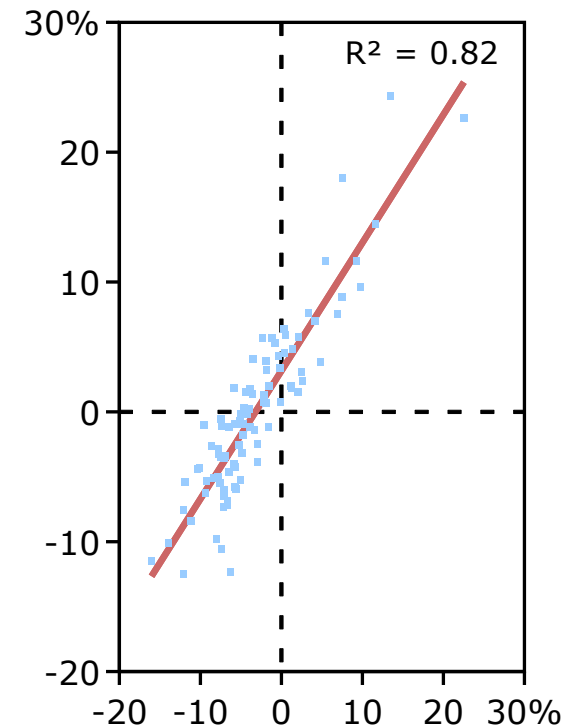
SSS change (06-07)



Average \$/ transaction
change (06-07)

Average # of Transactions

SSS change (06-07)



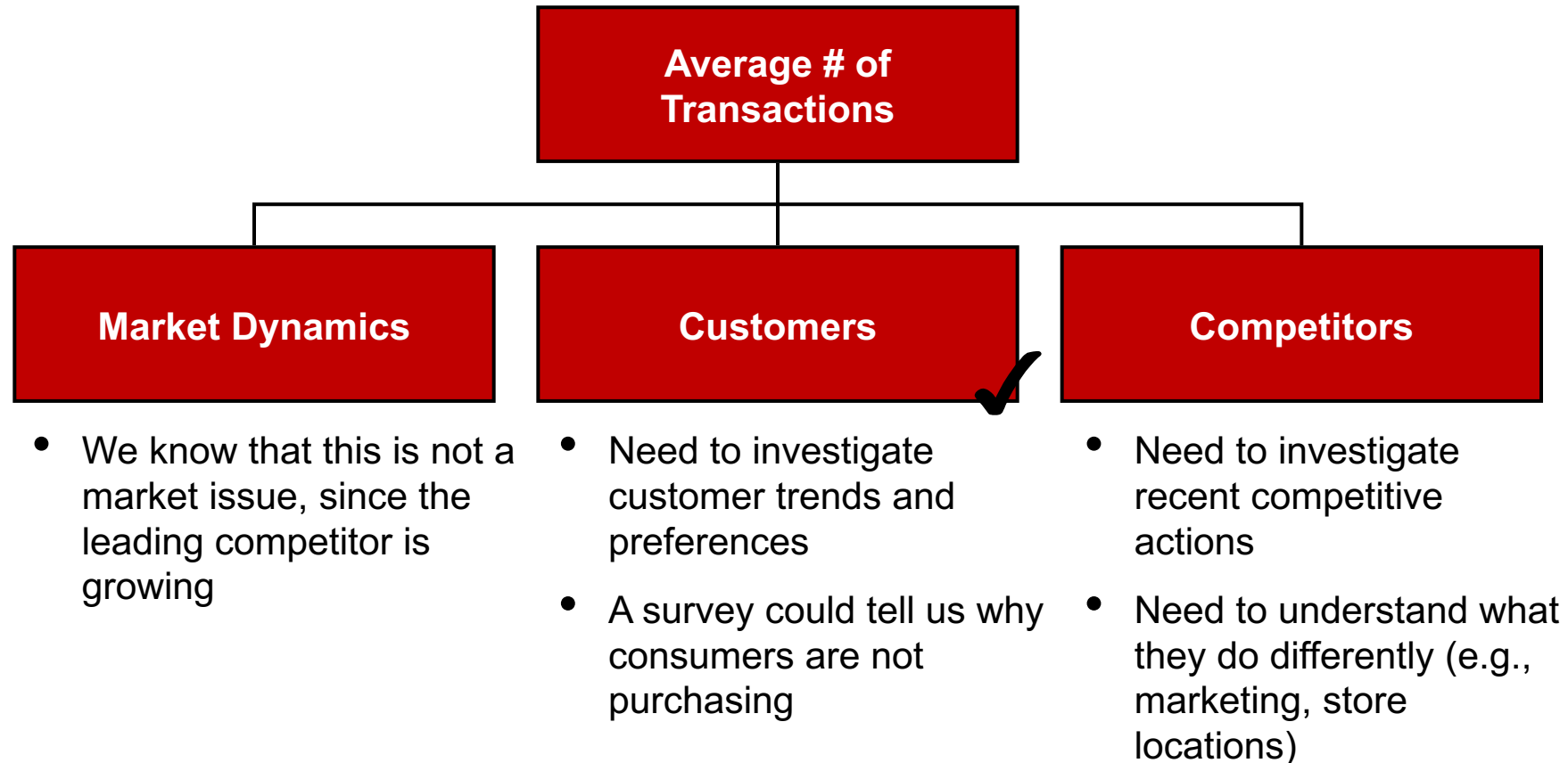
Average # of
transactions change (06-07)



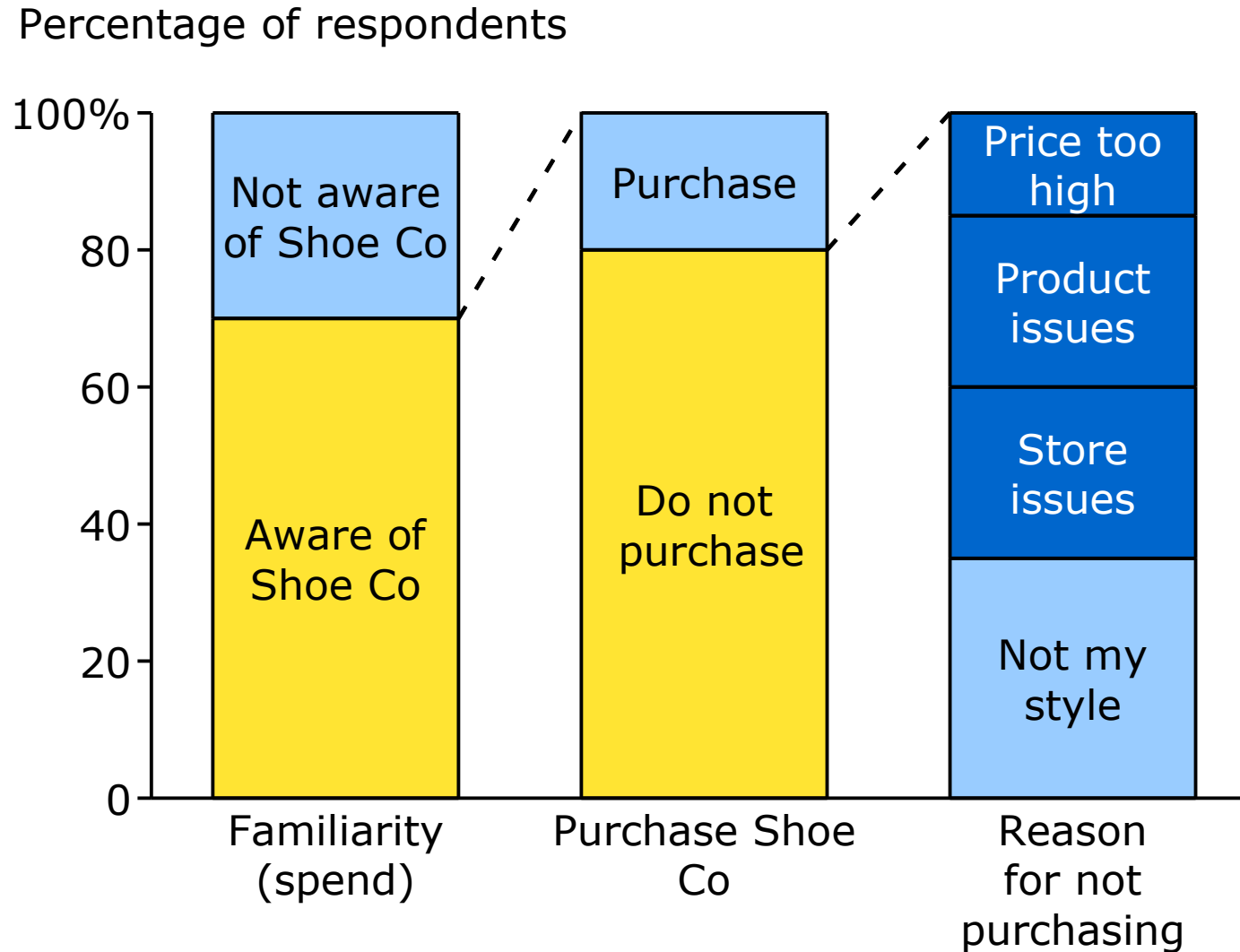
* Average price per pair

Shoe Co – Structure #2 (Dig deeper into the most important driver)

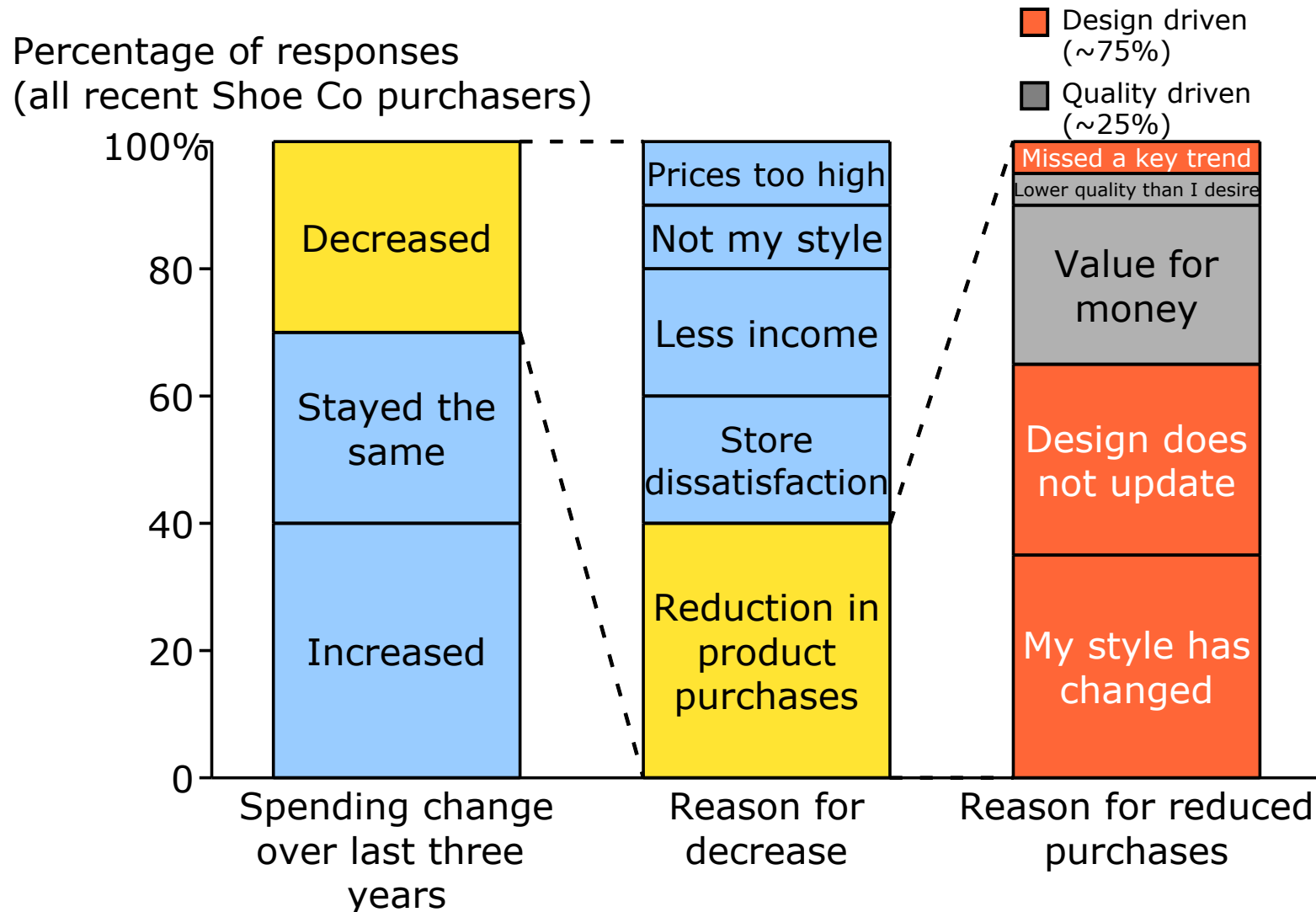
Hypothesis: Transactions are declining due to a change in customer trends and preferences, not a competitive move



Shoe Co – Consumer Survey Results (1 of 3)

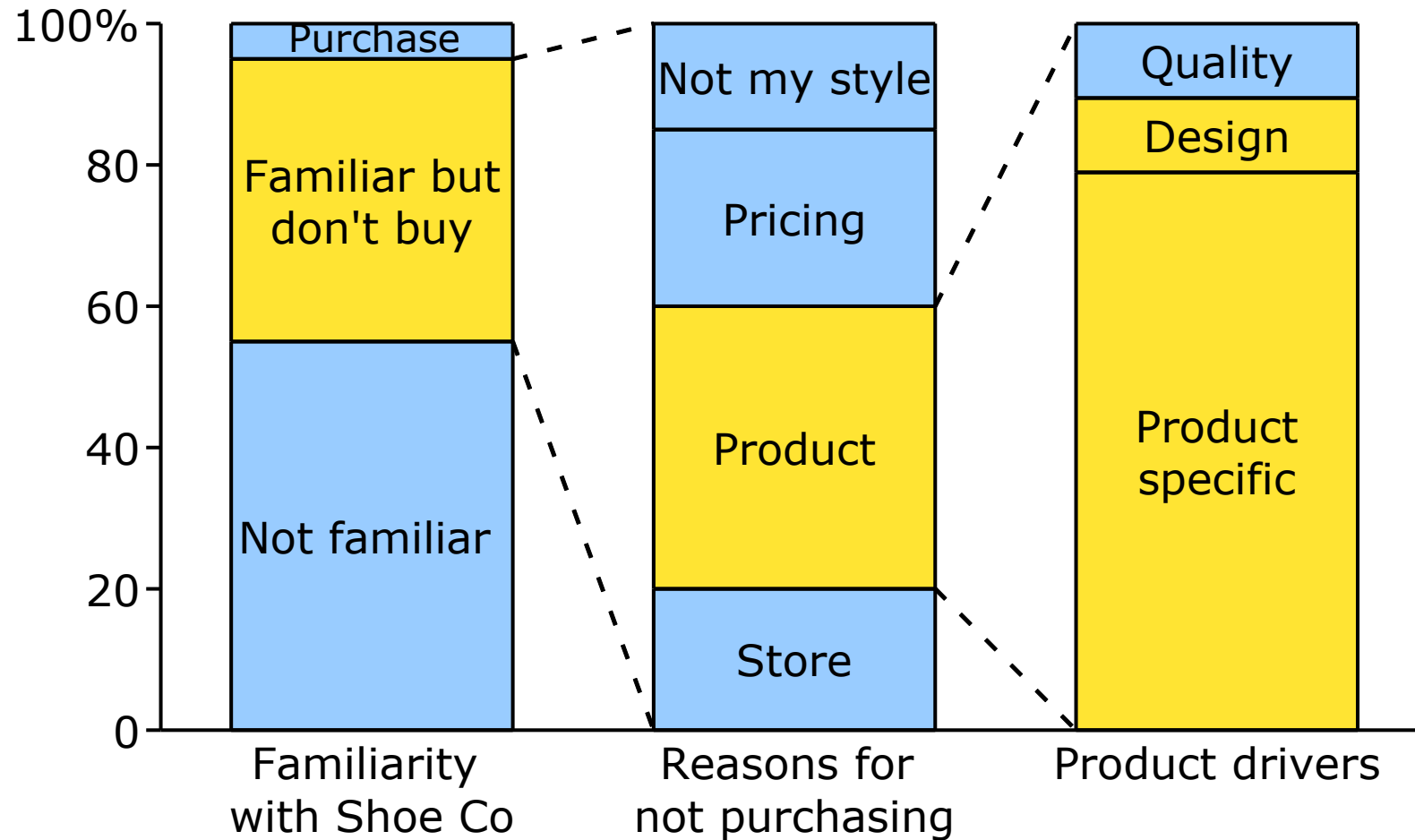


Shoe Co – Shoe Co Customers (2 of 3)

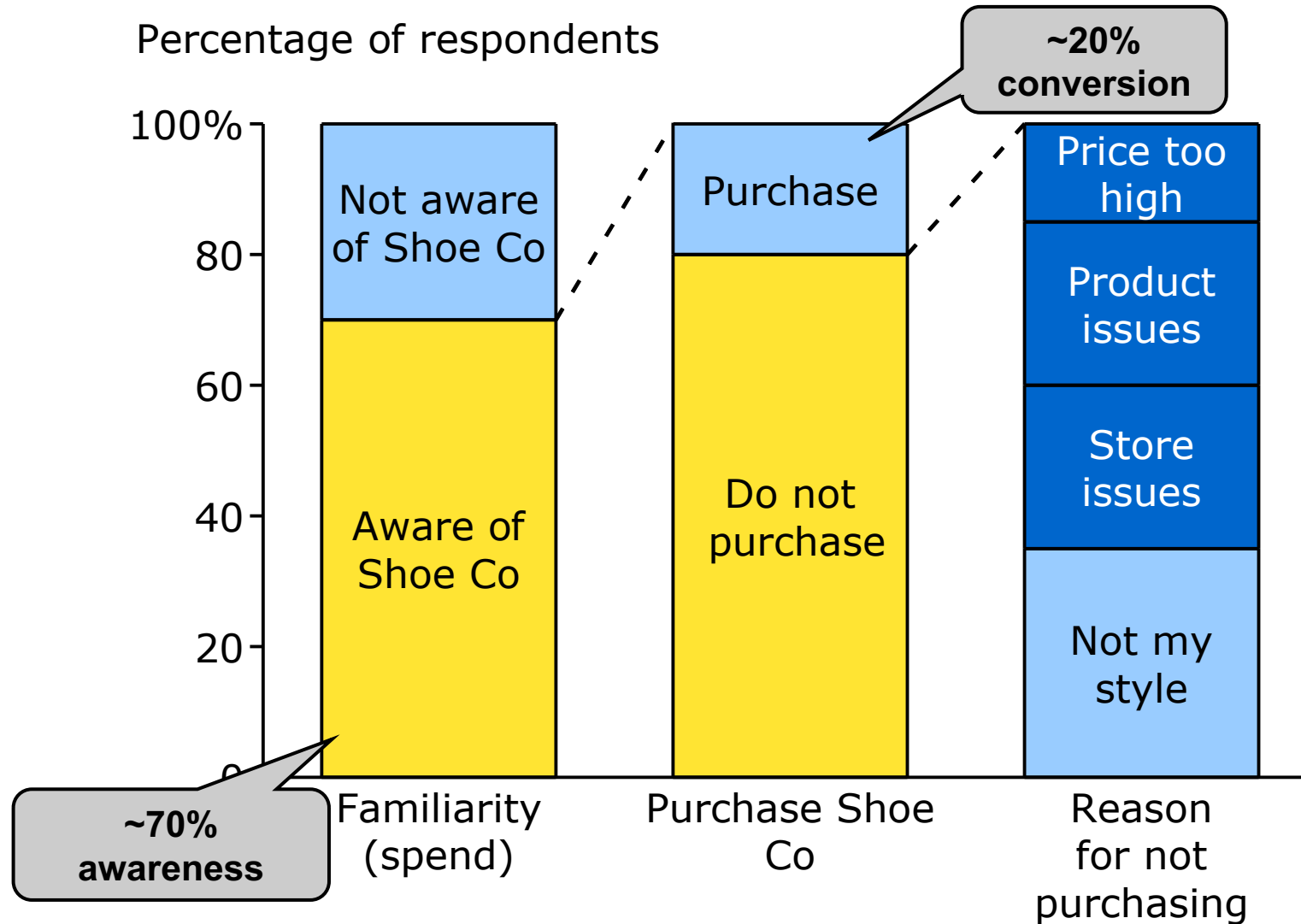


Shoe Co – Affordable Luxury Shoe Consumers (3 of 3)

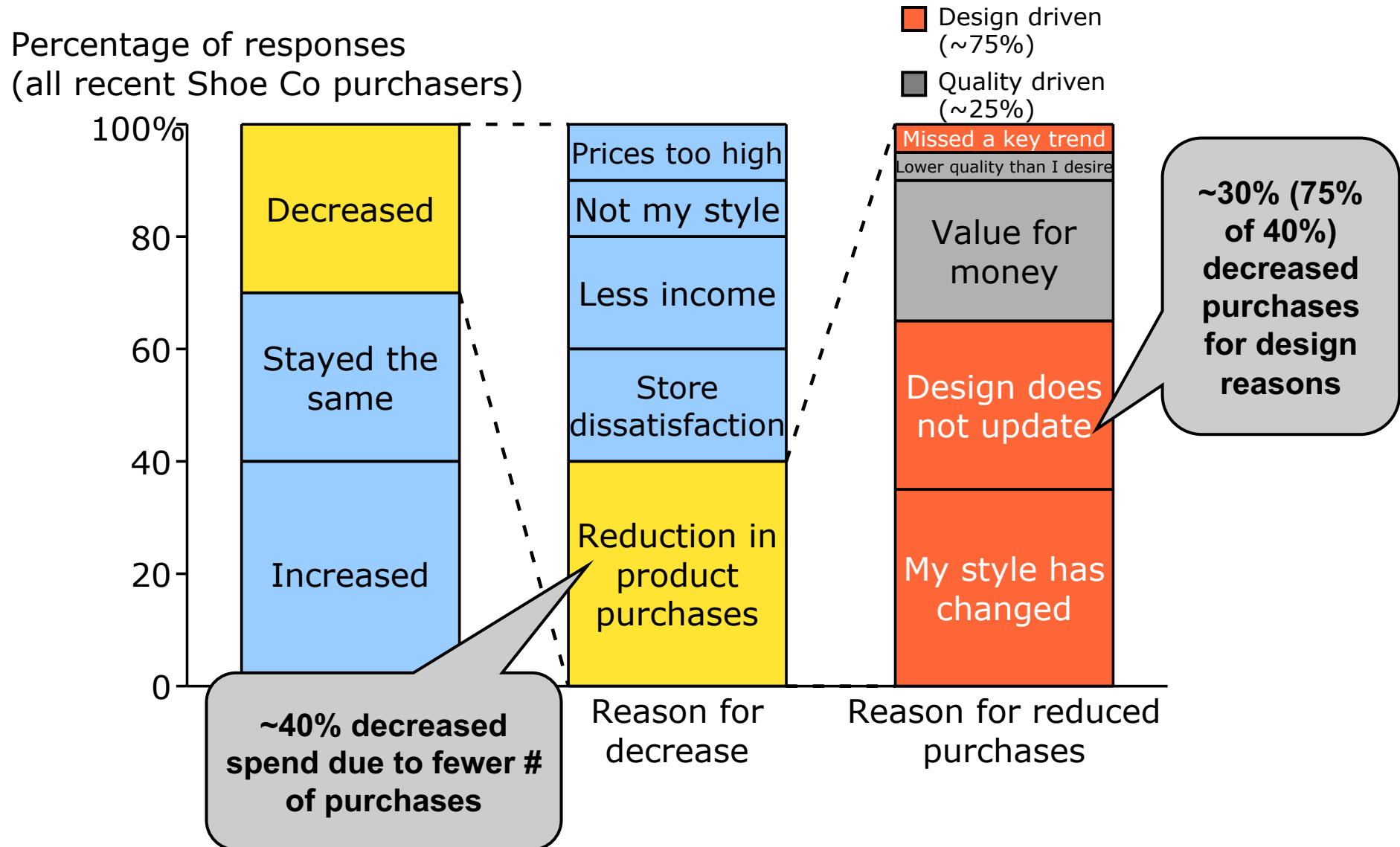
Percentage of responses



Interviewer Only: Shoe Co has high awareness among consumers, but converts few to buyers (1 of 3)

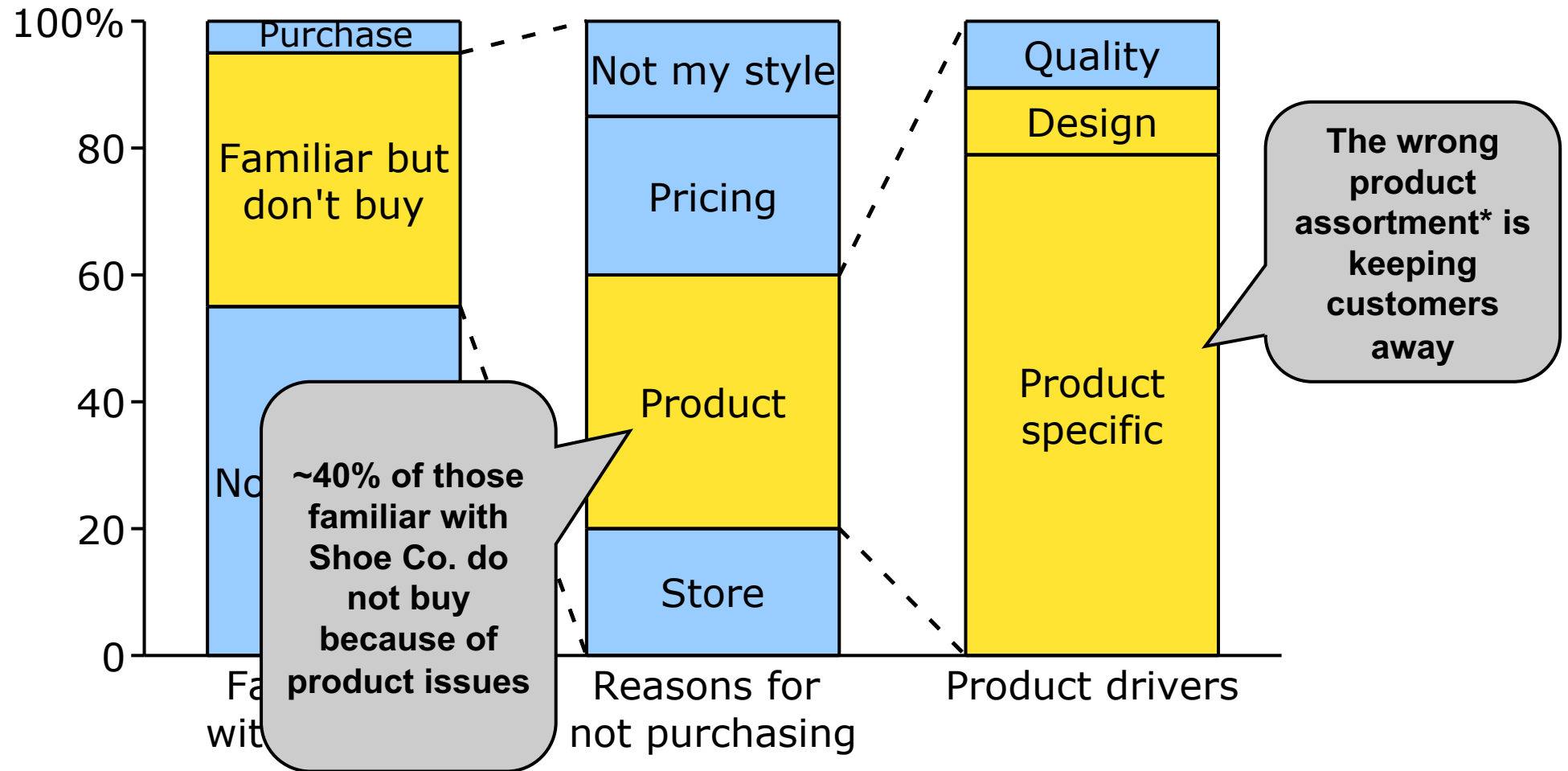


Interviewer Only: 30% of consumers who decreased spending did so because of product design reasons (2 of 3)



Interviewer Only: For non-customers, product design presents a large hurdle to conversion (3 of 3)

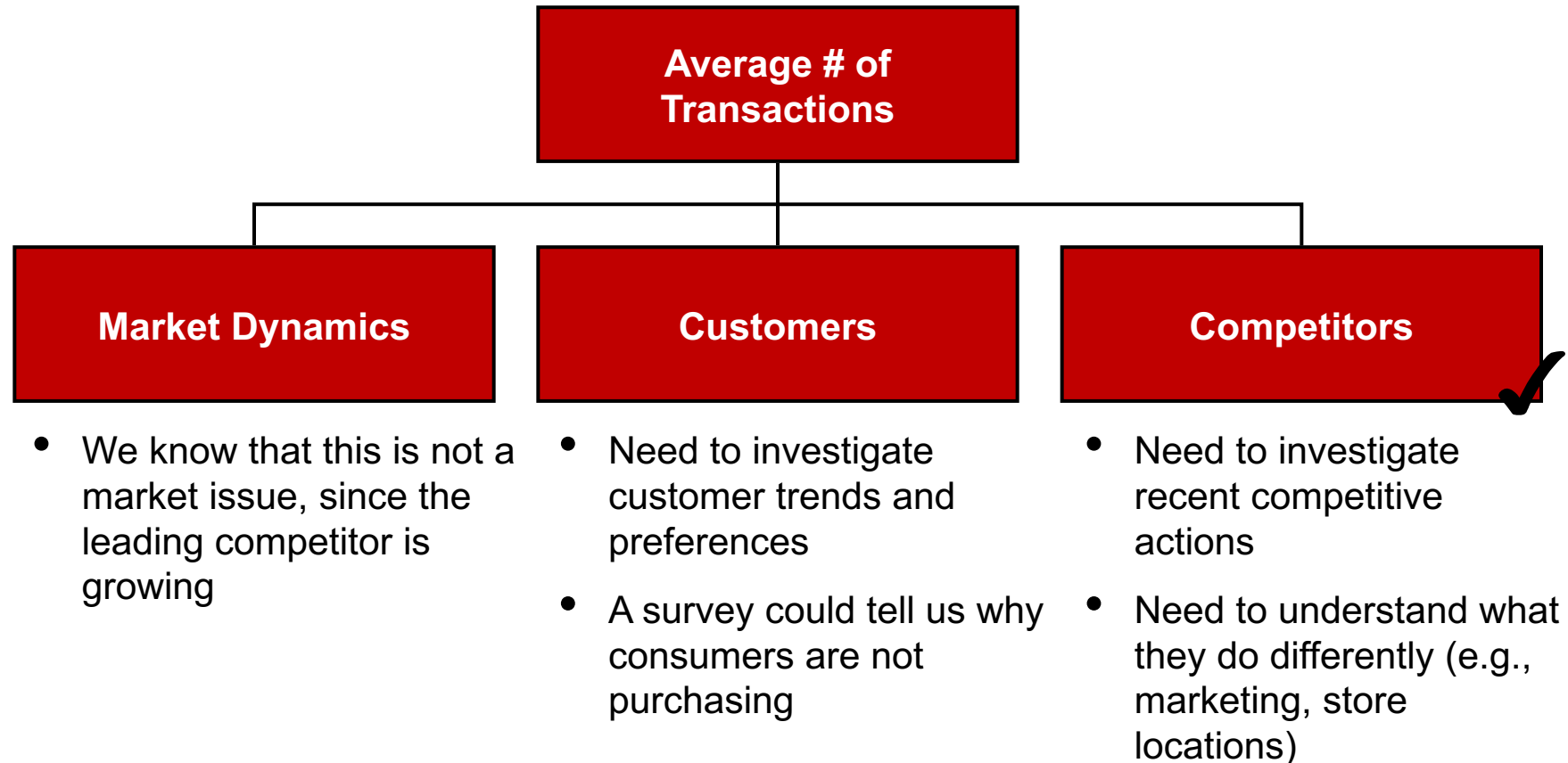
Percentage of responses



* Assortment is defined as the mix of products available for purchase

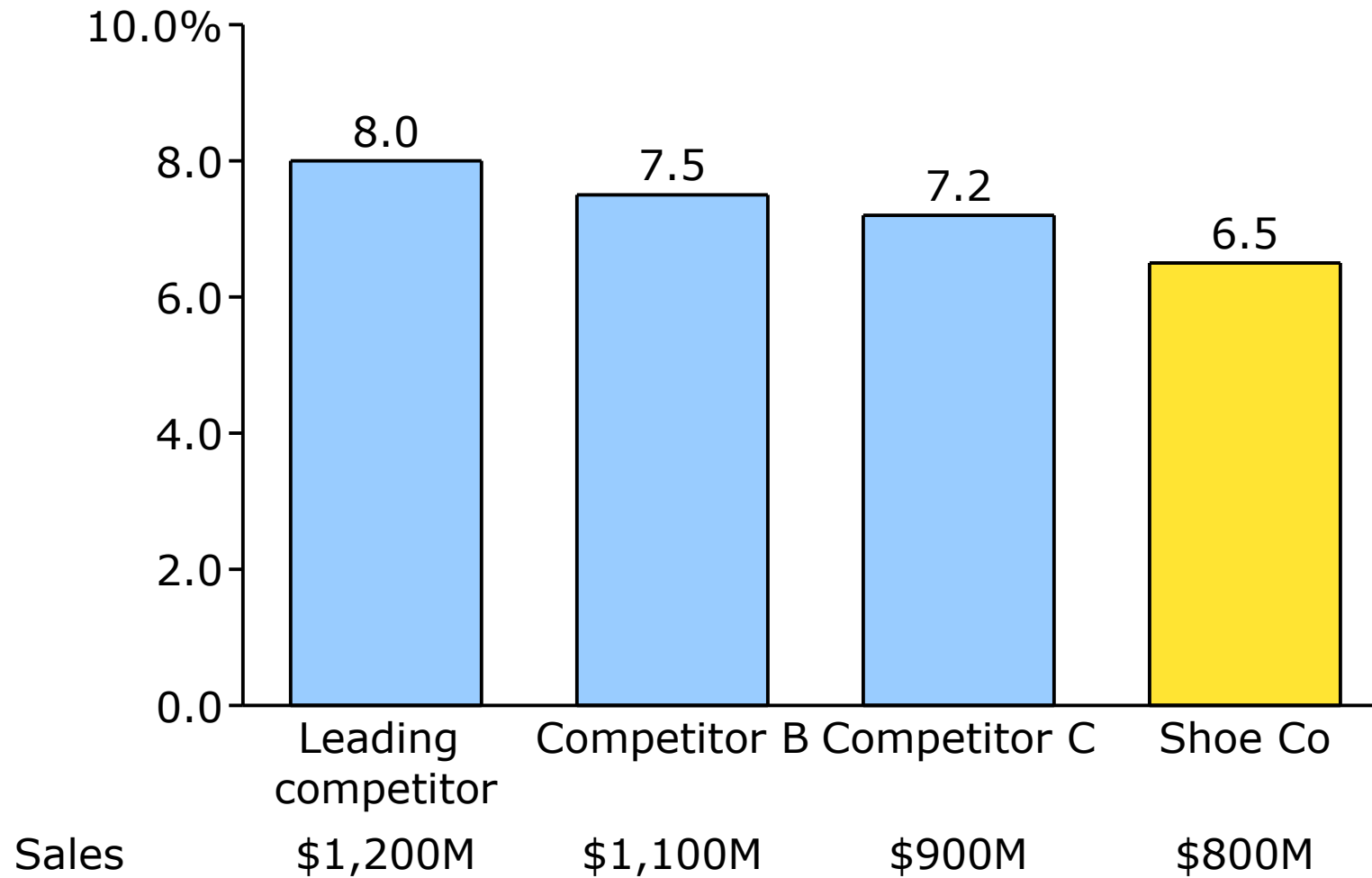
Shoe Co – Revisit your hypothesis and decide how to proceed

Hypothesis: Transactions are declining due to a change in customer trends and preferences, not a competitive move



Shoe Co – Design Spending as a Percent of Sales

Design spending as a % of sales



Shoe Co – Design Spending as a Percent of Sales

Takeaways:

- We are lagging the industry in design spending
- Shoe Co should increase its spending on design to match industry benchmarks
 - Need to understand the expected impact on profitability
- To understand the EBITDA impact, we need to understand:
 - Required increase in annual design spend
 - Expected resulting increase in sales and gross margin

Shoe Co – Calculations

Calculate EBIDTA impact:

Design spending increase:

Industry benchmark: design as % of sales ~8%

Current Shoe Co spend 6.5%

Increase in design spend as % of sales	1.5%
--	------

Shoe Co sales	x \$800 M
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Required increase in design spend	\$ 12 M
-----------------------------------	---------

From interviewer	From data slides
------------------	------------------

Expected gross margin lift:

“Getting assortment right can be worth between 5-10% in sales lift for the average retailer.”

Bain Retail Expert

Expected sales increase from assortment 5%

Shoe Co sales \$ 800 M

Expected sales lift	\$ 40 M
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Gross margin	40%
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Contribution margin increase	\$ 16 M
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Expected Lift – Increase Spend = + \$4M
EBITDA



Shoe Co – Brainstorming

What other quantitative or qualitative questions would you want to consider if you were Shoe Co?

Quantitative:

- Costs and benefits of the investment over time
 - Ramp-up costs (e.g., hiring designers, expanding facilities)
 - Payback period
 - NPV

Qualitative:

- Investing in-house vs. outsourcing design – is this a capability that Shoe Co should have internally?
- Scale of investment - given Shoe Co's small size, will this investment based on percent of sales be big enough to be meaningful? Is there a minimum dollar threshold above which they must invest to reap benefits?



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Shoe Co – Synthesize what you learned

Key Insights:

- The root cause of the decline in Same Store Sales is a decreasing number of transactions
- Transactions are decreasing due to customer dissatisfaction with product assortment
 - The leading competitor is growing SSS, so this is not a market-driven problem
 - Shoe Co. has high awareness among consumers, but conversion to actual purchases is low
- Shoe Co. is under-investing in design vs. competitors
 - Shoe Co. invests 6.5% of sales; leading competitor invests 8%
- Fixing product assortment could increase sales by 5-10%
 - Even under conservative assumptions, investing in design to fixing product assortment could have a positive EBITDA impact of \$4 M in a steady state environment

Shoe Co – Recommendation

To reverse the trend in falling Same Store Sales, the client should do the following:

- **Increase spending on design to match industry leader**
 - Increase spending on design from 6.5% to 8% to match spending by the industry leader
- **Improve assortment to stop losing customers and convert non-buyers**
 - Customers have decreased spending due to dissatisfaction with the products and designs available
 - While Shoe Co has high awareness, its low conversion rate is driven by a dissatisfaction with product assortment
 - Improving assortment can bring a 5-10% increase in sales (steady state)

Podcast to Podca\$h – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Technology

Case Type: Valuation

Case Prompt:

Your client is a large music streaming platform. They are considering negotiating an agreement for exclusive ownership rights to content created by a famous podcaster for the next five years.

They have hired you to help them evaluate the proposed terms of the agreement.

For Interviewer Only:

This case is an investment decision and centers on the valuation of the agreement. The candidate should drive towards valuation of the agreement and look to understand if it is beneficial. There are no exhibits in this case. Data should be read out loud to the candidate.



Podcast to Podca\$h – Clarifying Information

Goal:

- Client is focused on maintaining their listener base and sell as many ad minutes as possible. They are also concerned with profitability.

Revenue Streams:

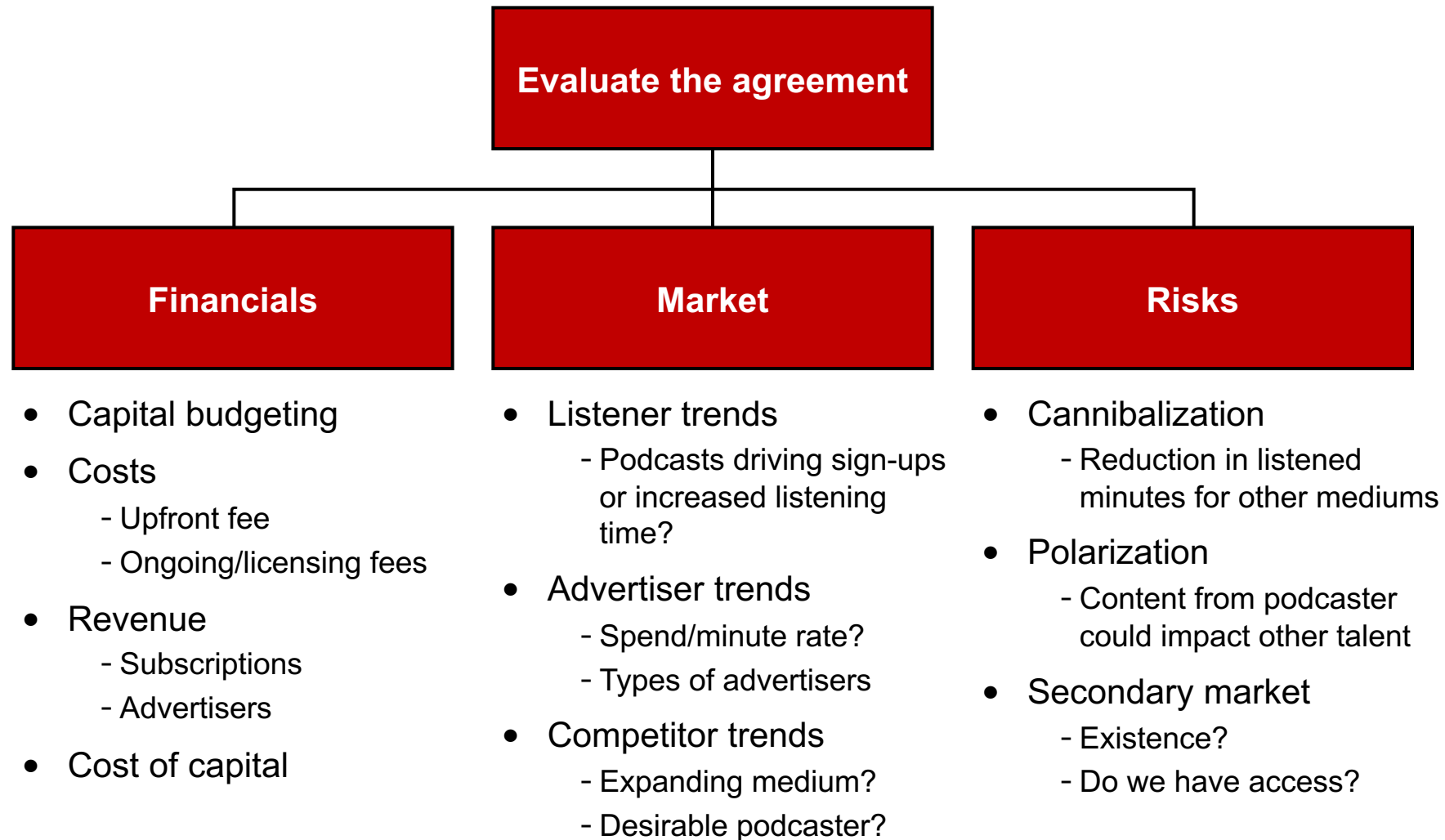
- Membership fees and advertisements

Costs:

- Upfront payment and a recurring licensing fee each year



Podcast to Podca\$h – Structure



Podcast to Podca\$h – Annual Revenue Data

Read numbers to candidate. Candidate should calculate annual total revenue (try to have them drive).

Number of listeners	10,000,000
Student listener monthly fee	\$ -
Standard listener monthly fee	\$ 5
Premium listener monthly fee	\$ 10
Average minutes listened per month	30
Average price per minute paid by advertisers	\$ 0.5

Listener type	%
Students	25
Premium	40
Premium who are students	10

Podcast to Podca\$h – Revenue Calculations

Candidate should begin by calculating the breakdown of student (non-paying) listeners. Following that, they can determine the total premium and standard listeners.

Number of listeners	10,000,000
Student % of listeners	25
Total student listeners	2,500,000
Premium % of listeners	40
Total premium listeners	4,000,000
Student % of premium listeners	10
Premium student listeners	400,000
Standard student listeners	2,100,000

Number of listeners	10,000,000
Billable % of listeners	75
Total billable listeners	7,500,000
Premium listeners	4,000,000
Billable premium listeners	3,600,000
Billable standard listeners	3,900,000

Podcast to Podca\$h – Revenue Calculations

Candidate should move to find the total revenue per month from subscriptions, then move to the advertising revenue.

Billable premium listeners	3,600,000
Premium monthly fee	\$ 10
Premium monthly revenue	\$ 36,000,000
Billable standard listeners	3,900,000
Standard monthly fee	\$ 5
Standard monthly revenue	\$ 19,500,000
Monthly subscription revenue	\$ 55,500,000
Annual subscription revenue	\$666,000,000

Monthly minutes listened	300,000,000
Annual minutes listened	3,600,000,000
Average price/minute paid by advertisers	\$ 0.50
Annual advertising revenue	\$1,800,000,000

Total Annual Revenue: \$2.466B

Insight: This annual revenue figure seems attractive; I'd be curious about benchmarking it.



Podcast to Podca\$h – Cost Calculations

Candidate should move look for costs or benchmarks (none available). This should precede the candidate moving towards an NPV calculation for this agreement. Dictate the values to the candidate verbally.

Upfront (initial) fee	\$ 2,000,000,000
Annual (recurring) fee	\$ 2,000,000,000
WACC (Cost of capital)	10%
Optional - Growth rate	0%

Total annual revenue	\$ 2,466,000,000
Annual (recurring) fee	\$ 2,000,000,000
Annual profit	\$ 466,000,000
WACC (Cost of capital)	10%
Perpetuity value	\$ 4,660,000,000
Initial costs	\$ 4,000,000,000
NPV	\$ 660,000,000

Podcast to Podca\$h – Brainstorming

What are other risks relative to this agreement?

Internal:

- Uncertainty of cash flows
- Introduction of a new type of audio content – capable to do this in-house? Edits?
 - Music streaming platform vs. podcast
- Cannibalization

External:

- Competitor responses
- Listener trends; five years is not short-term
- Advertiser relationships



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Podcast to Podca\$h – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Given NPV of \$660M, most recommendations should be to pursue the agreement exclusively. Other conclusions are acceptable if well supported.

Risk:

- Introducing a new type of audio content on platform

Mitigation:

- Increase advertisement and showcase top starred reviews

Next Step:

- Set up meeting with podcast producer / record label and begin negotiating agreement process for exclusive rights

Ski & Board Wax in Colorado – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Retail / Consumer

Case Type: Market Sizing

Case Prompt:

Your client, a snow sports retail company, is looking to expand their product offerings and is considering entering the ski and snowboard wax market in Colorado, USA.

You have been hired to determine how big the ski wax market is in the state.

Note – The same amount of wax is used for one pair of skis or one snowboard. Ski, snowboard, or board can be used interchangeably.

For Interviewer Only:

All calculations focus on market sizing and the assumptions that the candidate makes. Guide them when they get stuck on the next steps they should take. There is no formal recommendation for this case; there is a heavier focus on getting the market sizing and assumptions.



Ski & Board Wax in Colorado – Clarifying Information

Goal:

- The aim is to find the annual sales of wax in Colorado as a first step to evaluate whether the market is worth entering.

Business Model (not impactful for this market sizing):

- Your client can both produce and sell the wax. They are interested in market value of total sales in the state.

Product:

- The wax comes in a bar form (about 2x a bar of soap in size) and is melted onto the base of a ski, scraped flat, and buffed smooth. The wax decreases friction between the ski and snow allowing the rider to glide faster with more control.

Ski Season Length and Distribution:

- The typical ski season is 5 months (150 days) and skier visits can be assumed to be uniformly distributed for this case.

Colorado:

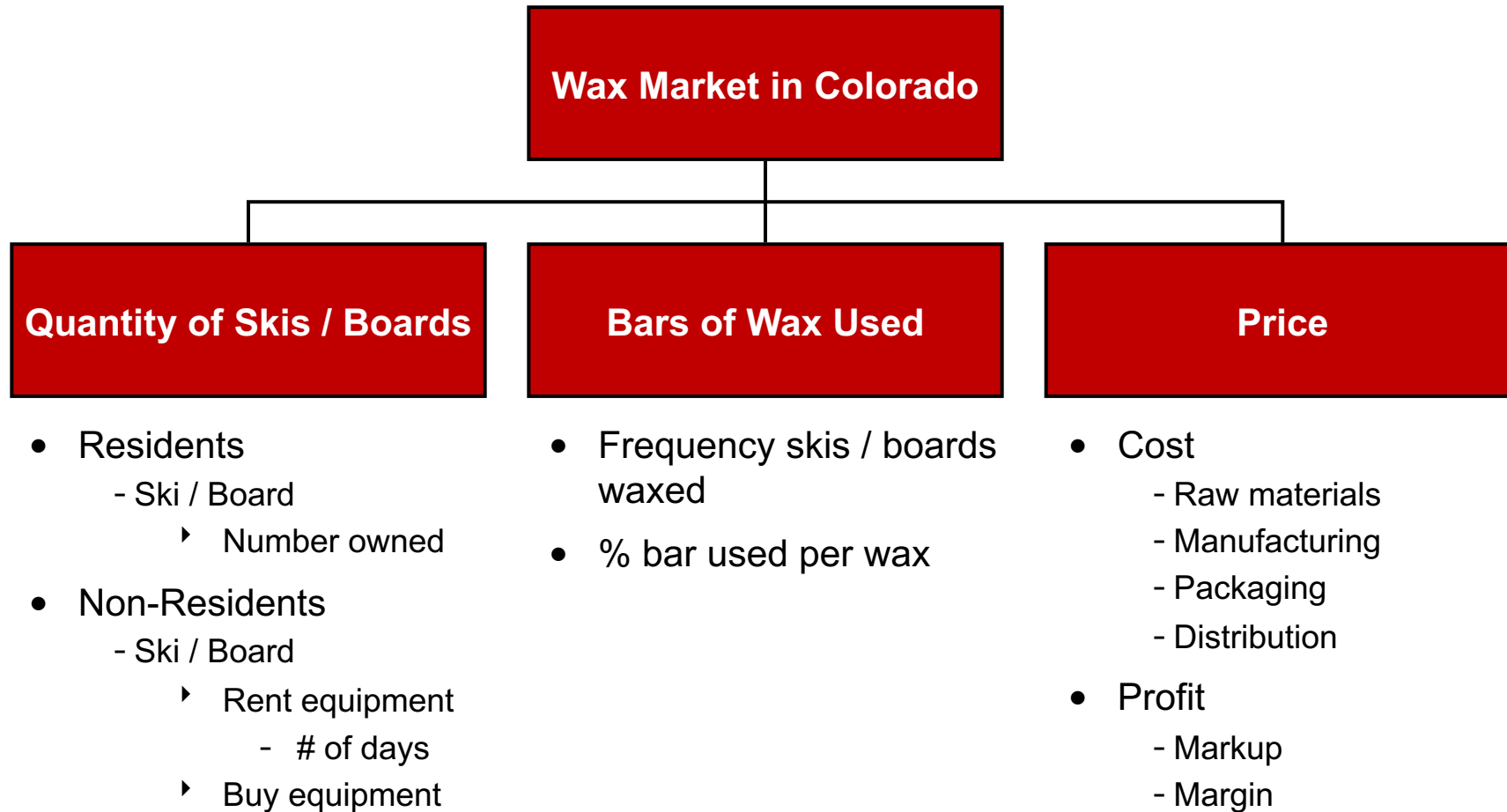
- Located in the Rocky Mountains in the United States of America. There are 26 ski resorts and is a popular ski destination.



Ski & Board Wax in Colorado – Product Reference



Ski & Board Wax in Colorado – Structure



Ski & Board Wax in Colorado – Calculation 1

Candidate should lead the market size for number of skis / boards needing wax by residents:

Population

- Actual 5.75M or round to 6M
- **Example Calculation:** 6M

Percent that ski (provide reasoning)

- Range of 10-50% is acceptable
- **Example Calculation:** 10% of 6M = 600K

Number of skis / board per resident (easy)

- Two skis / boards each
- **Example Calculation:** $600K * 2 = 1.2M$

Number of skis / board per resident (intermediate)

- Beginner, 25%, 1 ski/board
- Intermediate, 50%, 2 skis/boards
- Advanced, 25%, 4 skis/boards
- **Example Calculation:** $150K * 1 = 150K$, $300K * 2 = 600K$, $150K * 4 = 600K$; Total = 1.35M Skis / Boards

Ski & Board Wax in Colorado – Calculation 2

Candidate should lead the market size for number of skis / boards needing wax by non-residents:

Tourist population (have candidate brainstorm; after that, provide them the number of 40M)

- Actual 40M (7x residents)

Percent that ski (easy)

- Range of 2-10% or 1-5M is acceptable
- **Example Calculation:** 1M or 1/40 or 2.5% = 1M visitor's ski

Percent that ski (intermediate)

- % that rent = 80%
- % that bring = 20%

Percent of skis / boards needed per non-resident:

- Average tourist that skis spends 7 days in Colorado and spends 3 of them skiing
- Season is 150 days, uniformly distributed
- **Example Calculation:** Number of Skis Needed = Number of Ski Days Total / 150
- $1M * 3 \text{ days} = 3M \text{ ski days}$
- $3M / 150 \text{ days} = 20K \text{ Skis / Boards}$

Ski & Board Wax in Colorado – Calculation 3

Candidate should lead and calculate quantity of wax needed:

Frequency

- Monthly, not dependent on use or time, 5-month season (season is given in clarifying information)

Amount (easy)

- 2 bars per ski per season

Amount (advanced)

- 2.5 bars per ski per season (1/2 bar per waxing)

Total bars per season

- Add resident and non-resident skis
- Multiply by bars used per season
- **Example Calculation:** $1.2M + 120K = 1.22M * 2 = 2.44M$ bars per season

Ski & Board Wax in Colorado – Calculation 4

Candidate should lead and calculate price of wax:

Candidate should brainstorm how to get price (similar product, cost-plus, retail price/margin, etc.)

Retail price (easy)

- \$6
- **Example Calculation:** 10% of 6M = 600K

Retail markup (intermediate)

- Cost is \$4, markup is 50%, therefore price is \$6
- **Example Calculation:** Markup = Revenue – Cost / Cost

Retail margin (intermediate)

- Contribution margin is \$2, profit margin is 33% or 1/3
- **Example Calculation:** Margin = Revenue – COGS / Revenue

Company produces the wax, rates per bar (advanced)

- Raw materials: \$0.80, Manufacturing: \$1.60, Packaging: \$0.70, Distribution: \$0.90
- Total Costs: \$4.00; Markup of 50%
- Retail Price = \$6



Ski & Board Wax in Colorado – Calculation 5

Candidate should lead and complete the market size calculation:

Total bars * price

- **Example Calculation:** 2.44M bars * \$6 per bar = \$14,640,000

Insight: From a market sizing perspective, the retail company should consider adding waxing to their product offerings. However, there are other considerations, as well. Have candidate go into brainstorming directly.



Ski & Board Wax in Colorado – Brainstorming

What else should your client consider if they were to enter the ski and snowboard market in Colorado, USA?

Internal Company Capabilities:

- Training employees
- Space in retail store for waxing to be done
- Equipment
- Timing and schedule for customers

External Considerations:

- Branding and marketing new product offering to target segment
- Competition
- Cannibalization of products
- Synergy (with product packages, additional traffic in store)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Ski & Board Wax in Colorado – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Colorado wax market is worth entering as it is worth \$14.5+ MM; snow sports retail company provides synergies

Risk:

- Cannibalization of current products

Mitigation:

- Due diligence guided by comprehensive market analysis including consumer behavior and preferences

Next Step:

- Consider market entry strategy – joint venture, partnership, franchise, etc.

Pat's Pottery Studio – Prompt and Case Guide

Case Style: Interviewee-led

Industry: Retail Operations

Case Type: Market Expansion

Case Prompt:

Your client Pat Potter is the owner of a chain of popular pottery studios which are located in small towns across the northeast United States. Pat is interested in expanding into Mountton, a town in upstate New York. After a call with a local real estate agent, Pat found three possible locations – one in each of Mountton's three neighborhoods.

Which of the three locations should Pat choose?

Note: If asked, a kiln is an insulated chamber that produces high temperatures sufficient to turn objects made from clay into pottery.

For Interviewer Only:

If candidate is not aware of what pottery is, you can show them a picture or explain it to them.



Pat's Pottery Studio – Clarifying Information

Goal:

- Having opened several pottery studios already, Pat understands that it takes a while for a new business to find its footing. Pat is looking to maximize the expected monthly profit once the business reaches a steady state.

Business Model:

- Students pay \$30 per class attended. Pat has no interest in a subscription model.

Competition:

- Some neighborhoods have existing pottery studios. Without further information, we can assume that Pat's will be equally as popular as the other studios once it reaches a steady state.

Neighborhoods:

- People in one neighborhood do not usually visit the other neighborhoods. We can dive deeper into each individual neighborhood later in the case.

Class Structure:

- A teacher guides a class of up to 30 students through making a pot or other item. At the end of class, the items are placed in the studio's two kilns* and left to fire for 8 hours. There are two classes a day, 30 days a month (even in February).



Pat's Pottery Studio – Structure

Structure Example #1:

How large is each neighborhood's market?

- Population
- Demographics
 - Income Level
 - Interest in Pottery
- Willingness to Pay

How much of the market can Pat's capture?

- Competition
- Operational Capacity (bottlenecks)
 - Teacher attention
 - Stations for students
 - Kiln space
- What is the profit margin in each neighborhood?
 - Fixed Costs
 - Rent
 - Teacher salary

Marginal Contribution per Student

- Price of a class
- Variable costs
 - Clay
 - Utilities (electricity, water, etc.)

Structure Example #2:

Customers

- What are customer preferences in each neighborhood?
- What is the demographic breakdown?
- What is the population of each neighborhood?

Competitors

- How many competitors are there in each neighborhood?
- How does Pat compare to the competitors?

Company

- Financials
- Operations

Pat's Pottery Studio – Neighborhood Information

Overview of Neighborhoods (provide to candidate):

Mountton is a mountainous town and the roads are not great – people from one neighborhood **do not** like to visit the others.

- **Dilettante Heights** is an upscale neighborhood located at the peak of the mountain. The residents have a lot of free time and enjoy a variety of hobbies. The neighborhood is already home to a pottery studio, Crock's Pots.
 - Rent for this location is \$15,000 per month
- **Clayton Creek** is a small, artistic neighborhood located next to the creek that runs down the mountain. Due to the abundance of clay in this location, there are a lot of potters in the area. There are already 4 studios in this neighborhood.
 - Rent for this location is \$10,000 per month
- **University Valley**, at the base of the mountain, is home to the prestigious Mountton University of Dentistry (MUD). It is the largest neighborhood by far, and there are no studios currently operating in this neighborhood.
 - Due to a deal with the university, rent is only \$100 per month

Ask candidate what they would like to see based on this information, then provide the next two exhibits around demand and population. Candidate should provide key takeaways and conduct calculations around students per month in the two neighborhoods that they should proactively realize they should focus on – Dilettante Heights and Clayton Creek.



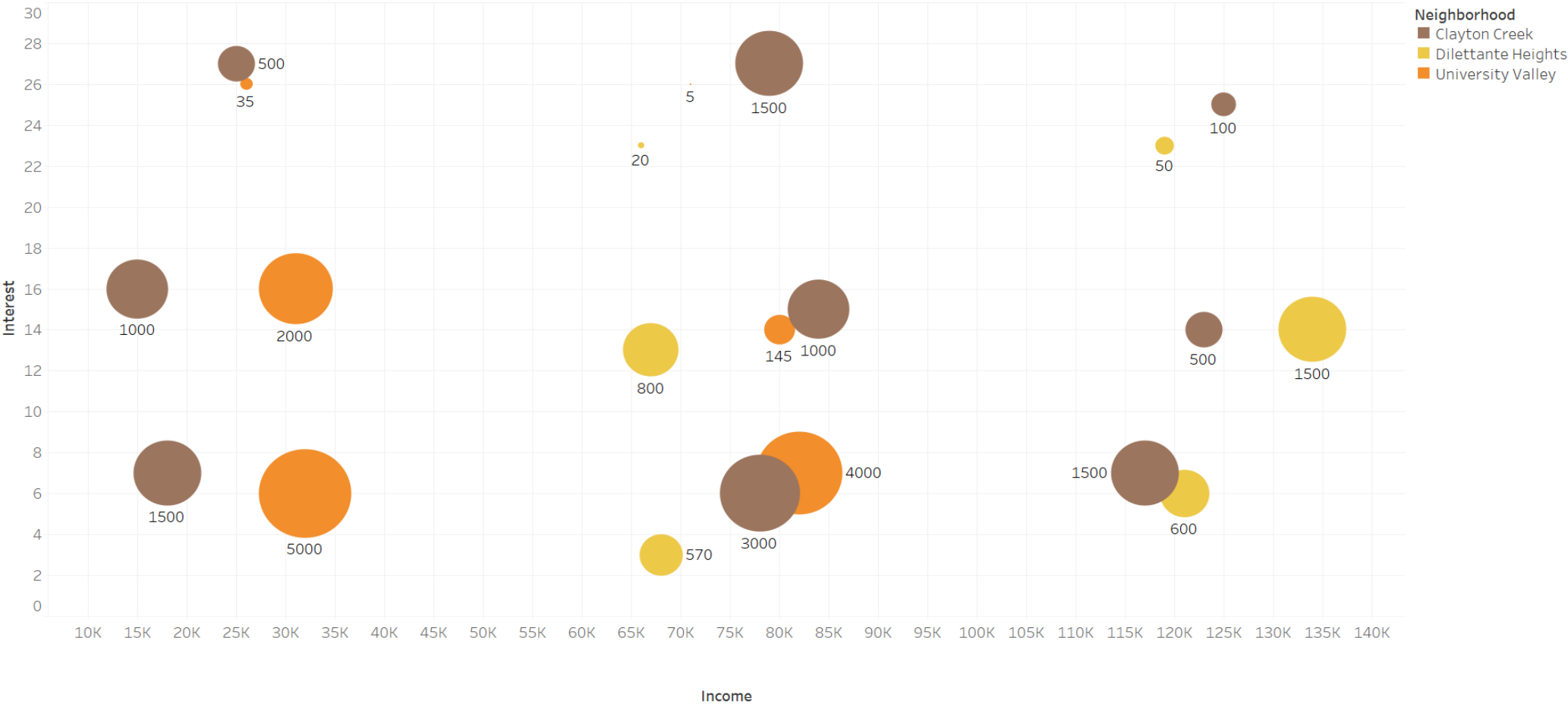
Pat's Pottery Studio – Exhibit 1, Demand by Demographic

Income\Interest Level	Loves Pottery (20-30)	Interested (10-20)	Not Interested (0-10)
\$100K-\$150K	8 visits per month	4 visits per month	0 visits per month
\$50K-\$100K	4 visits per month	1 visit per month	0 visits per month
\$0-\$50K	1 visit per month	0 visits per month	0 visits per month

Interest Level Based On Random Household Survey



Pat's Pottery Studio – Exhibit 2, Population by Neighborhood



Interest Level Based On Random Household Survey



Pat's Pottery Studio – Exhibit Takeaways

Exhibit Takeaways:

- Candidate should realize that general population does not equal population who goes to pottery. They should ask what percentage of each neighborhood goes to pottery class, which is 50% for Dilettante Heights and 20% for Clayton Creek. Only give the caser percentages when asked.
- Ideally, the caser should immediately discard University Valley since the vast majority of residents are uninterested, or they are interested but have low income.
- **[See following slide for detailed calculations]** Students per month in the other two neighborhoods are:
 - Dilettante Heights = 3,640
 - Clayton Creek = 2,060
- Candidate might want to consider the financials - if so, go to the “Financials” section and let them work through the math.
- If the candidate has not previously mentioned capacity constraints, ask if there might be other factors to consider and try to direct them there. Then go to the “Increasing Capacity” section.



Pat's Pottery Studio – Exhibit Calculations

Provide candidate with demand [50%, 20%] upon request. Exhibit calculations (students per month):

- **Dilettante Heights:**

- \$100-\$150K (Loves Pottery): $50 \text{ (population from exhibit 2)} * 50\% = 25 * 8 \text{ visits per month (exhibit 1)} = 200$
- \$100-\$150K (Interested): $1,500 \text{ (population from exhibit 2)} * 50\% = 750 * 4 \text{ visits per month (exhibit 1)} = 3,000$
- \$50-\$100K (Loves Pottery): $20 \text{ (population from exhibit 2)} * 50\% = 10 * 4 \text{ visits per month} = 40$
- \$50-\$100K (Interested): $800 \text{ (population from exhibit 2)} * 50\% = 400 * 1 \text{ visit per month} = 400$
- \$0-\$50K: 0
- Total: $200 + 3,000 + 40 + 400 = \mathbf{3,640 \text{ students per month}}$

- **Clayton Creek:**

- \$100-\$150K (Loves Pottery): $100 \text{ (population from exhibit 2)} * 20\% = 20 * 8 \text{ visits per month} = 160$
- \$100-\$150K (Interested): $500 \text{ (population from exhibit 2)} * 20\% = 100 * 4 \text{ visits per month} = 400$
- \$50-\$100K (Loves Pottery): $1,500 \text{ (population from exhibit 2)} * 20\% = 300 * 4 \text{ visits per month} = 1,200$
- \$50-\$100K (Interested): $1,000 \text{ (population from exhibit 2)} * 20\% = 200 * 1 \text{ visit per month} = 200$
- \$0-\$50K (Loves Pottery): $500 \text{ (population from exhibit 2)} * 20\% = 100 * 1 \text{ visit per month} = 100$
- Total: $160 + 400 + 1,200 + 200 + 100 = \mathbf{2,060 \text{ students per month}}$



Pat's Pottery Studio – Financials

Provide candidate with financial data verbally. They should proactively begin to calculate profit. See next slide for calculations.

Fixed Costs per Month	
Full-Time Teacher's Salary	\$5,000
Miscellaneous (utilities, maintenance, etc.)	\$250
Rent	Depends on location

Marginal Contribution	
Revenue per Student per Month	\$30
Cost of Clay per Student per Month	(\$15)

Pat's Pottery Studio – Financial Calculations

Profit:

- **Dilettante Heights:**

- Fixed Costs: $\$5,000$ (salary) + $\$250$ (misc.) + $\$15,000$ (rent from neighborhood information) = $\$20,250$
- Marginal Contribution: $\$15 * 3,640$ students = $\$54,600$
- Total: $\$54,600 - \$20,250 = \mathbf{\$34,350}$

- **Clayton Creek:**

- Fixed Costs: $\$5,000$ (salary) + $\$250$ (misc.) + $\$10,000$ (rent from neighborhood information) = $\$15,250$
- Marginal Contribution: $\$15 * 2,060$ students = $\$30,900$
- Total: $\$30,900 - \$15,250 = \mathbf{\$15,650}$

Insight: Dilettante Heights profit is more than double the profit of Clayton Creek. Based on neighborhood information (if applicable) and financial calculations, Pat should expand and open the new pottery studio in Dilettante Heights. However, it would be important to consider capacity constraints, as that could change the recommendation at hand.



Pat's Pottery Studio – Increasing Capacity

Current Operations (provide to candidate):

- 2 one-hour classes of 30 people each day, 30 days a month
 - Teacher – a single salaried teacher, who can teach 30 students at a time
 - Workstations – there are 40 spots for students to work
 - Kilns – there are two kilns which each hold 20 pots
 - Each kiln takes 8 hours to fire a pot. You cannot open the kiln halfway through.
- There is no space to add more workstations or kilns.

Candidate Takeaways:.

- Current capacity of students: 60 students a day * 30 days a month = 1,800 students per month
 - It would make sense to open Clayton Creek in this case, given the following calculations:
 - Dilettante Heights: \$27,000 (MC) - \$20,250 (FC) = \$6,750
 - Clayton Creek: \$27,000 (MC) - \$15,250 (FC) = \$11,750
- Candidate should figure out that kilns are the bottleneck. Running 24 hours a day, two kilns could process 120 pots
- If they could run all day, the capacity would be 3,600 students per month, which would make it worth it to open in Dilettante Heights.



Pat's Pottery Studio – Brainstorming

How can Pat's Pottery Studio increase profit?

Classes:

- 6 classes of 20 each per day (but how will you schedule the classes?)
- Hire a teaching assistant to have 3 classes of 40 and fully use the kilns
- Make smaller items in class so that 30 fit in one kiln
- Charge more money to make larger items in class

Studio:

- Rent out workstations and kiln space to experienced potters
- Use the remaining kiln space to make your own pots to sell
- The teacher saves pots after each class until there are 20 to fill up a kiln (in conjunction with extra classes)



If the caser has time, push them to keep coming up with ideas until they give up. Also feel free to push back on ideas to find out how the caser would implement it.

Pat's Pottery Studio – Recommendation

Summary:

- Candidate should recap the objective and key insights derived from the case in a concise manner

Recommendation:

- Recommendation should be expanding and opening a studio in Dilettante Heights based on neighborhood information drivers (income, population, demand), higher profit, and removal of kiln bottleneck

Risk:

- Low / fluctuating demand initially despite projected demand being at a level worth expanding into

Mitigation:

- Increase marketing efforts on social media, in current studios to spread the word, on website, and online presence groups of Dilettante Heights town (e.g., Online town bulletin board or Facebook group)

Next Step:

- Work with a commercial real estate agent to find a space for the studio in chosen neighborhood